

In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to certain qualifications described herein, under existing law, the interest on the Refunding Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, although for the purpose of computing the alternative minimum tax imposed on certain corporations, such interest is taken into account in determining certain income and earnings. In the further opinion of Bond Counsel, interest on the Refunding Bonds is exempt from California personal income taxes. See "TAX MATTERS" herein.

\$16,200,000
IMPERIAL COMMUNITY COLLEGE DISTRICT
(Imperial County, California)
2017 General Obligation Refunding Bonds

Dated: Date of Delivery**Due: August 1, as shown on inside cover**

Authority for Issuance. The Imperial Community College District 2017 General Obligation Refunding Bonds in the aggregate principal amount of \$16,200,000 (the "Refunding Bonds") are being issued by the Imperial Community College District (the "District"), pursuant to provisions of the California Government Code and a resolution adopted by the Board of Trustees of the District on November 15, 2017. The Refunding Bonds are being issued to refund certain prior general obligation bonds of the District, as described in this Official Statement. See "THE REFUNDING BONDS – Authority for Issuance" and "THE REFINANCING PLAN."

Security. The Refunding Bonds are general obligation bonds of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of Imperial County has the power and is obligated to annually levy *ad valorem* taxes upon all property subject to taxation by the District without limitation of rate or amount (except certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Refunding Bonds. The District has other series of general obligation bonds outstanding which are similarly secured by tax levies. See "SECURITY FOR THE REFUNDING BONDS."

Redemption. The Refunding Bonds are subject to optional and mandatory sinking fund redemption prior to maturity under certain circumstances, as described herein. See "THE REFUNDING BONDS – Optional Redemption" and "– Mandatory Sinking Fund Redemption."

Book-Entry Only. The Refunding Bonds will be issued in book-entry form only, and be initially issued and registered in the name of Cede & Co. as nominee of The Depository Trust Company, New York, New York ("DTC"). Purchasers will not receive physical certificates representing their interests in the Refunding Bonds. See "THE REFUNDING BONDS - Book-Entry-Only System."

Payments. The Refunding Bonds are dated the date of delivery set forth above and are authorized to be issued as current interest bonds. The Refunding Bonds accrue interest from the dated date at the rates set forth on the inside cover page hereof, payable semiannually on each February 1 and August 1 until maturity, commencing February 1, 2018. Payments of principal of and interest on the Refunding Bonds will be paid by Wells Fargo Bank, National Association, Los Angeles, California, as paying agent, to DTC for subsequent disbursement to DTC Participants who will remit such payments to the beneficial owners of the Refunding Bonds.

Bond Insurance. The scheduled payment of principal of and interest on the Refunding Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Refunding Bonds by Build America Mutual Assurance Company. See "BOND INSURANCE."



MATURITY SCHEDULE

(See inside cover)

This cover page contains information for general reference only. It is not a summary of all the provisions of the Refunding Bonds. Investors must read the entire official statement to obtain information essential to make an informed investment decision.

The Refunding Bonds are offered when, as and if issued, subject to the approval as to their legality by Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel. Jones Hall, A Professional Law Corporation, is also acting as Disclosure Counsel to the District. Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, is serving as counsel to the Underwriter. It is anticipated that the Refunding Bonds in definitive form will be available for delivery through the facilities of DTC on or about December 13, 2017.

PiperJaffray®

MATURITY SCHEDULE

Base CUSIP[†]: 452641

\$16,200,000

IMPERIAL COMMUNITY COLLEGE DISTRICT
(Imperial County, California)
2017 General Obligation Refunding Bonds

Maturity Date (August 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP [†]
2018	\$1,010,00	3.000%	1.280%	101.080	GR8
2019	710,000	4.000	1.610	103.835	GS6
2020	745,000	4.000	1.710	105.870	GT4
2021	965,000	4.000	1.780	107.775	GU1
2022	100,000	3.000	1.880	104.946	GV9
2023	100,000	3.000	2.000	105.301	GW7
2024	105,000	3.000	2.080	105.671	GX5
2025	110,000	3.000	2.220	105.447	GY3
2026	110,000	3.000	2.360	104.970	GZ0
2027	115,000	5.000	2.490	121.377	HA4
2028	120,000	5.000	2.580	120.521 ^c	HB2
2029	125,000	5.000	2.700	119.391 ^c	HC0
2030	130,000	5.000	2.810	118.367 ^c	HD8
2031	140,000	3.000	3.210	97.693	HE6
2032	145,000	3.000	3.290	96.650	HF3
2033	150,000	3.125	3.330	97.514	HG1
2034	150,000	3.125	3.390	96.649	HH9
2035	155,000	3.250	3.430	97.630	HJ5
2036	160,000	3.250	3.470	96.996	HK2
2037	165,000	3.375	3.490	98.372	HL0

\$10,690,000 4.000% Term Bond due August 1, 2040; Yield 3.480%; Price 104.221^c; CUSIP[†] HM8

[†] Copyright 2017, American Bankers Association. CUSIP data herein are provided by Standard & Poor's CUSIP Service Bureau, a division of The McGraw-Hill Companies, Inc., and are provided for convenience of reference only. Neither the District nor the Underwriter assume any responsibility for the accuracy of these CUSIP data.

^c Priced to the par call date of August 1, 2027.

GENERAL INFORMATION ABOUT THIS OFFICIAL STATEMENT

Use of Official Statement. This Official Statement is submitted in connection with the sale of the Refunding Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose. This Official Statement is not a contract between any bond owner and the District or the Underwriter.

No Offering Except by This Official Statement. No dealer, broker, salesperson or other person has been authorized by the District or the Underwriter to give any information or to make any representations other than those contained in this Official Statement and, if given or made, such other information or representation must not be relied upon as having been authorized by the District or the Underwriter.

No Unlawful Offers or Solicitations. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor may there be any sale of the Refunding Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

Information in Official Statement. The information set forth in this Official Statement has been furnished by the District and other sources which are believed to be reliable, but, as to such other sources, it is not guaranteed as to accuracy or completeness.

Estimates and Forecasts. When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced herein, the words or phrases "will likely result," "are expected to", "will continue", "is anticipated", "estimate", "project", "forecast", "expect", "intend" and similar expressions identify "forward looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, give rise to any implication that there has been no change in the affairs of the District or any other entity described or referenced herein since the date hereof.

Municipal Bond Insurance. Build America Mutual Assurance Company ("BAM") makes no representation regarding the Refunding Bonds or the advisability of investing in the Refunding Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "Bond Insurance" and "Appendix H - Specimen Municipal Bond Insurance Policy".

Involvement of Underwriter. The Underwriter has provided the following statement for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, their responsibilities to investors under the Federal Securities Laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

Stabilization of and Changes to Offering Prices. The Underwriter may overallocate or take other steps that stabilize or maintain the market prices of the Refunding Bonds at levels above that which might otherwise prevail in the open market. If commenced, the Underwriter may discontinue such market stabilization at any time. The Underwriter may offer and sell the Refunding Bonds to certain securities dealers, dealer banks and banks acting as agent at prices lower than the public offering prices stated on the inside cover page of this Official Statement, and those public offering prices may be changed from time to time by the Underwriter.

Document Summaries. All summaries of the Bond Resolution or other documents referred to in this Official Statement are made subject to the provisions of such documents and qualified in their entirety to reference to such documents, and do not purport to be complete statements of any or all of such provisions.

No Securities Laws Registration. The Refunding Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon exceptions therein for the issuance and sale of municipal securities. The Refunding Bonds have not been registered or qualified under the securities laws of any state.

Effective Date. This Official Statement speaks only as of its date, and the information and expressions of opinion contained in this Official Statement are subject to change without notice. Neither the delivery of this Official Statement nor any sale of the Refunding Bonds will, under any circumstances, give rise to any implication that there has been no change in the affairs of the District, the County, the other parties described in this Official Statement, or the condition of the property within the District since the date of this Official Statement.

Website. The District maintains a website. However, the information presented on the website is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Refunding Bonds.

**IMPERIAL COMMUNITY COLLEGE DISTRICT
IMPERIAL COUNTY
STATE OF CALIFORNIA**

BOARD OF TRUSTEES

Karla Sigmond, *President*
Steven M. Taylor, *Clerk*
Rudy Cardenas, *Member*
Mark Edney, *Member*
Jerry D. Hart, *Member*
Romualdo J. Medina, *Member*
Louis Wong, *Member*

DISTRICT ADMINISTRATION

Victor M. Jaime, Ed.D., *Superintendent/President*
John Lau, *Vice President for Business Services*
Cecilia Duron, *Director of Fiscal Services*

PROFESSIONALS

FINANCIAL ADVISOR

Caldwell Flores Winters Inc.
Emeryville, California

BOND and DISCLOSURE COUNSEL

Jones Hall, A Professional Law Corporation
San Francisco, California

UNDERWRITER'S COUNSEL

Stradling Yocca Carlson & Rauth, a Professional Corporation
San Francisco, California

PAYING AGENT, TRANSFER AGENT, AND BOND REGISTRAR

Wells Fargo Bank, National Association
Los Angeles, California

ESCROW AGENT

Wells Fargo Bank, National Association
Los Angeles, California

VERIFICATION AGENT

Causey Demgen & Moore P.C.
Denver, Colorado

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\$16,200,000
IMPERIAL COMMUNITY COLLEGE DISTRICT
(Imperial County, California)
2017 General Obligation Refunding Bonds

INTRODUCTION

This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale and delivery by the Imperial Community College District (the “**District**”) of the Imperial Community College District (Imperial County, California) 2017 General Obligation Refunding Bonds in the principal amount of \$16,200,000 (the “**Refunding Bonds**”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Refunding Bonds to potential investors is made only by means of the entire Official Statement.

The District

The District, established in 1959, serves the communities of the Imperial Valley and certain unincorporated areas of Imperial County (the “**County**”). The District operates Imperial Valley College (the “**College**”), with the main campus located approximately 200 miles from Los Angeles and 120 miles from San Diego. The College is currently fully accredited by the Accrediting Commission for Junior and Community Colleges (the “**Commission**”). The District provides collegiate level instruction across a wide spectrum of subjects in grades 13 and 14. Seven high school districts are considered feeder districts to the District. The District serves a resident population of approximately 188,000, and has a current enrollment of approximately 7,500 students.

See “APPENDIX A - AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR ENDING JUNE 30, 2016” and “APPENDIX B - GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT” for general and financial information regarding the District and “APPENDIX C - IMPERIAL COUNTY DEMOGRAPHIC INFORMATION,” for demographic and economic information regarding the County.

Sources of Payment for the Refunding Bonds

The Refunding Bonds are general obligation bonds of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County has the power and is obligated to annually levy *ad valorem* property taxes for the payment of the Refunding Bonds and the interest thereon upon all property within the District subject to taxation without limitation of rate or amount (except certain personal property which is taxable at limited rates). See “SECURITY FOR THE REFUNDING BONDS” herein.

Authority for Issuance of the Refunding Bonds

The Refunding Bonds will be issued under the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California (the “**Bond Law**”) and under a resolution adopted by the Board of Trustees of the District on November 15, 2017 (the “**Bond Resolution**”). See “THE REFUNDING BONDS - Authority for Issuance.”

Purpose of Issue

Proceeds of the Refunding Bonds are being issued by the District to refund a portion of the District’s (i) General Obligation Bonds, Election of 2004, Series 2007C (the “**Series 2007C Bonds**”), and (ii) General Obligation Bonds, Election of 2010, Series 2010A (the “**Series 2010A Bonds**”) and, together with the Series 2007C Bonds, the “**Prior Bonds**”), and to pay related costs of issuance. See “THE REFINANCING PLAN” and “SOURCES AND USES OF FUNDS” herein.

Description of the Refunding Bonds

The Refunding Bonds are being issued as current interest bonds and shall mature in the years and in the amounts as set forth on the inside cover page hereof. The Refunding Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for DTC. Purchasers will not receive physical certificates representing their interests in the Refunding Bonds. See “THE REFUNDING BONDS – Description of the Refunding Bonds,” “Book-Entry Only System” below and “APPENDIX F –DTC and the Book-Entry Only System.”

Redemption

The Refunding Bonds are subject to redemption prior to maturity as described in “THE REFUNDING BONDS - Optional Redemption” and “-Mandatory Sinking Fund Redemption” herein.

Legal Matters

Issuance of the Refunding Bonds is subject to the approving opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, as bond counsel (“**Bond Counsel**”), to be delivered in substantially the form attached hereto as Appendix D. Jones Hall, A Professional Law Corporation, San Francisco, California, will also serve as Disclosure Counsel to the District (“**Disclosure Counsel**”). Certain legal matters will also be passed upon for Piper Jaffray & Co. (the “**Underwriter**”) by its counsel, Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“**Underwriter’s Counsel**”). Payment of the fees of Bond Counsel, Disclosure Counsel and Underwriter’s Counsel is contingent upon issuance of the Refunding Bonds. From time to time, Bond Counsel may represent the Underwriter on matters unrelated to the Refunding Bonds.

Tax Matters

Assuming compliance with certain covenants and provisions of the Internal Revenue Code of 1986, in the opinion of Bond Counsel, interest on the Refunding Bonds will not be includable in gross income for federal income tax purposes although it may be includable in the calculation for certain taxes. Also, in the opinion of Bond Counsel, interest on the Refunding

Bonds will be exempt from State of California (the “**State**”) personal income taxes. See “TAX MATTERS” herein.

Offering and Delivery of the Refunding Bonds

The Refunding Bonds are offered when, as and if issued and received by the purchasers, subject to approval as to their legality by Bond Counsel. It is anticipated that the Refunding Bonds will be available for delivery through the facilities of DTC on or about December 13, 2017.

Bond Insurance

Concurrently with the issuance of the Refunding Bonds, Build America Mutual Assurance Company (“**BAM**”) will issue its Municipal Bond Insurance Policy for the Refunding Bonds (the “**Policy**”). The Policy guarantees the scheduled payment of principal of and interest on the Refunding Bonds when due as set forth in the form of the Policy included as an appendix to this Official Statement. See “BOND INSURANCE” and “APPENDIX H – SPECIMEN MUNICIPAL BOND INSURANCE POLICY.”

Continuing Disclosure

The District has covenanted and agreed that it will comply with and carry out all of the provisions of the Continuing Disclosure Certificate executed in connection with the Refunding Bonds. The form of the Continuing Disclosure Certificate is included in Appendix E hereto. See “CERTAIN LEGAL MATTERS - Continuing Disclosure” herein.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Copies of documents referred to herein and information concerning the Refunding Bonds are available from the Vice President for Administrative Services, Imperial Community College District, 380 East Aten Road, Imperial, California 92251. The District may impose a charge for copying, mailing and handling.

This Official Statement is not to be construed as a contract with the purchasers of the Refunding Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each of such documents, statutes and constitutional provisions.

The information set forth herein has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Refunding Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

THE REFINANCING PLAN

The net proceeds of the Prior Bonds were used to finance the addition and modernization of college facilities for the District. The net proceeds of the Refunding Bonds will be used to refund the Prior Bonds identified in the tables below (collectively, the **“Refunded Bonds”**). The Prior Bonds are subject to optional redemption on the redemption dates identified in the tables below at a redemption price equal to 100% of the principal amount, without premium, together with accrued interest thereon to the redemption date.

IMPERIAL COMMUNITY COLLEGE DISTRICT Identification of Refunded 2007C Bonds

Maturities Payable from Escrow	CUSIP†	Principal Amount	Redemption Date	Redemption Price
8/1/2018	452641 CM3	\$595,000	1/12/2018	100%
8/1/2019	452641 CN1	615,000	1/12/2018	100%
8/1/2020	452641 CP6	640,000	1/12/2018	100%
8/1/2021	452641 CQ4	860,000	1/12/2018	100%

IMPERIAL COMMUNITY COLLEGE DISTRICT Identification of Refunded 2010A Bonds

Maturities Payable from Escrow	CUSIP†	Conversion Value to be Redeemed	Redemption Date	Redemption Price
8/1/2025(T)	452641 EV1	\$10,485,000	August 1, 2025	100%

† CUSIP Copyright American Bankers Association. CUSIP data herein is provided by Standard & Poor's CUSIP Service Bureau, a division of McGraw Hill Companies, Inc. Neither the District nor the Underwriter are responsible for the accuracy of such data.
(T) Term Bond.

Deposits in Escrow Funds

The District will deliver the net proceeds of the Refunding Bonds to Wells Fargo Bank, National Association, Los Angeles, California, as escrow agent (the **“Escrow Agent”**), for deposit in escrow funds (the **“Escrow Funds”**) established under an Escrow Agreement (the **“Escrow Agreement”**), between the District and the Escrow Agent. A portion of the funds deposited in the Escrow Funds will be invested in federal securities. The Escrow Agent will apply such funds, together with interest earnings thereon, to pay the principal of and interest on the Prior Bonds, including the redemption price of the Prior Bonds, together with accrued interest to the redemption dates identified above.

As a result of the deposit and application of funds of the Refunding Bonds as described above, and assuming the accuracy of the Underwriter's and Verification Agent's computations, the Prior Bonds will be defeased and the obligation of the County to levy *ad valorem* property taxes for payment thereof will terminate.

Sufficiency of the deposits and investments in the Escrow Fund for the foregoing purposes will be verified by Causey Demgen & Moore P.C., certified public accountants, Denver, Colorado (the “**Verification Agent**”). See “VERIFICATION OF MATHEMATICAL ACCURACY” herein.

The amounts held by the Escrow Agent in the Escrow Fund are pledged solely to the payment of the Refunded Bonds. Neither the funds deposited in the Escrow Fund nor the interest on the invested funds will be available for the payment of debt service with respect to the Refunding Bonds.

THE REFUNDING BONDS

Authority for Issuance

The Refunding Bonds will be issued under the Bond Law and the Bond Resolution.

Description of the Refunding Bonds

The Refunding Bonds are being issued as current interest bonds. The Refunding Bonds will be dated the Dated Date, and will be issued as fully registered Refunding Bonds, without coupons, in the denominations of \$5,000 or any integral multiple thereof. The Refunding Bonds will mature on August 1 in the years indicated on the inside cover page hereof. Interest with respect to the Refunding Bonds accrues from their Dated Date, and is payable semiannually on February 1 and August 1 of each year (each, an “**Interest Payment Date**”) commencing February 1, 2018. Each Refunding Bond shall bear interest from the Interest Payment Date next preceding the date of registration and authentication thereof unless (i) it is registered and authenticated as of an Interest Payment Date, in which event it shall bear interest from such date, or (ii) it is registered and authenticated prior to an Interest Payment Date and after the close of business on the fifteenth (15th) day of the month preceding such Interest Payment Date, in which event it shall bear interest from such Interest Payment Date, or (iii) it is registered and authenticated prior to January 15, 2018, in which event it shall bear interest from the date of original delivery; *provided, however*, that if at the time of authentication of a Refunding Bond, interest is in default thereon, such Refunding Bond shall bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon. Interest on the Refunding Bonds will be calculated on the basis of a 360-day year comprised of twelve 30-day months.

Interest on the Refunding Bonds, including the final interest payment upon maturity, is payable by check of Wells Fargo Bank, National Association (the “**Paying Agent**”) mailed on the Interest Payment Date via first-class mail to the Owner thereof at such Owner’s address as it appears on the bond register maintained by the Paying Agent at the close of business on the fifteenth (15th) day of the month preceding the Interest Payment Date (the “**Record Date**”), or at such other address as the Owner may have filed with the Paying Agent for that purpose, or upon written request filed with the Paying Agent as of the Record Date by an Owner of at least \$1,000,000 in aggregate principal amount of Refunding Bonds, by wire transfer.

The Refunding Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for DTC. Purchasers of the Refunding Bonds (the “**Beneficial Owners**”) will not receive physical certificates representing their interest

in the Refunding Bonds. Payments of principal of and interest on the Refunding Bonds will be paid by the Paying Agent to DTC for subsequent disbursement to DTC Participants who will remit such payments to the beneficial owners of the Refunding Bonds.

See the maturity schedule on the inside cover page of this Official Statement and “DEBT SERVICE SCHEDULES” herein.

Book-Entry Only System

The Refunding Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee of The Depository Trust Company (“**DTC**”). The Beneficial Owners will not receive physical certificates representing their interest in the Refunding Bonds. Payments of principal of and interest on the Refunding Bonds will be paid by Wells Fargo Bank, National Association, the designated registrar, transfer agent and paying agent for the Refunding Bonds (the “**Paying Agent**”) to DTC for subsequent disbursement to DTC Participants which will remit such payments to the Beneficial Owners of the Refunding Bonds.

As long as DTC’s book-entry method is used for the Refunding Bonds, the Paying Agent will send any notice of prepayment or other notices to owners only to DTC. Any failure of DTC to advise any DTC Participant, or of any DTC Participant to notify any Beneficial Owner, of any such notice and its content or effect will not affect the validity or sufficiency of the proceedings relating to the prepayment of the Refunding Bonds called for prepayment or of any other action premised on such notice. See “APPENDIX F - DTC AND THE BOOK-ENTRY ONLY SYSTEM.”

The Paying Agent, the District, and the Underwriter of the Refunding Bonds have no responsibility or liability for any aspects of the records relating to or payments made on account of beneficial ownership, or for maintaining, supervising or reviewing any records relating to beneficial ownership, of interests in the Refunding Bonds.

Registration, Transfer and Exchange of Refunding Bonds

If the book-entry system is discontinued, the District shall cause the Paying Agent to maintain and keep at its principal corporate trust office all books and records (the “**Bond Register**”) necessary for the registration, exchange and transfer of the Refunding Bonds.

If the book entry system is discontinued, the person in whose name a Refunding Bond is registered on the Bond Register shall be regarded as the absolute owner of that Refunding Bond. Payment of the principal of and interest on any Refunding Bond shall be made only to or upon the order of that person; neither the District, the County nor the Paying Agent shall be affected by any notice to the contrary, but the registration may be changed as provided in the Bond Resolution.

Any Refunding Bond may, in accordance with its terms, be transferred, upon the Bond Register, by the person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such Refunding Bond for cancellation at the office at the Paying Agent, accompanied by delivery of a written instrument of transfer in a form approved by the Paying Agent, duly executed. The Paying Agent shall require the payment by the Owner requesting such transfer of any tax or other governmental charge required to be paid with respect to such transfer. Whenever any Refunding Bond is surrendered for transfer, the District shall execute and the Paying Agent shall authenticate and deliver a new Refunding Bond, for like

aggregate principal amount. No transfers of Refunding Bonds are required to be made (a) during the period established by the Paying Agent for selection of Refunding Bonds for redemption or (b) with respect to a Refunding Bond which has been selected for redemption.

Refunding Bonds may be exchanged at the office of the Paying Agent in Los Angeles, California, for a like aggregate principal amount of Refunding Bonds of authorized denominations and of the same maturity. The Paying Agent shall require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange. No exchanges of Refunding Bonds are required to be made (a) during the period established by the Paying Agent for selection of Refunding Bonds for redemption or (b) with respect to a Refunding Bond which has been selected for redemption.

Security

The Refunding Bonds are general obligation bonds of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County has the power and is obligated to levy *ad valorem* taxes for the payment of the Refunding Bonds and the interest thereon upon all property within the District subject to taxation by the District without limitation of rate or amount (except certain personal property which is taxable at limited rates). Such taxes are required to be levied annually, in addition to all other taxes, during the period that the Refunding Bonds are outstanding in an amount sufficient to pay the principal and interest on the Refunding Bonds when due. Such taxes, when collected, will be deposited into the "Debt Service Fund" (as defined herein), which is maintained by the County and which is created by the Bond Resolution for the payment of principal of and interest on the Refunding Bonds when due. Pursuant to the Bond Resolution, the District has pledged the Debt Service Fund to the repayment of the Refunding Bonds. **Although the County is obligated to levy an *ad valorem* tax for the payment of the Refunding Bonds, and will maintain the Debt Service Fund pledged to the repayment of the Refunding Bonds, the Refunding Bonds are not a debt of the County.**

The moneys in the Debt Service Fund, to the extent necessary to pay the principal and interest on the Refunding Bonds as the same become due and payable, shall be transferred by the County to the Paying Agent which, in turn, shall pay such moneys to DTC to pay the principal and interest on the Refunding Bonds. DTC will thereupon make payments of principal and interest on the Refunding Bonds to the DTC Participants who will thereupon make payments of principal and interest to the Beneficial Owners of the Refunding Bonds.

The rate of the annual *ad valorem* tax levied by the County to repay the Refunding Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Refunding Bonds. A reduction in the assessed valuation of taxable property in the District caused by economic factors beyond the District's control, such as economic recession, slower growth, or deflation of land values, a relocation out of the District by one or more major property owners, or the complete or partial destruction of such property caused by, among other eventualities, an earthquake, fire, flood, toxic contamination or other natural or man-made disaster, could cause a reduction in the assessed value of the District and necessitate an unanticipated increase in the annual tax levy. For further information regarding the District's tax base, tax rates, overlapping debt and other matters concerning taxation, see "SECURITY FOR THE REFUNDING BONDS" and "APPENDIX B - GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT" herein.

Statutory Lien on Ad Valorem Tax Revenues. Pursuant to Senate Bill 222 effective January 1, 2016, voter approved general obligation bonds which are secured by *ad valorem* tax

collections, including the Refunding Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the property tax imposed to service those bonds. Said lien attaches automatically and is valid and binding from the time the bonds are executed and delivered. The lien is enforceable against the school district or community college district, its successors, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for any further act.

Paying Agent

Wells Fargo Bank, National Association, Los Angeles, California, will act as the Paying Agent for the Refunding Bonds. As long as DTC is the registered owner of the Refunding Bonds and DTC's book-entry method is used for the Refunding Bonds, the Paying Agent will send any notice of redemption or other notices to owners only to DTC. Any failure of DTC to advise any DTC Participant, or of any DTC Participant to notify any Beneficial Owner, of any such notice and its content or effect will not affect the validity or sufficiency of the proceedings relating to the redemption of the Refunding Bonds called for redemption or of any other action covered by such notice.

The Paying Agent, the District and the Underwriter of the Refunding Bonds have no responsibility or liability for any aspects of the records relating to or payments made on account of beneficial ownership, or for maintaining, supervising or reviewing any records relating to beneficial ownership, of interests in the Refunding Bonds.

Optional Redemption

The Refunding Bonds maturing on or before August 1, 2027 are not subject to optional redemption prior to maturity. The Refunding Bonds maturing on or after August 1, 2028 are subject to redemption prior to maturity, at the option of the District, in whole or in part among maturities on such basis as shall be designated by the District and by lot within a maturity, from any available source of funds, on August 1, 2027, or on any date thereafter, at a price equal to 100% of the principal amount thereof, without premium, together with accreted interest thereon to the redemption date.

For the purpose of selection for optional redemption, the Refunding Bonds will be deemed to consist of \$5,000 portions, and any such portion may be separately redeemed.

Mandatory Sinking Fund Redemption

The Refunding Bonds maturing on August 1, 2040 (the "**Term Bonds**") are subject to mandatory sinking fund redemption on August 1 of each year in accordance with the schedule set forth below. The Term Bonds so called for mandatory sinking fund redemption shall be redeemed in the sinking fund payments amounts and on the dates set forth below, without premium.

Term Bonds Maturing August 1, 2040

Redemption Date (August 1)	Sinking Fund Redemption
2038	\$4,050,000
2039	4,220,000
2040 (Maturity)	2,420,000

If any such Term Bonds are redeemed pursuant to optional redemption, the total amount of all future sinking fund payments with respect to such Term Bonds shall be reduced by the aggregate principal amount of such Term Bonds so redeemed, to be allocated among such payments on a pro rata basis in integral multiples of \$5,000 principal amount (or on such other basis as the District may determined) as set forth in written notice given by the District to the Paying Agent.

Selection of Bonds for Redemption. Whenever provision is made for the redemption of Bonds and less than all Outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District received at least 30 days prior to the specified redemption date (unless a shorter notice is consented to by the Paying Agent), will select Bonds for redemption among maturities as specified by the District. Within a maturity, the Paying Agent will select Bonds for redemption by lot. Redemption by lot will be in such a manner as the Paying Agent shall determine; *provided, however*, that the portion of any Refunding Bond to be redeemed in part will be in the Principal Amount of \$5,000 or any integral multiple thereof.

Notice of Redemption. The Paying Agent will cause notice of any redemption to be mailed, by first class mail, postage prepaid, at least 20 days but not more than 60 days prior to the date fixed for redemption, to the respective Owners of any Refunding Bonds designated for redemption, at their addresses appearing on the Registration Books. Such mailing will not be a condition precedent to such redemption and failure to mail or to receive any such notice will not affect the validity of the proceedings for the redemption of such Refunding Bonds.

Such notice will state the redemption date and the redemption price and, if less than all of the then Outstanding Bonds of a series are to be called for redemption, will designate the serial numbers of the Refunding Bonds to be redeemed by giving the individual number of each Bond or by stating that all Bonds between two stated numbers, both inclusive, or by stating that all of the Refunding Bonds of one or more maturities have been called for redemption, and will require that such Bonds be then surrendered at the Principal Office of the Paying Agent for redemption at the said redemption price, giving notice also that further interest on such Bonds will not accrue from and after the redemption date.

From and after the date fixed for redemption, if notice of such redemption has been duly given and funds available for the payment of the principal of and interest (and premium, if any) on the Refunding Bonds so called for redemption has been duly provided, such Refunding Bonds so called will cease to be entitled to any benefit under the Bond Resolution, other than the right to receive payment of the redemption price, and no interest will accrue thereon on or after the redemption date specified in such notice.

Partial Redemption. Upon surrender of Bonds redeemed in part only, the District will execute and the Paying Agent will authenticate and deliver to the Owner, at the expense of the District, a new Bond or Bonds, of the same series and maturity, of authorized denominations in aggregate principal amount equal to the unredeemed portion of the Refunding Bond or Bonds.

Right to Rescind Notice of Redemption

The District has the right to rescind any notice of the optional redemption of Refunding Bonds by written notice to the Paying Agent on or prior to the date fixed for redemption. Any notice of redemption shall be cancelled and annulled if for any reason funds will not be or are not available on the date fixed for redemption for the payment in full of the Refunding Bonds then called for redemption. The District and the Paying Agent have no liability to the Refunding Bond

owners or any other party related to or arising from such rescission of redemption. The Paying Agent shall mail notice of such rescission of redemption in the same manner as the original notice of redemption was sent under the Bond Resolution.

Defeasance

Any or all of the Refunding Bonds of each series may be paid by the District, in whole or in part, in any one or more of the following ways:

- (a) by paying or causing to be paid the principal or redemption price of and interest on such Refunding Bonds, as and when the same become due and payable;
- (b) by irrevocably depositing, in trust, at or before maturity, money or securities in the necessary amount (as provided in the Bond Resolution) to pay or redeem such Refunding Bonds; or
- (c) by delivering such Refunding Bonds to the Refunding Bonds Paying Agent for cancellation by it.

Whenever in the Bond Resolution it is provided or permitted that there be deposited with or held in trust by the Paying Agent money or securities in the necessary amount to pay or redeem any Refunding Bonds, the money or securities so to be deposited or held may be held by the Paying Agent or by any other fiduciary. Such money or securities may include money or securities held by the Paying Agent in the funds and accounts established under the Bond Resolution and will be:

- (i) lawful money of the United States of America in an amount equal to the Principal Amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption is given as provided in the Bond Resolution or provision satisfactory to the Paying Agent is made for the giving of such notice, the amount to be deposited or held will be the Principal Amount or redemption price of such Bonds and all unpaid interest thereon to the redemption date; or
- (ii) Federal Securities (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due, in the opinion of a certified public accountant delivered to the County and the District, will provide money sufficient to pay the principal or redemption price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Refunding Bonds to be paid or redeemed, as such principal or redemption price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption is given as provided in the Bond Resolution or provision satisfactory to the Bond Resolution is made for the giving of such notice.

Upon the deposit, in trust, at or before maturity, of money or securities in the necessary amount (as described above) to pay or redeem any outstanding Refunding Bond (whether upon or prior to its maturity or the redemption date of such Refunding Bond), then all liability of the County and the District in respect of such Refunding Bond will cease and be completely

discharged, except only that thereafter the owner thereof will be entitled only to payment of the principal of and interest on such Refunding Bond by the District, and the District will remain liable for such payment, but only out of such money or securities deposited with the Paying Agent for such payment.

As used in the foregoing provisions, the term “**Federal Securities**” means United States Treasury notes, bonds, bills or certificates of indebtedness, or obligations issued by any agency or department of the United States which are secured, directly or indirectly, by the full faith and credit of the United States.

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DEBT SERVICE SCHEDULES

Refunding Bonds Debt Service. The following table shows the debt service schedule with respect to the Refunding Bonds (assuming no optional redemptions).

IMPERIAL COMMUNITY COLLEGE DISTRICT Debt Service Schedule 2017 General Obligation Refunding Bonds

Bond Year Ending (August 1)	Principal	Interest	Total Annual Debt Service
2018	\$1,010,000	\$398,164.79	\$1,408,164.79
2019	710,000	598,381.26	1,308,381.26
2020	745,000	569,981.26	1,314,981.26
2021	965,000	540,181.26	1,505,181.26
2022	100,000	501,581.26	601,581.26
2023	100,000	498,581.26	598,581.26
2024	105,000	495,581.26	600,581.26
2025	110,000	492,431.26	602,431.26
2026	110,000	489,131.26	599,131.26
2027	115,000	485,831.26	600,831.26
2028	120,000	480,081.26	600,081.26
2029	125,000	474,081.26	599,081.26
2030	130,000	467,831.26	597,831.26
2031	140,000	461,331.26	601,331.26
2032	145,000	457,131.26	602,131.26
2033	150,000	452,781.26	602,781.26
2034	150,000	448,093.76	598,093.76
2035	155,000	443,406.26	598,406.26
2036	160,000	438,368.76	598,368.76
2037	165,000	433,168.76	598,168.76
2038	4,050,000	427,600.00	4,477,600.00
2039	4,220,000	265,600.00	4,485,600.00
2040	2,420,000	96,800.00	2,516,800.00
Total	\$16,200,000	\$10,416,121.23	\$26,616,121.23

Combined Debt Service. The following table shows the combined debt service schedule with respect to the District's outstanding general obligation bonds and the Refunding Bonds, each assuming no further optional redemptions. See Appendix B under the heading "DISTRICT FINANCIAL INFORMATION – Outstanding Indebtedness - General Obligation Bonds" for additional information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Outstanding General Obligation Bonds Debt Service Schedule

Bond Year Ending August 1	Election of 2004 2006B Bonds Debt Service	Election of 2004 2007C Bonds Debt Service	Election of 2004 2009D Bonds Debt Service	Election of 2004 2009 E Bonds Debt Service	2012 Refunding Bonds Debt Service	Election of 2010 2010A Bonds Debt Service	Election of 2010 2014A Bonds Debt Service	2017 Refunding Bonds Debt Service	Aggregate Outstanding Bonds Debt Service
2018	\$1,095,000.00	-	\$160,000.00	-	\$1,371,350.00	\$50,000.00	\$933,225.00	\$1,408,164.79	\$5,017,739.79
2019	1,130,000.00	-	200,000.00	-	1,466,100.00	80,000.00	973,225.00	1,308,381.26	5,157,706.26
2020	1,165,000.00	-	250,000.00	-	1,571,900.00	105,000.00	1,013,225.00	1,314,981.26	5,420,106.26
2021	1,005,000.00	-	305,000.00	-	1,682,300.00	137,200.00	1,053,225.00	1,505,181.26	5,687,906.26
2022	1,050,000.00	\$890,000.00	360,000.00	-	1,791,800.00	167,200.00	1,093,225.00	601,581.26	5,953,806.26
2023	1,100,000.00	880,000.00	425,000.00	-	1,913,300.00	192,200.00	803,225.00	598,581.26	5,912,306.26
2024	1,155,000.00	875,000.00	495,000.00	-	2,025,800.00	222,200.00	833,225.00	600,581.26	6,206,806.26
2025	1,215,000.00	860,000.00	575,000.00	-	2,144,900.00	257,200.00	868,225.00	602,431.26	6,522,756.26
2026	1,280,000.00	850,000.00	655,000.00	-	2,259,050.00	292,200.00	903,225.00	599,131.26	6,838,606.26
2027	1,355,000.00	830,000.00	745,000.00	-	2,388,250.00	327,200.00	935,800.00	600,831.26	7,182,081.26
2028	1,425,000.00	815,000.00	845,000.00	-	2,521,000.00	137,200.00	976,575.00	600,081.26	7,319,856.26
2029	1,490,000.00	800,000.00	945,000.00	-	2,667,000.00	137,200.00	1,015,100.00	599,081.26	7,653,381.26
2030	3,275,000.00	1,985,000.00	1,060,000.00	-	-	137,200.00	1,055,100.00	597,831.26	8,110,131.26
2031	3,510,000.00	1,960,000.00	950,000.00	-	-	137,200.00	1,093,195.00	601,331.26	8,251,726.26
2032	-	5,690,000.00	1,310,000.00	-	-	137,200.00	1,138,595.00	602,131.26	8,877,926.26
2033	-	-	100,000.00	\$7,275,000.00	-	137,200.00	1,185,810.00	602,781.26	9,300,791.26
2034	-	-	-	7,765,000.00	-	137,200.00	1,230,810.00	598,093.76	9,731,103.76
2035	-	-	-	8,170,000.00	-	137,200.00	1,281,230.00	598,406.26	10,186,836.26
2036	-	-	-	8,600,000.00	-	137,200.00	1,332,570.00	598,368.76	10,668,138.76
2037	-	-	-	5,850,000.00	-	137,200.00	1,764,575.00	598,168.76	8,349,943.76
2038	-	-	-	-	-	137,200.00	2,021,618.76	4,477,600.00	6,636,418.76
2039	-	-	-	-	-	137,200.00	2,293,756.26	4,485,600.00	6,916,556.26
2040	-	-	-	-	-	2,097,200.00	7,299,600.00	2,516,800.00	11,913,600.00
Total	\$21,250,000.00	\$16,435,000.00	\$9,380,000.00	\$37,660,000.00	\$23,802,750.00	\$5,574,000.00	\$33,098,360.02	\$26,616,121.23	\$173,816,231.25

SOURCES AND USES OF FUNDS

The sources and uses of funds with respect to the Refunding Bonds are as follows:

Sources	
Principal Amount	\$16,200,000.00
Net Original Issue Premium	705,097.60
Total Sources:	\$16,905,097.60
Uses	
Escrow Fund	\$16,615,659.64
Cost of Issuance ⁽¹⁾	289,437.96
Total Uses:	16,905,097.60

(1) Costs of issuance include legal fees, financial advisory fees, Underwriter's discount, printing costs, rating agency fees, bond insurance premium, and other miscellaneous costs and expenses of issuing the Refunding Bonds.

SECURITY FOR THE REFUNDING BONDS

Ad Valorem Taxes

Bonds Payable from Ad Valorem Property Taxes. The Refunding Bonds are general obligations of the District, payable solely from *ad valorem* property taxes levied and collected by the County. The County is empowered and is obligated to annually levy *ad valorem* taxes for the payment of the Refunding Bonds and the interest thereon upon all property within the District subject to taxation by the District, without limitation of rate or amount (except certain personal property which is taxable at limited rates).

Other Bonds Payable from Ad Valorem Property Taxes. The District has issued additional general obligation bonds, which are payable from *ad valorem* taxes on a parity basis. In addition to the general obligation bonds issued by the District, there is other debt issued by entities with jurisdiction in the District, which is payable from *ad valorem* taxes levied on parcels in the District. See "PROPERTY TAXATION – Tax Rates" and "- Direct and Overlapping Debt" below.

Levy and Collection. The County will levy and collect such *ad valorem* taxes in such amounts and at such times as is necessary to ensure the timely payment of debt service. Such taxes, when collected, will be deposited into the Debt Service Fund for the Refunding Bonds created by the Bond Resolution, which is maintained by the County and which is irrevocably pledged for the payment of principal of and interest on the Refunding Bonds when due.

District property taxes are assessed and collected by the County in the same manner and at the same time, and in the same installments as other *ad valorem* taxes on real property, and will have the same priority, become delinquent at the same times and in the same proportionate amounts, and bear the same proportionate penalties and interest after delinquency, as do the other *ad valorem* taxes on real property.

Annual Tax Rates. The amount of the annual *ad valorem* tax levied by the County to repay the Refunding Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Refunding Bonds.

Fluctuations in the annual debt service on the Refunding Bonds and the assessed value of taxable property in the District may cause the annual tax rate to fluctuate.

Economic and other factors beyond the District's control, such as economic recession, deflation of land values, a relocation out of the District or financial difficulty or bankruptcy by one or more major property taxpayers, or the complete or partial destruction of taxable property caused by, among other eventualities, earthquake, toxic contamination, flood, fire or other man-made or natural disaster, could cause a reduction in the assessed value within the District and necessitate a corresponding increase in the annual tax rate.

Debt Service Fund

The County will establish an interest and sinking fund for the Refunding Bonds (the "**Debt Service Fund**") pursuant to the Bond Resolution, which will be established as a separate fund to be maintained distinct from all other funds of the County. All taxes levied by the County for the payment of the principal of and interest and premium (if any) on the Refunding Bonds will be deposited in the Debt Service Fund by the County promptly upon the receipt. The Debt Service Fund is pledged for the payment of the principal of and interest and premium (if any) on the Refunding Bonds when and as the same become due. The County will transfer amounts in the Debt Service Fund to the Paying Agent to the extent necessary to pay the principal of and interest and premium (if any) on the Refunding Bonds as the same becomes due and payable.

Any excess proceeds of the Refunding Bonds not needed for the authorized purposes set forth in the Bond Resolution for which Refunding Bonds are being issued shall, at the direction of the District, be transferred to the Debt Service Fund and applied to the payment of principal and interest on the Refunding Bonds. If, after payment in full of the Refunding Bonds, there remain excess proceeds, any such excess amounts shall be transferred to the general fund of the District.

Not a County Obligation

The Refunding Bonds are payable solely from the proceeds of an *ad valorem* tax levied and collected by the County, for the payment of principal and interest on the Refunding Bonds. Although the County is obligated to collect the *ad valorem* tax for the payment of the Refunding Bonds, the Refunding Bonds are not a debt of the County.

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PROPERTY TAXATION

Property Tax Collection Procedures

In California, property which is subject to *ad valorem* taxes is classified as “secured” or “unsecured.” The “secured roll” is that part of the assessment roll containing state assessed public utilities’ property and real property, the taxes on which create a lien on such property sufficient, in the opinion of the county assessor, to secure payment of the taxes. A tax levied on unsecured property does not become a lien against such unsecured property, but may become a lien on certain other property owned by the taxpayer. Every tax which becomes a lien on secured property has priority over all other liens arising pursuant to State law on such secured property, regardless of the time of the creation of the other liens. Secured and unsecured property are entered separately on the assessment roll maintained by the county assessor. The method of collecting delinquent taxes is substantially different for the two classifications of property.

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year. If unpaid, such taxes become delinquent on December 10 and April 10, respectively, and a 10% penalty attaches to any delinquent payment, plus any additional amount determined by the County Treasurer. In addition, property on the secured roll with respect to which taxes are delinquent is declared tax defaulted on July 1 of the calendar year. Such property may thereafter be redeemed by payment of the delinquent taxes and a delinquency penalty, a redemption fee plus a redemption penalty of 1-1/2% per month to the time of redemption. If taxes are unpaid for a period of five years or more, the property is subject to sale by the County.

Property taxes are levied for each fiscal year on taxable real and personal property situated in the taxing jurisdiction as of the preceding January 1. A bill enacted in 1983, SB813 (Statutes of 1983, Chapter 498), however, provided for the supplemental assessment and taxation of property as of the occurrence of a change of ownership or completion of new construction. Thus, this legislation eliminated delays in the realization of increased property taxes from new assessments. As amended, SB813 provided increased revenue to taxing jurisdictions to the extent that supplemental assessments of new construction or changes of ownership occur subsequent to the January 1 lien date and result in increased assessed value.

Property taxes on the unsecured roll as of July 31 become delinquent, if unpaid on August 31 and are thereafter subject to a delinquency penalty of 10%. Taxes added to the unsecured roll after July 31, if unpaid, are delinquent and subject to a 10% penalty on the last day of the month succeeding the month of enrollment. For unsecured taxes, an additional penalty of 1-1/2% per month accrues with respect to such taxes beginning the last day of the second month following the delinquency date. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a certificate in the office of the county clerk specifying certain facts in order to obtain a judgment lien on certain property of the taxpayer; (3) filing a certificate of delinquency for record in the county recorder’s office, in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee. The exclusive means of enforcing the payment of delinquent taxes in respect of property on the secured roll is the sale of the property securing the taxes for the amount of taxes which are delinquent.

Taxation of State-Assessed Utility Property

The State Constitution provides that most classes of property owned or used by regulated utilities be assessed by the State Board of Equalization (“SBE”) and taxed locally. Property valued

by the SBE as an operating unit in a primary function of the utility taxpayer is known as “unitary property”, a concept designed to permit assessment of the utility as a going concern rather than assessment of each individual element of real and personal property owned by the utility taxpayer. State-assessed unitary and “operating nonunitary” property (which excludes nonunitary property of regulated railways) is allocated to the counties based on the situs of the various components of the unitary property. Except for unitary property of regulated railways and certain other excepted property, all unitary and operating nonunitary property is taxed at special county-wide rates and tax proceeds are distributed to taxing jurisdictions according to statutory formulae generally based on the distribution of taxes in the prior year.

Assessed Valuation

Assessed Valuation History. The table below shows a recent history of the District’s assessed valuation.

IMPERIAL COMMUNITY COLLEGE DISTRICT Assessed Valuations of All Taxable Property Fiscal Years 2007-08 to 2017-18

Fiscal Year	Local Secured	Utility	Unsecured	Total	% Change
2007-08	\$8,996,219,310	\$8,787,416	\$633,897,505	\$9,638,904,231	--
2009-10	9,511,803,331	8,337,593	819,402,403	10,339,543,327	5.7%
2010-11	9,385,688,543	8,383,647	751,354,551	10,145,426,741	(1.3)
2011-12	9,143,384,686	8,467,613	749,988,120	9,901,840,419	(2.6)
2012-13	9,149,682,293	9,702,518	789,128,954	9,948,513,765	0.1
2013-14	9,328,079,273	9,668,800	1,136,973,125	10,474,721,198	5.3
2014-15	9,540,336,477	9,670,757	1,275,864,749	10,825,871,983	3.4
2015-16	10,271,077,084	9,673,344	1,265,756,339	11,546,506,765	6.7
2016-17	10,543,219,566	9,678,602	1,270,171,556	11,823,069,724	2.6
2017-18	10,744,538,490	9,052,674	1,329,552,121	12,083,143,285	2.2

Source: California Municipal Statistics, Inc.

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Assessed Valuation by Jurisdiction. The area of the District serves seven cities as well as unincorporated portions of Imperial County, which makes up the majority of the assessed value of the District. The following table identifies the fiscal year 2017-18 assessed valuation by jurisdiction.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Assessed Valuation by Jurisdiction ⁽¹⁾
Fiscal Year 2017-18

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Brawley	\$ 1,208,506,595	10.00%	\$1,208,506,595	100.00%
City of Calexico	1,700,697,473	14.07	\$1,700,697,473	100.00%
City of Calipatria	119,074,083	0.99	\$119,074,083	100.00%
City of El Centro	2,588,935,104	21.43	\$2,588,935,104	100.00%
City of Holtville	221,009,674	1.83	\$221,009,674	100.00%
City of Imperial	1,171,426,218	9.69	\$1,171,426,218	100.00%
City of Westmorland	49,148,686	0.41	\$49,148,686	100.00%
Unincorporated Imperial County	<u>5,024,345,452</u>	<u>41.58</u>	\$5,326,436,286	94.33%
Total District	\$12,083,143,285	100.00%		
Imperial County	\$12,083,143,285	100.00%	\$12,385,234,119	97.56%

(1) Before deduction of redevelopment incremental valuation. Includes aircraft valuation.
Source: California Municipal Statistics, Inc.

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Assessed Valuation by Land Use. The following table shows the land use of property in the District, as measured by assessed valuation and the number of parcels for fiscal year 2017-18. As shown, the District's assessed value is almost evenly split between non-residential and residential uses, with single family residential use comprising the largest portion of assessed value, and commercial and industrial uses comprising the second largest use when viewed on a combined basis.

**IMPERIAL COMMUNITY COLLEGE DISTRICT
Assessed Valuation and Parcels by Land Use
Fiscal Year 2017-18**

	2017-18 <u>Assessed Valuation (1)</u>	% of <u>Total</u>	No. of <u>Parcels</u>	% of <u>Total</u>
<u>Non-Residential:</u>				
Agricultural	\$2,083,820,804	19.32%	5,419	8.85%
Commercial	1,436,930,302	13.32	2,297	3.75
Vacant Commercial	106,831,991	0.99	854	1.40
Industrial	996,063,837	9.24	715	1.17
Vacant Industrial	64,305,683	0.60	511	0.83
Recreational	16,386,528	0.15	269	0.44
Government/Social/Institutional	59,518,069	0.55	954	1.56
Other Vacant/Desert	39,298,678	0.36	9,661	15.79
Miscellaneous	16,888,088	0.16	322	0.53
Subtotal Non-Residential	\$4,820,043,980	44.69%	21,002	34.32%
<u>Residential:</u>				
Single Family Residence	\$4,958,195,439	45.98%	31,536	51.53%
Mobile Home	122,737,903	1.14	1,695	2.77
2-4 Residential Units	170,889,081	1.58	764	1.25
5+ Residential Units/Apartments	449,445,528	4.17	350	0.57
Miscellaneous Residential	40,897,009	0.38	307	0.50
Vacant Residential	182,329,550	1.69	5,548	9.07
Subtotal Residential	\$5,924,494,510	54.94%	40,200	65.68%
Total	\$10,784,538,490	100.00%	61,202	100.00%

(1) Local secured assessed valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

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Per Parcel Assessed Valuation of Single Family Homes. The following table shows the per parcel assessed valuation of single family homes in the boundaries of the District.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Per Parcel Assessed Valuation of Single Family Homes
Fiscal Year 2017-18

Single Family Residential	No. of Parcels	2017-18 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
	31,536	\$4,958,195,439	\$157,223	\$147,367

2017-18 Assessed Valuation	No. of Parcels (1)	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	839	2.660%	2.660%	\$ 13,281,709	0.268%	0.268%
\$25,000 - \$49,999	2,172	6.887	9.548	84,488,618	1.704	1.972
\$50,000 - \$74,999	2,402	7.617	17.165	150,939,243	3.044	5.016
\$75,000 - \$99,999	3,249	10.303	27.467	285,249,728	5.753	10.769
\$100,000 - \$124,999	3,455	10.956	38.423	389,116,222	7.848	18.617
\$125,000 - \$149,999	4,091	12.972	51.395	563,053,854	11.356	29.973
\$150,000 - \$174,999	3,602	11.422	62.817	584,585,868	11.790	41.763
\$175,000 - \$199,999	3,000	9.513	72.330	560,269,771	11.300	53.063
\$200,000 - \$224,999	2,382	7.553	79.883	505,568,834	10.197	63.260
\$225,000 - \$249,999	1,925	6.104	85.987	456,157,626	9.200	72.460
\$250,000 - \$274,999	1,664	5.277	91.264	435,876,753	8.791	81.251
\$275,000 - \$299,999	1,093	3.466	94.730	313,038,271	6.314	87.565
\$300,000 - \$324,999	622	1.972	96.702	193,417,544	3.901	91.466
\$325,000 - \$349,999	354	1.123	97.825	118,825,129	2.397	93.862
\$350,000 - \$374,999	193	0.612	98.437	69,772,795	1.407	95.269
\$375,000 - \$399,999	107	0.339	98.776	41,454,416	0.836	96.105
\$400,000 - \$424,999	91	0.289	99.065	37,429,536	0.755	96.860
\$425,000 - \$449,999	88	0.279	99.344	38,714,896	0.781	97.641
\$450,000 - \$474,999	52	0.165	99.508	23,960,230	0.483	98.124
\$475,000 - \$499,999	52	0.165	99.673	25,253,852	0.509	98.634
\$500,000 and greater	103	0.327	100.000	67,740,544	1.366	100.000
Total	31,536	100.000%		\$4,958,195,439	100.000%	

(1) Local Secured Assessed Valuation, excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

Appeals of Assessed Value

There are two types of appeals of assessed values that could adversely impact property tax revenues within the District.

Appeals may be based on Proposition 8 of November 1978, which requires that for each January 1 lien date, the taxable value of real property must be the lesser of its base year value, annually adjusted by the inflation factor pursuant to Article XIII A of the State Constitution, or its full cash value, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property or other factors causing a decline in value. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" in Appendix B.

Under California law, property owners may apply for a Proposition 8 reduction of their property tax assessment by filing a written application, in form prescribed by the SBE, with the County board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices)

cause the property to be worth less than its current assessed value. Proposition 8 reductions may also be unilaterally applied by the County Assessor.

Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. These reductions are subject to yearly reappraisals and are adjusted back to their original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

The District cannot predict the changes in assessed values that might result from pending or future appeals by taxpayers. Any reduction in aggregate District assessed valuation due to appeals, as with any reduction in assessed valuation due to other causes, will cause the tax rate levied to repay the Refunding Bonds to increase accordingly, so that the fixed debt service on the Refunding Bonds (and other outstanding general obligation bonds, if any) may be paid.

Assembly Bill 102. On June 27, 2017, the Governor signed into law Assembly Bill 102 ("AB 102"). AB 102 restructures the functions of the SBE and creates two new separate agencies: (i) the California Department of Tax and Fee Administration, and (ii) the Office of Tax Appeals. Under AB 102, the California Department of Tax and Fee Administration will take over programs previously in the BOE Property Tax Department, such as the Tax Area Services Section, which is responsible for maintaining all property tax-rate area maps and for maintaining special revenue district boundaries. Under AB 102, the SBE will continue to perform the duties assigned by the State Constitution related to property taxes, however, beginning January 1, 2018, the SBE will only hear appeals related to the programs that it constitutionally administers and the Office of Tax Appeals will hear tax appeals will hear appeals on all other taxes and fee matters, such as sales and use tax and other special taxes and fees. AB 102 obligates the Office of Tax Appeals to adopt regulations as necessary to carry out its duties, powers, and responsibilities. No assurances can be given as to the effect of such regulations on the appeals process or on the assessed valuation of property within the District.

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Tax Rates

The table below summarizes the total *ad valorem* tax rates levied by all taxing entities in representative tax rate areas in the District during fiscal years 2015-16 through 2017-18.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Typical Tax Rates - (TRA 1-001, TRA 4-000 and TRA 58-000)
Dollars per \$100 of Assessed Valuation
Fiscal Years 2015-16 through 2017-18

TRA 1-001 – 2017-18 Assessed Valuation: \$459,575,229

	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>
General	1.0000	1.0000	1.0000
Pioneer Hospital	.0365	.0395	.0400
Brawley Union High School District	.0174	.0296	.0294
Brawley Union School District	.0380	.0589	.0798
Imperial Community College District	<u>.0422</u>	<u>.0373</u>	<u>.0367</u>
Total	1.1341	1.1653	1.1859

TRA 4-000 – 2017-18 Assessed Valuation: \$663,703,068

	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>
General	1.0000	1.0000	1.0000
El Centro School District	.0725	.0628	.0621
Central Union High School District	.0353	.0497	.0520
Imperial Community College District	<u>.0422</u>	<u>.0373</u>	<u>.0367</u>
Total	1.1500	1.1498	1.1508

TRA 58-000 – 2017-18 Assessed Valuation: \$547,316,344

	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>
General	1.0000	1.0000	1.0000
Pioneer Memorial Hospital District	.0365	.0395	.0400
Imperial Community College District	.0422	.0373	.0367
Calipatria Unified School District	<u>.1368</u>	<u>.1952</u>	<u>.1468</u>
Total	1.2155	1.2720	1.2235

Source: California Municipal Statistics, Inc.

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Teeter Plan

The Board of Supervisors of the County has adopted the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “**Teeter Plan**”), as provided for in Section 4701 *et seq.* of the California Revenue and Taxation Code. Under the Teeter Plan, each entity levying property taxes in the County may draw on the amount of uncollected secured taxes credited to its fund, in the same manner as if the amount credited had been collected. The District participates in the Teeter Plan, and thus receives 100% of secured property taxes levied in exchange for foregoing any interest and penalties collected on delinquent taxes. Currently, the County includes the District’s general obligation bond levies in its Teeter Plan.

So long as the Teeter Plan remains in effect and the County continues to include the District in the Teeter Plan, the District’s receipt of revenues with respect to the levy of *ad valorem* property taxes will not be dependent upon actual collections of the *ad valorem* property taxes by the County. However, under the statute creating the Teeter Plan, the Board of Supervisors could under certain circumstances terminate the Teeter Plan in its entirety and, in addition, the Board of Supervisors could terminate the Teeter Plan with respect to the District if the delinquency rate for all *ad valorem* property taxes levied within the District in any year exceeds 3%. In the event that the Teeter Plan were terminated with regard to the secured tax roll, the amount of the levy of *ad valorem* property taxes in the District would depend upon the collections of the *ad valorem* property taxes and delinquency rates experienced with respect to the parcels within the District.

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Major Taxpayers

The following table shows the 20 largest taxpayers in the District as determined by their secured assessed valuations in fiscal year 2017-18. Each taxpayer listed below is a unique name listed on the tax rolls. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below. A large concentration of ownership in a single individual or entity results in a greater amount of tax collections which are dependent upon that property owner's ability or willingness to pay property taxes. For taxpayers whose primary land use is shown as "power generation," such generation may be solar, wind or geothermal. See "APPENDIX B - GENERAL DISTRICT INFORMATION - General Information."

IMPERIAL COMMUNITY COLLEGE DISTRICT Largest 2017-18 Local Secured Taxpayers

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2017-18 Assessed Valuation</u>	<u>% of Total (1)</u>
1.	Alphabet Farms LLC	Agricultural	\$ 164,504,506	1.53%
2.	MidAmerican Energy Holding Corp.	Power Generation	149,702,309	1.39
3.	Hudson Ranch Power I LLC	Power Generation	70,545,102	0.66
4.	Heber Field Company	Power Generation	59,193,832	0.55
5.	RJFP LLC	Commercial	55,409,532	0.52
6.	MFC Imperial I LLC	Agricultural	50,180,771	0.47
7.	United States Gypsum Co.	Industrial	48,172,432	0.45
8.	Wal-Mart Real Estate Business Trust	Commercial	47,748,528	0.44
9.	Imperial Valley Mall II, LP	Commercial	46,375,235	0.43
10.	Gran Plaza LP	Commercial	45,070,482	0.42
11.	Second Imperial Geothermal Company	Power Generation	42,524,231	0.40
12.	AWCC Campo Verde, LLC	Power Generation	37,859,139	0.35
13.	Imperial Valley Properties LLC	Residential Properties	33,734,541	0.31
14.	Arie H. De Jong Trustee	Agricultural	32,738,371	0.30
15.	Imperial Valley Farms, LLC	Agricultural	28,934,426	0.27
16.	Imperial Valley Solar 1 LLC	Power Generation	24,744,707	0.23
17.	EGP CH EI Centro LLC	Commercial	24,319,490	0.23
18.	Centinela Solar Energy, LLC	Power Generation	22,936,680	0.21
19.	AWCC SG2 Solar LLC	Power Generation	22,516,130	0.21
20.	Meyer Imperial Investments LLC	Agricultural	21,293,015	0.20
			<u>\$1,028,503,459</u>	<u>9.57%</u>

(1) 2017-18 local secured assessed valuation: \$10,744,538,490.

Source: California Municipal Statistics, Inc.

Direct and Overlapping Debt

Set forth below is a direct and overlapping debt report (the "Debt Report") prepared by California Municipal Statistics, Inc. for debt issued as of November 1, 2017. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Statement of Direct and Overlapping Bonded Debt
(Debt Issued as of November 1, 2017)

2017-18 Assessed Valuation: \$12,083,143,285

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 11/1/17</u>	
Imperial Community College District	100.000%	\$ 68,836,310	(1)
Calexico Unified School District	100.000	47,794,076	
Calipatria Unified School District	100.000	15,167,711	
Holtville Unified School District	100.000	7,121,408	
Imperial Unified School District	100.000	38,445,000	
Brawley Union High School District	100.000	6,485,000	
Central Union High School District	100.000	16,190,000	
Brawley School District	100.000	15,525,000	
El Centro School District	100.000	13,131,651	
Other School Districts	100.000	31,723,225	
Pioneers Memorial Hospital District	91.624	8,049,168	
City of Calexico Community Facilities District No. 2005-1 and 2013-1	100.000	18,745,000	
City of El Centro Community Facilities District No. 2007-1	100.000	1,190,000	
City of Imperial Community Facilities	100.000	29,770,000	
Imperial County Community Facilities District No. 98-1 and 06-1	100.000	8,043,000	
Heber Public Utility District Community Facilities District No. 2005-1	100.000	1,760,000	
El Centro School District Maintenance Assessment District	100.000	<u>580,000</u>	
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$328,556,549	
 <u>OVERLAPPING GENERAL FUND DEBT:</u>			
Imperial County Certificates of Participation	97.561%	\$ 7,458,529	
Imperial County Pension Obligation Bonds	97.561	33,487,772	
Holtville Unified School District Certificates of Participation	100.000	5,474,834	
Brawley Union High School District Qualified Zone Academy Bonds	100.000	4,500,000	
El Centro School District Certificates of Participation	100.000	1,500,000	
City of Brawley Pension Obligation Bonds	100.000	16,310,000	
City of Calexico General Fund Obligations	100.000	9,515,000	
City of El Centro General Fund Obligations	100.000	<u>11,085,000</u>	
TOTAL OVERLAPPING GENERAL FUND DEBT		\$89,331,135	
 <u>OVERLAPPING TAX INCREMENT DEBT:</u>			
Successor Agency to Calexico Redevelopment Agency	100.000%	\$30,905,000	
Successor Agency to El Centro Redevelopment Agency	100.000	31,620,000	
Successor Agency to Imperial Redevelopment Agency	100.000	20,680,000	
Successor Agency to Other Redevelopment Agencies	100.000	<u>13,525,000</u>	
TOTAL OVERLAPPING TAX INCREMENT DEBT		\$96,730,000	
 COMBINED TOTAL DEBT		\$514,617,684	(2)

Ratios to 2017-18 Assessed Valuation:

Direct Debt (\$68,836,310)	0.57%
Total Direct and Overlapping Tax and Assessment Debt.....	2.72%
Combined Total Debt	4.26%

Ratios to Redevelopment Incremental Valuation (\$2,185,590,836):

Total Overlapping Tax Increment Debt	4.43%
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(1) Excludes Refunding Bonds to be issued, but includes the Refunded Bonds.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

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BOND INSURANCE

The following information has been furnished by Build America Mutual Assurance Company (“BAM”) for use in this Official Statement. No representation is made as to the accuracy or completeness of this information, or the absence of material adverse changes therein at any time subsequent to the date hereof. Reference is made to Appendix H for a specimen of BAM’s policy.

Bond Insurance Policy

Concurrently with the issuance of the Refunding Bonds, BAM will issue its Municipal Bond Insurance Policy for the Refunding Bonds (the “**Policy**”). The Policy guarantees the scheduled payment of principal of and interest on the Refunding Bonds when due as set forth in the form of the Policy included as Appendix H to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM’s financial strength is rated “AA/Stable” by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“**S&P**”). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P’s current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Refunding Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Refunding Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Refunding Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Refunding Bonds, nor does it guarantee that the rating on the Refunding Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2017 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were \$508.7 million, \$79.5 million and \$429.2 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Refunding Bonds or the advisability of investing in the Refunding Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at buildamerica.com/creditsights/. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at buildamerica.com/obligor/. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos

are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Refunding Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Refunding Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Refunding Bonds, whether at the initial offering or otherwise.

TAX MATTERS

Federal Tax Status. In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to certain qualifications set forth below, under existing law, the interest on the Refunding Bonds is excluded from gross income for federal income tax purposes, and such interest is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, although for the purpose of computing the alternative minimum tax imposed on certain corporations, such interest is taken into account in determining certain income and earnings.

The opinions set forth in the preceding paragraph are subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986, as amended (the “**Tax Code**”) that must be satisfied subsequent to the issuance of the Refunding Bonds in order that such interest be, or continue to be, excluded from gross income for federal income tax purposes. The District has covenanted to comply with each such requirement. Failure to comply with certain of such requirements may cause the inclusion of such interest in gross income for federal income tax purposes to be retroactive to the date of issuance of the Refunding Bonds.

Tax Treatment of Original Issue Discount and Premium. If the initial offering price to the public (excluding bond houses and brokers) at which a Bond is sold is less than the amount payable at maturity thereof, then such difference constitutes “**original issue discount**” for purposes of federal income taxes and State of California personal income taxes. If the initial offering price to the public (excluding bond houses and brokers) at which a Refunding Bond is sold is greater than the amount payable at maturity thereof, then such difference constitutes “**original issue premium**” for purposes of federal income taxes and State of California personal income taxes. *De minimis* original issue discount and original issue premium is disregarded.

Under the Tax Code, original issue discount is treated as interest excluded from federal gross income and exempt from State of California personal income taxes to the extent properly allocable to each owner thereof subject to the limitations described in the first paragraph of this section. The original issue discount accrues over the term to maturity of the Refunding Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). The amount of original issue discount accruing during each period is added to the adjusted basis of such Refunding Bonds to determine taxable gain upon disposition (including sale, redemption, or payment on maturity) of such Series Refunding Bond. The Tax Code contains certain provisions relating to the accrual of original issue discount in the case of purchasers of the Refunding Bonds who purchase the Refunding Bonds after the initial offering of a substantial amount of such maturity. Owners of such Refunding Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Refunding Bonds with original issue discount, including the treatment of purchasers who do not purchase in the original offering, the allowance of a deduction for any loss on a sale or other disposition, and the treatment of accrued original issue discount on such Refunding Bonds under federal individual and corporate alternative minimum taxes.

Under the Tax Code, original issue premium is amortized on an annual basis over the term of the Refunding Bond (said term being the shorter of the Refunding Bond's maturity date or its call date). The amount of original issue premium amortized each year reduces the adjusted basis of the owner of the Refunding Bond for purposes of determining taxable gain or loss upon disposition. The amount of original issue premium on a Refunding Bond is amortized each year over the term to maturity of the Refunding Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). Amortized Refunding Bond premium is not deductible for federal income tax purposes. Owners of premium Refunding Bonds, including purchasers who do not purchase in the original offering, should consult their own tax advisors with respect to State of California personal income tax and federal income tax consequences of owning such Refunding Bonds.

California Tax Status. In the further opinion of Bond Counsel, interest on the Refunding Bonds is exempt from California personal income taxes.

Other Tax Considerations. Owners of the Refunding Bonds should also be aware that the ownership or disposition of, or the accrual or receipt of interest on, the Refunding Bonds may have federal or state tax consequences other than as described above. Bond Counsel expresses no opinion regarding any federal or state tax consequences arising with respect to the Refunding Bonds other than as expressly described above.

In addition, future legislation, if enacted into law, or clarification of the Tax Code may cause interest on the Refunding Bonds to be subject to, directly or indirectly, to federal income taxation, or otherwise prevent owners of the Refunding Bonds from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such future legislation or clarification of the Tax Code may also affect the market price for, or marketability of, the Refunding Bonds. Prospective purchasers of the Refunding Bonds should consult their own tax advisors regarding any pending or proposed federal tax legislation, as to which Bond Counsel expresses no opinion.

Form of Opinion. A copy of the proposed form of opinion of Bond Counsel for the Refunding Bonds is attached hereto as APPENDIX D.

CERTAIN LEGAL MATTERS

Continuing Disclosure

The District will execute a Continuing Disclosure Certificate in connection with the issuance of the Refunding Bonds in the form attached hereto as Appendix E. The District has covenanted therein, for the benefit of holders and beneficial owners of the Refunding Bonds to provide certain financial information and operating data relating to the District to the Municipal Securities Rulemaking Board (an “**Annual Report**”) not later than nine months after the end of the District’s fiscal year (which currently would be March 30), commencing March 30, 2018 with the report for the 2016-17 Fiscal Year, and to provide notices of the occurrence of certain enumerated events. Such notices will be filed by the District with the Municipal Securities Rulemaking Board. The specific nature of the information to be contained in an Annual Report or the notices of enumerated events is set forth in “APPENDIX E – FORM OF CONTINUING DISCLOSURE CERTIFICATE.” These covenants have been made in order to assist the Underwriter of the Refunding Bonds in complying with S.E.C. Rule 15c2-12(b)(5) (the “**Rule**”).

In the previous five years, the District failed to link certain required information under the continuing disclosure undertaking for its 2012 General Obligation Refunding Bonds, and as a result, such information was filed late. The District also failed to timely file a notice of ratings change with respect to all of its outstanding bond issues.

Neither the County nor any other entity other than the District shall have any obligation or incur any liability whatsoever with respect to the performance of the District's duties regarding continuing disclosure.

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Refunding Bonds or the agreements related thereto, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Refunding Bonds. The District is not aware of any litigation pending or threatened that (i) questions the political existence of the District, (ii) contests the District's ability to receive *ad valorem* property taxes or to collect other revenues or (iii) contests the District's ability to issue and retire the Refunding Bonds

The District may be or may become a party to lawsuits and claims which are unrelated to the Certificates or actions taken with respect to the Certificates and which have arisen in the normal course of operating the District. The District maintains certain insurance policies which provide coverage under certain circumstances and with respect to certain types of incidents. In the opinion of the District, there currently are no claims or actions pending which could have a material adverse effect on the financial position or operations of the District. The District cannot predict what types of claims may arise in the future.

RATINGS

S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("**S&P**") is expected to assign its rating of "AA" to the Refunding Bonds, based on the understanding that the Bond Insurer will deliver its Policy with respect to the Refunding Bonds. See "BOND INSURANCE." In addition, S&P has assigned an underlying rating of "A+" to the Refunding Bonds. Such ratings reflect only the views of S&P and an explanation of the significance of such ratings, and any related rating outlook, may be obtained only from S&P. There is no assurance that such ratings will continue for any given period of time or that it will not be revised downward or withdrawn entirely by S&P, if in the judgment of such rating agency circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Refunding Bonds.

Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies.

UNDERWRITING

The Refunding Bonds were sold to Piper Jaffray & Co. (the “**Underwriter**”), pursuant to a bond purchase agreement for the Refunding Bonds.

The Underwriter has agreed to purchase the Refunding Bonds at a price of \$16,824,907.60 (which is equal to the initial principal amount of the Refunding Bonds, plus net original issue premium of \$705,097.60, less Underwriter’s discount of \$80,190.00).

The purchase contract relating to the Refunding Bonds provide that the Underwriter will purchase all of the Refunding Bonds (if any are purchased), and provide that the Underwriter’s obligation to purchase is subject to certain terms and conditions, including the approval of certain legal matters by counsel.

The Underwriter may offer and sell Refunding Bonds to certain securities dealers and others at prices lower than the offering prices stated on the inside cover page hereof. The offering prices may be changed by the Underwriter.

The Underwriter has provided the following language for inclusion in this Official Statement: The Underwriter has entered into a separate distribution agreement (the “**Distribution Agreement**”) with Charles Schwab & Co., Inc. (“**CS&Co**”) that enables CS&Co to distribute certain new issue municipal securities underwritten by or allocated to the Underwriter which could include the Refunding Bonds. Under the Distribution Agreement, the Underwriter will share with CS&CO a portion of the fee or commission paid to the Underwriter.

VERIFICATION OF MATHEMATICAL ACCURACY

The Verification Agent, upon delivery of the Refunding Bonds, will deliver a report of the mathematical accuracy of certain computations, contained in schedules provided to them on behalf of the District, relating to (a) the sufficiency of the anticipated amount of proceeds of the Refunding Bonds and other funds available to pay, when due, the principal and interest when due of the Refunded Bonds and (b) the “yields” on the amount of proceeds held and invested prior to payment of the Refunded Bonds and on the Refunding Bonds considered by Bond Counsel in connection with the opinion rendered by Bond Counsel that the Refunding Bonds are not “arbitrage bonds” within the meaning of Section 148 of the Internal Revenue Code of 1986, as amended.

The report of the Verification Agent will include the statement that the scope of their engagement is limited to verifying mathematical accuracy, of the computations contained in such schedules provided to them, and that they have no obligation to update their report because of events occurring, or data or information coming to their attention, subsequent to the date of their report.

ADDITIONAL INFORMATION

The reference herein to the Bond Resolution and the Continuing Disclosure Certificate are brief outlines of certain provisions thereof. Such outlines do not purport to be complete and for full and complete statements of such provisions reference is made to said documents. Copies of the documents mentioned under this heading are available from the Underwriter and following delivery of the Refunding Bonds will be on file at the offices of the Paying Agent in Los Angeles, California.

References are also made herein to certain documents and reports relating to the District; such references are brief summaries and do not purport to be complete or definitive. Copies of such documents are available upon written request to the District, and the District reserves the right to charge a reasonable fee for reproduction and delivery of any requested copies of such documents.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Refunding Bonds.

The execution and delivery of this Official Statement have been duly authorized by the District.

IMPERIAL COMMUNITY COLLEGE DISTRICT

By: /s/ John Lau
Vice President for Administrative Services

APPENDIX A

**AUDITED FINANCIAL STATEMENTS OF THE DISTRICT
FOR FISCAL YEAR ENDING JUNE 30, 2016**

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IMPERIAL COMMUNITY COLLEGE DISTRICT

COUNTY OF IMPERIAL

AUDIT REPORT

FOR THE FISCAL YEAR ENDED
JUNE 30, 2016

San Diego

Los Angeles

San Francisco
Bay Area

christywhite
A PROFESSIONAL
ACCOUNTANCY CORPORATION
associates

IMPERIAL COMMUNITY COLLEGE DISTRICT
AUDIT REPORT
For the Fiscal Year Ended June 30, 2016
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AUDIT REPORT
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INDEPENDENT AUDITORS' REPORT

Board of Trustees
Imperial Community College District
Imperial, California

Report on the Financial Statements

We have audited the accompanying financial statements of the business-type activity of the Imperial Community College District, as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the Imperial Community College District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

Christy White, CPA

Michael Ash, CPA

Heather Rubio

SAN DIEGO
LOS ANGELES
SAN FRANCISCO/BAY AREA

Corporate Office:
348 Olive Street
San Diego, CA 92103

toll-free: 877.220.7229
tel: 619.270.8222
fax: 619.260.9085
www.christywhite.com

*Licensed by the California
State Board of Accountancy*

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activity of the Imperial Community College District, as of June 30, 2016, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the required supplementary information, such as management's discussion and analysis, schedule of funding progress, schedules of proportionate share of net pension liability, and schedules of District contributions for pensions be presented to supplement the basic financial statements. Such information, although not part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Imperial Community College District's basic financial statements. The supplementary information listed in the table of contents, including the schedule of expenditures of Federal awards, which is required by the Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information listed in the table of contents is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 13, 2016 on our consideration of Imperial Community College District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Imperial Community College District's internal control over financial reporting and compliance.

Christy White Associates

December 13, 2016
San Diego, California

MANAGEMENT'S DISCUSSION AND ANALYSIS

IMPERIAL COMMUNITY COLLEGE DISTRICT
Management's Discussion and Analysis
For the Fiscal Year Ended June 30, 2016

The Imperial Community College District (the District) consists of one main campus. The District serves approximately 7,500 students per semester. Full-Time Equivalent Student (FTES) for 2015-16 was 6,812.

The following discussion and analysis provides an overview of the financial position and activities of the Imperial Community College District for the fiscal year ended June 30, 2016. Please read it in conjunction with the financial statements and notes thereto which follow this section. Responsibility for the completeness and accuracy of this information rests with the District management.

FINANCIAL HIGHLIGHTS

- Net Position increased by \$8.76 million or 25% percent from the prior year. The increase is attributable to the continued reporting of GASB Statement No. 68, *Accounting and Financial Reporting of Pension Liabilities*.

OVERVIEW OF THE FINANCIAL STATEMENTS

The District was required to implement the reporting standards of Governmental Accounting Standards Board (GASB) Statement No. 34, as amended by GASB Statement No. 35 on July 1, 2002. This adoption changed the format and the content of the District's basic financial statements. The District is following the Business Type Activity (BTA) model. Rather than issuing fund-type financial statements, these Statements require the following components to be included in the District's financial statements:

- Management's Discussion and Analysis
- Basic financial statements including Statements of Net Position, Statements of Revenues, Expenses, and Changes in Net Position, and Statements of Cash Flows for the District as a whole
- Notes to financial statements

Additionally, fund balance is referred to as Net Position, and the Statements of Cash Flows are presented using the direct method.

The basic financial statements are designed to provide readers with a broad overview of the District's finances, using accounting methods similar to those used by private sector companies. These statements offer short-term and long-term financial information about the District's activities.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Management's Discussion and Analysis, continued
For the Fiscal Year Ended June 30, 2016

OVERVIEW OF THE FINANCIAL STATEMENTS (continued)

The Statements of Net Position present the assets, liabilities, and net position of the District as of the end of the fiscal years ended June 30, 2016 and are prepared using the accrual basis of accounting, which is similar to the accounting basis used by most private sector organizations. The difference between total assets and total liabilities (net position) is one indicator of the current financial condition of the District, or one way to measure the financial health of the District.

The net position is divided into three major categories. The first category, Invested in Capital Assets, represents the equity amount in property, plant, and equipment owned by the District. The second category is Expendable Restricted Net Position. These net positions are available for expenditure by the District, but must be spent for purposes as determined by external entities and/or donors that have placed time or purpose restrictions on the use of the assets. Restrictions can also be enforced through agreements, laws, or regulations of creditors, other governmental agencies, imposed bylaws through constitutional provisions or enabling legislation. The final category is Unrestricted Net Position that is available to the District for any lawful purpose. Although unrestricted, the District's Governing Board may place internal restrictions on these net position, but it retains the power to change, remove, or modify such restrictions.

The Statements of Revenues, Expense, and Changes in Net Position represent the operating results of the District. The purpose of the statements is to present the revenues received by the District, both operating and non-operating, the expenses paid by the District, operating and non-operating, and any other revenues, expenses, gains and losses. Thus, these statements present the District's results of operations.

Changes in total net position, as indicated on the Statements of Net Position are based on the activity presented in the Statements of Revenues, Expenses, and Changes in Net Position.

Generally, operating revenues are earned for providing goods and services to the various customers and constituencies of the District. Operating expenses are those expenses incurred to acquire or produce the goods and services provided in return for the operating revenues and to fulfill the mission of the District. Non-operating revenues are those received or pledged for which goods and services are not provided. For example, state appropriations are non-operating revenues because they are provided by the State Legislature to the District without the Legislature directly receiving commensurate goods and services for the revenues.

The Statements of Cash Flows provide information about cash receipts and cash payments during the fiscal year, major uses, and sources of cash. These statements also help users assess the District's ability to generate positive cash flows, meet obligations as they become due and evaluate the need for external financing.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Management's Discussion and Analysis, continued
For the Fiscal Year Ended June 30, 2016

OVERVIEW OF THE FINANCIAL STATEMENTS (continued)

The Statements of Cash Flows are divided into five parts. The first part reflects operating cash flows and shows the net cash provided by the operating activities of District. The second part details cash received for non-operating, non-investing, and non-capital activities of the institution. The third section deals with the cash used for the acquisition and construction of capital and related financing activities. The fourth part provided information from investing activities. This section reflects the cash received and spent for short-term investment and any interest paid or received on those investments. The final section reconciles the net cash provided by operating activities to the operating loss reflected on the Statements of Revenues, Expenses, and Changes in Net Position. The net cash reconciliation is shown in the expanded version of the Statements of Cash Flows in the financial statements.

The Statements of Net Position as of June 30, 2016 are summarized below:

Statement of Net Position

	2016	2015	Net Change
ASSETS			
Current assets	\$ 19,936,880	\$ 16,067,281	\$ 3,869,599
Non-current assets	87,248,183	89,109,969	(1,861,786)
Total Assets	107,185,063	105,177,250	2,007,813
DEFERRED OUTFLOWS OF RESOURCES	5,510,456	2,574,536	\$ 2,935,920
LIABILITIES			
Current liabilities	9,629,928	12,299,906	(2,669,978)
Non-current liabilities	139,814,155	123,097,474	16,716,681
Total Liabilities	149,444,083	135,397,380	14,046,703
DEFERRED INFLOWS OF RESOURCES	3,476,600	7,837,292	(4,360,692)
NET POSITION			
Restricted	4,923,977	4,789,412	134,565
Unrestricted	(45,149,141)	(40,272,298)	(4,876,843)
Total Net Position	\$ (40,225,164)	\$ (35,482,886)	\$ (4,742,278)

The District's total assets increased \$2.0 million or 2% from the previous year. The majority of the increase was based on an increase to cash in county treasury. Deferred outflows of resources decreased to \$3.4 million with the implementation of GASB 68 accounting for pension liabilities.

Total liabilities increased by \$14 million or 11% from the previous year. This is related mainly to the addition to the pension liability. Deferred inflows of resources increased to \$19.5 million with the implementation of GASB 68 accounting for pension liabilities.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Management's Discussion and Analysis, continued
For the Fiscal Year Ended June 30, 2016

OVERVIEW OF THE FINANCIAL STATEMENTS (continued)

The Statements of Revenues, Expenses, and Changes in Net Position for the fiscal years ended June 30, 2016 and 2015 are summarized below:

Changes in Net Position

	2016	2015	Net Change
Total operating revenues	\$ 34,851,243	\$ 33,735,745	\$ 1,115,498
Total operating expenses	79,031,338	78,410,731	620,607
Operating loss	(44,180,095)	(44,674,986)	494,891
Net non-operating revenue (expenses)	39,437,817	40,499,808	(1,061,991)
Change in net position	(4,742,278)	(4,175,178)	(567,100)
Net position - beginning of the year	(35,482,886)	1,316,562	(36,799,448)
Adjustment for restatement (See Note 16)	-	(32,624,270)	32,624,270
Net position - end of the year	\$ (40,225,164)	\$ (35,482,886)	\$ (4,742,278)

The Changes in Net Position comparison presents the District's results of operations and shows an increase in net position of \$8.7 million. The operating deficit increased by \$30.6 million or 3% percent. State apportionment and property taxes are recorded in non-operating income.

The Statements of Cash Flows for the fiscal years ended June 30, 2016 and 2015 are summarized below:

Changes in Cash Flow

	2016	2015	Net Change
Net cash provided(used) by:			
Operating activities	\$ (49,331,973)	\$ (37,709,596)	\$ (11,622,377)
Non-capital financing activities	57,117,653	46,355,801	10,761,852
Capital and related financing activities	(3,618,087)	(5,054,145)	1,436,058
Investment activities	82,942	71,296	11,646
Net increase in cash	4,250,535	3,663,356	587,179
Cash - beginning of the year	13,004,660	9,341,304	3,663,356
Cash - end of the year	\$ 17,255,195	\$ 13,004,660	\$ 4,250,535

IMPERIAL COMMUNITY COLLEGE DISTRICT
Management's Discussion and Analysis, continued
For the Fiscal Year Ended June 30, 2016

OVERVIEW OF THE FINANCIAL STATEMENTS (continued)

District Fiduciary Responsibility

The District is the trustee, or fiduciary, for certain amounts held on behalf of students, clubs, and donors for student loans and scholarships. The District's fiduciary activities are reported in separate Statements of Fiduciary Net Position and Changes in Fiduciary Net Position. Net Position of fiduciary activities are excluded from the District's net position because the District cannot use fiduciary assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

Capital Assets

As of June 30, 2016, the District had approximately \$87.2 million invested in capital assets. Capital assets consist of land and land improvements, buildings and building improvements, construction in progress, vehicles, data processing equipment, other equipment, and GASB 62 capitalized interest adjustment that met the capitalization threshold recommended by GASB Statement No. 35. These assets have accumulated depreciation of \$25.2 million, leaving a net asset amount of \$87.2 million.

Note 5 to the financial statements provides detail information on capital assets. A summary of capital assets and changes therein is presented below:

Changes in Capital Assets

	2016	2015	Net Change
Land and construction in progress	\$ 951,584	\$ 888,519	\$ 63,065
Buildings, improvements, and equipment	111,596,062	110,789,760	806,302
Accumulated depreciation	(25,299,463)	(22,568,310)	(2,731,153)
Total Capital Assets	\$ 87,248,183	\$ 89,109,969	\$ (1,861,786)

Total net capital assets decreased by \$1.8 million or 2% from the previous year as a result of net depreciation of new construction.

Debt

At June 30, 2016, the District had \$142,303,028 in long term debt. \$74,276,929 is related to the General Obligation Bonds and \$35,664,028 is related to pension liability. Note 6 beginning on page 26, provides additional information on long-term liabilities.

Changes in Long-Term Debt

	2016	2015	Net Change
GO Bonds	\$ 74,276,929	\$ 76,666,002	\$ (16,082,017)
Accreted Interest	13,221,445	6,974,127	-
Bond Premium	2,693,056	425,413	(1,531,108)
Compensated absences	110,440	693,753	68,190
OPEB Obligation	16,336,971	13,124,461	668,179
Pension liabilities	35,664,187	28,603,992	10,310,446
Total Long-term Liabilities	\$ 142,303,028	\$ 126,487,748	\$ (6,566,310)

IMPERIAL COMMUNITY COLLEGE DISTRICT
Management's Discussion and Analysis, continued
For the Fiscal Year Ended June 30, 2016

ECONOMIC FACTORS THAT MAY AFFECT THE FUTURE

In 2015-16, the District reported 6,811.9 Resident FTES, the State funded. The State continues to repay prior cash deferrals which had benefitted the District's operational abilities.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have any questions about this report or need additional financial information, contact the Director of Fiscal Services, at Imperial Community College District, 380 Aten Road, El Centro, CA 92251

FINANCIAL SECTION

IMPERIAL COMMUNITY COLLEGE DISTRICT
Statement of Net Position
June 30, 2016

	Primary Government
ASSETS	
CURRENT ASSETS	
Cash and cash equivalents	\$ 17,255,195
Accounts receivable	2,673,685
Inventories	8,000
Total Current Assets	19,936,880
NONCURRENT ASSETS	
Capital assets, net of accumulated depreciation	87,248,183
Total Noncurrent Assets	87,248,183
TOTAL ASSETS	107,185,063
DEFERRED OUTFLOWS	5,510,456
CURRENT LIABILITIES	
Accounts payable and accrued liabilities	1,682,087
Unearned revenue	5,458,968
Current Portion - Long-term liabilities	2,488,873
Total Current Liabilities	9,629,928
NONCURRENT LIABILITIES	
Noncurrent portion - Long-term liabilities	139,814,155
TOTAL LIABILITIES	149,444,083
DEFERRED INFLOWS	3,476,600
NET POSITION	
Restricted for:	
Capital projects	3,755,445
Debt service	1,168,532
Unrestricted	(45,149,141)
TOTAL NET POSITION	\$ (40,225,164)

The notes to financial statements are an integral part of this statement.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Statement Revenues, Expenses and Changes in Net Position
For the Fiscal Year Ended June 30, 2016

	<u>Primary Government</u>
OPERATING REVENUES	
Student Tuition and Fees	\$ 2,703,689
Less: Scholarship discount & allowance	21,673,640
Net tuition & fees	<u>24,377,329</u>
Grants and Contracts, noncapital:	
Federal	2,808,252
State	7,363,109
Local	302,553
Subtotal	<u>10,473,914</u>
TOTAL OPERATING REVENUES	<u>34,851,243</u>
OPERATING EXPENSES	
Salaries	31,174,879
Benefits	13,086,637
Financial aid	22,526,265
Supplies, materials, & other operating expenses	8,063,449
Capital Outlay	1,448,955
Depreciation	2,731,153
TOTAL OPERATING EXPENSES	<u>79,031,338</u>
OPERATING LOSS	<u>(44,180,095)</u>
NONOPERATING REVENUES/(EXPENSES)	
State apportionments, non-capital	24,232,091
Local property taxes	11,623,457
State taxes & other revenues	14,909,909
Investment income - non-capital	82,942
Interest expense	(2,169,132)
Other non-operating revenues	(9,241,450)
TOTAL NONOPERATING REVENUES (EXPENSES)	<u>39,437,817</u>
CHANGE IN NET POSITION	(4,742,278)
BEGINNING NET POSITION	<u>(35,482,886)</u>
ENDING NET POSITION	<u>\$ (40,225,164)</u>

The notes to financial statements are an integral part of this statement.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Statement of Cash Flows
For the Fiscal Year Ended June 30, 2016

CASH FLOWS FROM OPERATING ACTIVITIES

Tuition and fees	\$ 2,703,689
Grants and contracts	10,473,914
Payments to or on behalf of employees	(31,919,862)
Payments to vendors for supplies and services	(8,063,449)
Payments to students for scholarships and grants	(22,526,265)
Net Cash Flows From Operating Activities	<u>(49,331,973)</u>

CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES

State apportionments	24,232,091
Property taxes	11,623,457
State taxes and other revenue	21,262,105
Net Cash Flows From Non-capital Financing Activities	<u>57,117,653</u>

CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES

Acquisition and construction of capital assets	(1,448,955)
Principal and interest paid on capital debt	(2,169,132)
Net Cash Flows From Capital Financing Activities	<u>(3,618,087)</u>

CASH FLOWS FROM INVESTING ACTIVITIES

Investment income	82,942
Net Cash Flows From Investing Activities	<u>82,942</u>

NET CHANGE IN CASH AND CASH EQUIVALENTS

	4,250,535
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	<u>13,004,660</u>
CASH AND CASH EQUIVALENTS, END OF YEAR	<u>\$ 17,255,195</u>

The notes to financial statements are an integral part of this statement.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Statement of Cash Flows, continued
For the Fiscal Year Ended June 30, 2016

**RECONCILIATION OF NET OPERATING LOSS TO NET CASH
FLOWS FROM OPERATING ACTIVITIES**

Operating Loss	\$ (30,671,774)
Adjustments to Reconcile Operating Loss to Net Cash Flows from Operating Activities:	
Depreciation expense	2,731,153
Changes in Assets and Liabilities:	
Receivables, net	368,157
Inventory and prepaid expenditures	12,779
Accounts payable and accrued liabilities	(363,921)
Pension liability	(7,060,195)
Deferred revenue	(2,264,623)
Deferred inflows and outflows of resources	(12,083,549)
Total Adjustments	(18,660,199)
Net Cash Flows From Operating Activities	\$ (49,331,973)

**CASH AND CASH EQUIVALENTS CONSIST
OF THE FOLLOWING**

Cash in banks	\$ 408,208
Cash in county treasury	16,846,987
Total Cash and Cash Equivalents	\$ 17,255,195

The notes to financial statements are an integral part of this statement.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Statement of Net Position – Fiduciary Funds
For the Year Ended June 30, 2016

	Associated Student Trust	Scholarship and Loan Trust	Campus Organizations
ASSETS			
Cash	\$ 121,249	\$ 13,662	\$ 126,128
Total Assets	121,249	13,662	126,128
LIABILITIES			
NET POSITION			
Restricted Net Position	121,249	13,662	126,128
Total Net Position	\$ 121,249	\$ 13,662	\$ 126,128

The notes to financial statements are an integral part of this statement.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements
June 30, 2016

NOTE 1 – ORGANIZATION

The Imperial Community College District (the District) was established in 1961 as a political subdivision of the State of California and provides post-secondary educational services to residents of the surrounding area. The District operates under a locally elected five member Board of Trustees form of government, which establishes the policies and procedures by which the District operates. The Board must approve the annual budgets for the General Fund, special revenue funds, and capital project funds, but these budgets are managed at the department level. Currently, the District operates one campus located in El Centro, California: Imperial Valley Community College. While the District is a political subdivision of the State of California, it is not a component unit of the state in accordance with the provisions of Governmental Accounting Standards Board (GASB) Statement No. 39.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

For financial reporting purposes, the District is considered a special-purpose government engaged only in business-type activities as defined by GASB Statements No. 34 and No. 35 as amended by GASB Statements No. 37 and No. 38. Accordingly, the District's financial statements have been presented using the economic resources measurement focus and the accrual basis of accounting. Under the accrual basis, revenues are recognized when earned, and expenses are recorded when an obligation has been incurred. All significant intra-agency and intra-fund transactions have been eliminated.

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place and amounts are available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter to be used to pay liabilities of the current fiscal year. For the District, available means expected to be received within 90 days of fiscal year end.

Nonexchange transactions, in which the District receives value without directly giving equal value in return, include state apportionments, property taxes, certain grants, entitlements, and donations. Revenue from state apportionments is generally recognized in the fiscal year in which it is apportioned from the state. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose requirements.

The accounting policies of the District conform to accounting principles generally accepted in the United States of America (U.S. GAAP) as applicable to colleges and universities, as well as those prescribed by the California Community Colleges Chancellor's Office.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Measurement Focus, Basis of Accounting, and Financial Statement Presentation (continued)

The District reports are based on all applicable GASB pronouncements, as well as applicable Financial Accounting Standards Board (FASB) pronouncements. When applicable, certain prior year amounts have been reclassified to conform to current year presentation. The budgetary and financial accounts of the District are maintained in accordance with the State Chancellor's Office Budget and Accounting Manual.

The financial statements are presented in accordance with the reporting model as prescribed in GASB Statement No. 34, *Basic Financial Statements and Management's Discussion and Analysis for State and Local Governments*, and GASB Statement No. 35, *Basic Financial Statements and Management's Discussion and Analysis for Public Colleges and Universities*, as amended by GASB Statements No. 37 and No. 38. The Business type activities model followed by the District requires the following components of the District's financial statements:

- Management's Discussion and Analysis
- Basic Financial Statements for the District as a whole including:
 - o Statements of Net Position
 - o Statements of Revenues, Expenses, and Changes in Net Position
 - o Statements of Cash Flows
- Notes to Financial Statements

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand and demand deposits. Cash equivalents also include cash with county treasury balances for purposes of the statements of cash flows.

Investments

In accordance with GASB Statement No. 31, *Accounting and Reporting for Certain Investments and for External Investment Pools*, investments are stated at fair market value. Fair market value is estimated based on published market prices at year-end. Investments for which there are no quoted market prices are not material.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Accounts Receivable

Accounts receivable include amounts due from the federal, state and/or local governments, or private sources, in connection with reimbursement of allowable expenditures made pursuant to the District's grant and contracts. Accounts receivable also consist of tuition and fee charges to students and auxiliary enterprise services provided to students, faculty, and staff, the majority of each residing in the State of California. Management has analyzed these accounts and believes all amounts are fully collectable.

Inventory

Inventory consists primarily of expendable supplies held for consumption. Inventories are stated at the lower of cost or market, utilizing the first-in, first-out method. The cost is recorded as an expense as the inventory is consumed.

Capital Assets and Depreciation

Capital assets are long-lived assets of the District as a whole and include land, construction-in-progress, buildings, leasehold improvements, and equipment. The District maintains an initial unit cost capitalization threshold of \$5,000. Assets are recorded at historical cost, or estimated historical cost, when purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized. Major outlays for capital improvements are capitalized as construction-in-progress as the projects are constructed. Routine repairs and maintenance that do not extend the life of the building or equipment are charged as operating expenses in the year the expense is incurred.

Depreciation of capital assets is computed and recorded by the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 40 to 50 years; improvements, 20 to 25 years; equipment, 5 to 15 years.

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the entity-wide financial statements.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Bond Premiums, and Discounts

Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight line method.

Compensated Absences

Accumulated unpaid employee vacation benefits are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the entity-wide financial statements. The amounts have been recorded in the fund from which the employees, who have accumulated the leave, are paid. The District also participated in “load-banking” with eligible academic employees whereby the employee may teach extra courses in one period in exchange for time off in another period.

Sick leave is accumulated without limit for each employee based upon negotiated contracts. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time, therefore, the value of accumulated sick leave is not recognized as a liability in the District’s financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave.

Deferred Revenue

Deferred revenue arises when potential revenue does not meet both the “measurable” and “available” criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for deferred revenue is removed from the combined balance sheet and revenue is recognized. Deferred revenues include (1) amounts received for tuition and fees prior to the end of the fiscal year that are related to the subsequent fiscal year and (2) amounts received from federal and state grants received before the eligibility requirements are met.

Net Position

GASB Statements No. 34 and No. 35 report equity as “Net Position.” Net Position are classified according to external donor restrictions or availability of assets for satisfaction of District obligations according to the following net asset categories:

- **Invested in Capital Assets, Net Investment in Capital Assets of Related Debt** – Capital Assets, net of accumulated depreciation and outstanding principal balances of debt attributable to the acquisition, construction, or improvement of those assets.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Net Position (continued)

- **Restricted – Expendable** – Net Position whose use by the District is subject to externally imposed constraints that can be fulfilled by actions of the District pursuant to those constraints or by the passage of time.
- **Unrestricted** – Net Position that is not subject to externally imposed constraints. Unrestricted net position may be designated for specific purposes by action of the Board of Trustees or may otherwise be limited by contractual agreements with outside parties.

Operating Revenues and Expenses

Classification on Revenues – The District has classified its revenues as either operating or nonoperating according to the following criteria:

- **Operating revenues** – Operating revenues include activities that have the characteristics of exchange transactions, such as, (1) student tuition and fees, net of scholarship discounts and allowances, (2) internal service – self-insurance charges, (3) most federal, state, and local grants and contracts, and (4) interest on institutional student loans.
- **Non-operating revenues** – Non-operating revenues include activities that have the characteristics of non-exchange transactions, such as state apportionments, property taxes, investment income, and other revenue sources described in GASB Statement No. 34.

Classification of Expenses – Nearly all the District's expenses are from exchange transactions and are classified as either operating or non-operating according to the following criteria:

- **Operating expenses** – Operating expenses are necessary costs to provide the services of the District and include employee salaries and benefits, supplies, operating expenses, and student financial aid.
- **Non-operating expenses** – Non-operating expenses include interest expense and other expenses not directly related to the services of the District.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

State Apportionments

Certain current year apportionments from the state are based on financial and statistical information of the previous year. Any corrections due to the recalculation of the apportionment are made in February of the subsequent year and are recorded in the District's financial records when received.

On-Behalf Payments

GASB Statement No. 24 requires direct on-behalf payments for fringe benefits and salaries made by one entity to a third party recipient for the employees for another legally separate entity be recognized as revenues and expenditures by the employer entity. The State of California makes direct on-behalf payments to the State Teachers (STRS) on behalf of all community colleges in California. The amounts of on-behalf payments were \$1,243,228 for STRS.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amount reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. The County Assessor is responsible for assessment of all taxable real property. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of San Diego bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Scholarship Discounts and Allowances

Student tuition and fee revenue is reported net of scholarship discounts and allowances in the Statements of Revenues, Expenditures, and Changes in Net Position. Scholarship discounts and allowances represent the difference between stated charges for enrollment fees and the amount that is paid by students or third parties making payment on the students' behalf. To the extent that fee waivers and discount have been used to satisfy tuition and fee charges, the District has recorded a scholarship discount and allowance.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Federal Financial Assistance Programs

The District participates in Federally funded Pell Grants, SEOG Grants, Federal Work-Study, and Stafford Loan programs, as well as other programs funded by the Federal government. Financial aid to students is either reported as operating expenses or scholarship allowances, which reduce revenues. The amount reported as operating expense represents the portion of aid that was provided to the student in the form of cash. These programs are audited in accordance with the Uniform Guidance. These amounts have not been included as revenues or expenses within the accompanying financial statements as the amounts were passed directly to qualifying students; however, the amounts are included on the Schedule of Expenditures of Federal Awards.

Interfund Activity

Exchange transactions between funds of the District are reported as revenues and expenses within the statements of Revenues, Expenses, and Changes in Net Position. Flows of cash or goods from one fund to another without a requirement for repayment are recognized as interfund transfers within the District's fund financial statements. Amounts owing between funds for both exchange and non-exchange transactions are recorded as interfund receivables and payables within the District's fund financial statements. Interfund transfers and interfund receivables and payables are eliminated during the consolidation process in the entity-wide financial statements.

New Accounting Pronouncements

GASB Statement No. 72 – In February 2015, GASB issued Statement No. 72, *Fair Value Measurement and Application*. This standard addresses accounting and financial reporting issues related to fair value measurements. The Statement is effective for periods beginning after June 15, 2015. The District has implemented GASB Statement No. 72 for the year ended June 30, 2016.

GASB Statement No. 73 – In June 2015, GASB issued Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68*. This standard establishes requirements for defined benefit pensions that are not within the scope of GASB Statement 68 and amends certain provisions of GASB Statements 67 and 68. The Statement is effective for periods beginning after June 15, 2016. The District has not yet determined the impact on the financial statements.

GASB Statement No. 75 – In June 2015, GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. This standard's primary objective is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions. The Statement is effective for periods beginning after June 15, 2017. The District has not yet determined the impact on the financial statements.

GASB Statement No. 80 – In January 2016, GASB issued Statement No. 80, *Blending Requirements for Certain Component Units – an Amendment of GASB Statement No. 14*. This standard's primary objective is to improve financial reporting by clarifying the financial statement presentation requirements for certain component units. The Statement is effective for periods beginning after June 15, 2016. The District has not yet determined the impact on the financial statements.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 3 – CASH AND INVESTMENTS

Policies and Practices

The District is authorized under California Government Code to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered state warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies; medium term corporate notes; shares of beneficial interest issued by diversified management companies; certificates of participation; obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury – The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (Education Code Section 41001). The fair market value of the District's investment in the pool is reported in the accompanying financial statements at amounts based upon the District's pro-rata share of the fair market value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

<u>Authorized Investment Type</u>	<u>Maximum Remaining Maturity</u>	<u>Maximum Percentage of Portfolio</u>
Local Agency bonds, Notes, Warrants	5 years	None
Registered State Bonds, Notes, Warrants	5 years	None
U.S. Treasury Obligations	897 days	56.44
U.S. Agency Securities	5 years	None
Certificates of Deposit - Bank	261 days	1.96
Commercial Paper	270 days	None
Negotiable Certificates of Deposit	773 days	22.76
Repurchase Agreements	1 year	None
Reverse Repurchase Agreements	92 days	None
Medium-Term Corporate Notes	5 years	None
Mutual Funds	N/A	None
Money Market Mutual Funds	N/A	None
Mortgage Pass-Through Securities	5 years	None
County Pooled Investment Funds	N/A	None
Local Agency Investment Fund (LAIF)	1 day	18.85
Joint Powers Authority Pools	N/A	None

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 3 – CASH AND INVESTMENTS (continued)

Authorized Under Debt Agreements

Investments of debt proceeds held by bond trustees are governed by provisions of the debt agreements rather than the general provisions of the California Government Code. These provisions allow for the acquisition of investment agreements with maturities of up to 30 years.

Summary of Cash and Investments

Cash and investments as of June 30, 2016, consist of the following:

Primary government	\$	17,255,195
Fiduciary funds		261,039
Total Cash and Investments	\$	<u>17,516,234</u>
Cash in county treasury	\$	16,846,987
Cash on hand in banks		409,120
Cash with fiscal agent		260,127
Total Cash and Investments	\$	<u>17,516,234</u>

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair market value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair market value to changes in market interest rates. The District manages its exposure to interest rate risk by primarily investing in the County Investment Pool and in other investment agreements.

Specific Identification

Information about the sensitivity of the fair market values of the District's investments to market interest rate fluctuations is indicated by the following schedule that shows the distribution of the District's investment by maturity:

	Cost	Fair Value
Cash in county treasury	\$ 16,846,987	\$ 16,341,577

*Weighted average days to maturity

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment in the County pool is not required to be rated, nor has it been rated as of June 30, 2016. Presented below is the minimum rating required by the California Government Code, the District's investment policy, or debt agreements, and the actual rating as of the year-end for each investment type.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 3 – CASH AND INVESTMENTS (continued)

Custodial Credit Risk – Deposits

Custodial credit risk is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The California Government Code requires that a financial institution secure deposits made by state or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agencies. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2016, the District's bank balance of \$260,127 was not exposed to custodial credit risk because the first \$250,000 deposited per bank was covered under the FDIC insurance limit, and the remaining balance was collateralized with securities held by the pledging financial institution's trust department or agency.

NOTE 4 – ACCOUNTS RECEIVABLE

Receivables for the District consisted primarily of intergovernmental grants, entitlements, interest, and other local sources. All receivables are considered collectible in full.

The accounts receivable as of June 30, 2016 are as follows:

	Primary Government
Federal	\$ 589,949
State	1,187,282
Local	896,454
Total	<u>\$ 2,673,685</u>

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 5 – CAPITAL ASSETS

Capital asset activity for the District for the fiscal year ended June 30, 2016 was as follows:

	Balance June 30, 2015	Net Change	Balance June 30, 2016
Governmental Activities			
Capital assets not being depreciated			
Land	\$ 160,000	\$ -	\$ 160,000
Construction in Progress	728,519	63,065	791,584
Total capital assets not being depreciated	888,519	63,065	951,584
Capital assets being depreciated			
Land improvements	15,704,099	322,564	16,026,663
Buildings & improvements	89,778,214	58,785	89,836,999
Furniture & equipment	5,307,447	424,953	5,732,400
Total capital assets being depreciated	110,789,760	806,302	111,596,062
Less accumulated depreciation			
Land improvements	(4,354,401)	(985,070)	(5,339,471)
Buildings & improvements	(15,202,525)	(1,555,311)	(16,757,836)
Furniture & equipment	(3,011,384)	(190,772)	(3,202,156)
Total accumulated depreciation	(22,568,310)	(2,731,153)	(25,299,463)
Total Governmental Activities Capital Assets, net	\$ 89,109,969	\$ (1,861,786)	\$ 87,248,183

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 6 – LONG-TERM OBLIGATIONS

Summary

The changes in the District's long-term obligations for the 2016 fiscal year consisted of the following:

	Balance June 30, 2015	Adjustments	Additions	Deductions	Balance June 30, 2016	Due Within One Year
GO Bonds	\$ 76,666,002	\$ -	\$ -	\$ 2,389,073	\$ 74,276,929	\$ 2,452,428
Accreted Interest	6,974,127	4,043,954	2,261,605	58,241	13,221,445	-
Bond Premium	425,413	2,422,279	-	154,636	2,693,056	-
Compensated absences	693,753	-	-	583,313	110,440	36,445
OPEB Obligation	13,124,461	-	3,212,510	-	16,336,971	-
Pension liabilities	28,603,992	-	7,060,195	-	35,664,187	-
Totals	\$ 126,487,748	\$ 6,466,233	\$ 12,534,310	\$ 3,185,263	\$ 142,303,028	\$ 2,488,873

Description of Debt

Payments on the general obligation bonds are made by the bond interest and redemption fund with local property tax collections. The General Fund makes payments for the lease revenue bonds, capital leases, and the supplemental employee retirement plan. An accrued vacation will be paid by the fund for which the employee worked.

Original issuance premiums and issuance costs are amortized over the life of the bonds as a component of interest expense on the bonds.

Bonded Debt

In August 2002, the District entered into a trust indenture with the California Community College Financing Authority to issue lease revenue bonds in order to provide funding for the implementation of a District-wide computer and software networking system. The bonds consist of Series 2002A bonds of which the District's portion of the issuance was \$3,370,000. Interest paid payable February 1 and August 1 of each year, commencing on February 1, 2003 at rates ranging from 1.4% to 5.0%. Principal is payable on August 1 of each year commencing on August 1, 2003 and through the maturity date August 1, 2017.

In January 2005, the District authorized the sale and issuance of General Obligation Bonds, Election of 2004, and Series 2005A in the amount of \$24,500,000. Proceeds from the sale of the bonds will be used to finance the addition and modernization of college facilities for the District. Interest is payable February 1, and August 1, commencing August 1, 2005 at rates ranging from 3.30% to 7.00%. Principal is payable August 1, commencing August 1, 2005 at rates ranging from 3.30% to 7.00%. Principal is payable August 1, commencing August 1, 2006 and through the maturity date August 1, 2029.

NOTE 6 – LONG-TERM OBLIGATIONS (continued)

Bonded Debt (continued)

In November 2006, the District authorized the sale and issuance of General Obligation Bonds, Election of 2004, and Series 2006B in the amount of \$13,285,473. Proceeds from the sale of the bonds will be used to finance the addition and modernization of college facilities for the District. Interest is payable February 1 and August 1, commencing

August 1, 2007 at rates ranging from 4.00% to 4.25%. Principal is payable on August 1, commencing August 1, 2009 and through the maturity date August 1, 2031.

In November 2007, the District authorized the sale and issuance of General Obligation Bonds, Election of 2004, and Series 2007C in the amount of \$11,915,816. Proceeds from the sale of the bonds will be used to finance the addition and modernization of college facilities for the District. Interest is payable February and August 1, commencing August 1, 2009 and through the maturity date August 1, 2032.

In May 2009 the District issued \$3,031,779 in General Obligation Bonds in order to provide funding for college facilities projects as stated in the ballot measure for the District. Interest is payable semi-annually on February 1 and August 1 of each year at an interest rates ranging from 3.6%-6.9% commencing August 1, 2009. Principal is payable on August 1 of each year commencing August 1, 2009 and the maturity date August 1, 2033.

In May 2009, the District issued \$5,866,919 in General Obligation Bonds in order to provide funding for college facilities projects as stated in the ballot measure for the District. Interest is payable semi-annually on February 1 and August 1 of each year at an interest rate of 6.9% commencing August 1, 2009. Principal is payable on August 1 of each year commencing August 1, 2033 and through the maturity date August 1, 2037.

In January 2011, the District issued \$9,405,512 in General Obligations Bonds in order to provide funding for college facilities projects as stated in the ballot measure for the District. Interest is payable semi-annually on February 1 and August 1 of each year at an interest rate of 6.8% commencing August 1, 2015. Principal is payable on August 1 of each year commencing August 1, 2015 and through the maturity date August 1, 2040.

In March 2014, the District issued \$16,642,939 of 2010 Election, Series 2014A, General Obligation Bonds in order to finance certain college facilities. The issue consisted of (a) \$3,610,000 Current Interest Bonds with an interest rate of 5.00% due August 1, 2041, (b) \$7,980,000 Current Interest Bonds with an interest rate of 4.625% due August 1, 2041, (c) \$1,965,733 Capital Appreciation Bonds with interest rates ranging from 3.95% to 7.99% due August 1, 2016 through August 2034, and (d) \$3,087,206 Convertible Capital Appreciation Bonds with interest rates ranging from 4.5% to 5.1% due August 2029 through August 2037.

Principal payments on the bonds are due August 1 of each year beginning August 1, 2016 while interest is paid semi-annually on February 1 and August 1 each year through maturity. Net proceeds of \$16,491,950, after premium cost of issuance, were deposited into an escrow deposit and trust account to provide for the payment for the District's 2010 General Obligation Bond Anticipation Notes of \$14,000,956 due August 2014, with additional proceeds of \$150,939, deposited into the Measure J Building Fund to provide for the financing of college facilities.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 6 – LONG-TERM OBLIGATIONS (continued)

Bonded Debt (continued)

The outstanding general obligation bonded debt as of June 30, 2016 is as follows:

	Issuance Date	Yield	Maturity Date	Amount of Original Issue	July 1, 2015 Balance	Adjustments	Additions	Redeemed Current Year	June 30, 2016 Balance	Due Within One Year
Series 2002A Lease Revenue Bonds	8/1/2002	1.40-5.00%	8/1/2018	\$ 3,370,000	\$ 845,000	\$ -	\$ -	\$ 270,000	\$ 575,000	\$ 280,000
Series 2005	1/20/2005	3.30-7.00%	8/1/2029	24,500,000	19,310,000	-	-	380,000	18,930,000	450,000
Series 2006B	11/29/2006	4.00-4.30%	8/1/2031	13,285,473	11,440,473	-	-	775,000	10,665,473	870,000
Series 2007C	11/1/2007	4.00-7.00%	8/1/2031	11,915,816	10,135,816	-	-	520,000	9,615,816	550,000
Series 2009D	5/5/2009	3.60-6.90%	8/1/2034	3,031,779	3,019,343	-	-	39,149	2,980,194	69,818
Series 2009E	5/5/2009	6.90%	8/1/2038	5,866,919	5,866,919	-	-	-	5,866,919	-
Series 2011A	1/27/2011	3.50-7.00%	8/1/2040	9,405,512	9,405,512	-	-	404,924	9,000,588	-
Series 2014A		3.95-7.99%		16,642,939	16,642,939	-	-	-	16,642,939	232,610
Accreted Interest					6,974,127	4,043,954	2,261,605	58,241	13,221,445	-
Bond Premium					425,413	2,422,279	-	154,636	2,693,056	-
				\$ 88,018,438	\$ 84,065,542	\$ 6,466,233	\$ 2,261,605	\$ 2,601,950	\$ 90,191,430	\$ 2,452,428

The annual requirements to amortize the Series 2002A Lease Revenue bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 280,000	\$ 21,750	\$ 301,750
2018	295,000	7,375	302,375
Total	\$ 575,000	\$ 29,125	\$ 604,125

The annual requirements to amortize the Series 2005 bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 450,000	\$ 883,729	\$ 1,333,729
2018	520,000	865,766	1,385,766
2019	600,000	844,391	1,444,391
2020	730,000	818,166	1,548,166
2021	865,000	786,266	1,651,266
2022-2026	6,720,000	3,168,164	9,888,164
2027-2031	9,045,000	964,875	10,009,875
Total	\$ 18,930,000	\$ 8,331,357	\$ 27,261,357

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 6 – LONG-TERM OBLIGATIONS (continued)

Bonded Debt (continued)

The annual requirements to amortize the Series 2006B bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 870,000	\$ 56,800	\$ 926,800
2018	985,000	19,700	1,004,700
2019	315,163	779,837	1,095,000
2020	672,610	457,390	1,130,000
2021	661,103	503,897	1,165,000
2022-2026	2,694,200	2,830,800	5,525,000
2027-2031	3,308,501	5,516,499	8,825,000
2032	1,158,897	2,351,103	3,510,000
Total	\$ 10,665,473	\$ 12,516,026	\$ 23,181,499

The annual requirements to amortize the Series 2007C refunding bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 550,000	\$ 143,075	\$ 693,075
2018	565,000	120,775	685,775
2019	595,000	97,575	692,575
2020	615,000	73,375	688,375
2021	640,000	48,275	688,275
2022-2026	2,349,950	2,032,787	4,382,737
2027-2031	1,943,387	3,336,613	5,280,000
2032	2,357,479	5,292,521	7,650,000
Total	\$ 9,615,816	\$ 11,144,996	\$ 20,760,812

The annual requirements to amortize the Series 2009D refunding bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 69,818	\$ 25,182	\$ 95,000
2018	89,518	40,482	130,000
2019	102,670	57,330	160,000
2020	118,948	81,052	200,000
2021	137,360	112,640	250,000
2022-2026	916,559	1,243,441	2,160,000
2027-2031	1,197,629	3,052,371	4,250,000
2032-2034	347,691	2,012,309	2,360,000
Total	\$ 2,980,194	\$ 6,624,807	\$ 9,605,001

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 6 – LONG-TERM OBLIGATIONS (continued)

Bonded Debt (continued)

The annual requirements to amortize the Series 2009E bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ -	\$ -	\$ -
2018	-	-	-
2019	-	-	-
2020	-	-	-
2021	-	-	-
2022-2026	-	-	-
2027-2031	-	-	-
2032-2036	4,133,376	19,076,624	23,210,000
2037-2038	1,733,543	12,716,457	14,450,000
Total	\$ 5,866,919	\$ 31,793,081	\$ 37,660,000

The annual requirements to amortize the Series 2011A bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ -	\$ 707,738	\$ 707,738
2018	11,706	721,032	732,738
2019	20,836	736,902	757,738
2020	29,670	758,067	787,737
2021	34,658	846,679	881,337
2022-2026	60,361	4,454,326	4,514,687
2027-2031	53,164	4,516,523	4,569,687
2032-2036	-	4,224,688	4,224,688
2037-2041	8,790,193	6,653,439	15,443,632
Total	\$ 9,000,588	\$ 23,619,394	\$ 32,619,982

The annual requirements to amortize the Series 2014A bonds payable outstanding at June 30, 2016 are summarized below:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 232,610	\$ 596,965	\$ 829,575
2018	241,967	622,608	864,575
2019	248,595	745,306	993,901
2020	128,064	805,161	933,225
2021	142,706	830,519	973,225
2022-2026	590,673	4,205,452	4,796,125
2027-2031	720,642	3,964,221	4,684,863
2032-2036	1,620,044	4,039,031	5,659,075
2037-2041	5,747,638	2,800,296	8,547,934
2042	6,970,000	164,800	7,134,800
Total	\$ 16,642,939	\$ 18,774,359	\$ 35,417,298

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 7 – OTHER POSTEMPLOYMENT BENEFITS

The District provides postemployment health care benefits in accordance with District employment contracts to all employees and their eligible dependents who retire from the District until attaining age 65 with at least ten years in service. When the retiree attains age 65, all postemployment benefits cease. The District contributes 100 percent of the amount of the benefit premium costs incurred by retirees and their dependents.

Plan Description and Contribution Information

Membership of the plan consisted of the following at May 16, 2016, the date of the latest actuarial valuation:

Eligible Retirees	195
Eligible Active Employees	265
Total	<u>460</u>

The funded status of the plan as of the most recent actuarial valuation date is as follows:

Actuarial Valuation Date	Value of Assets	Actuarial Accrued Liability (AAL)	Unfunded AAL (UAAL)	Funded Ratio
5/16/2016	\$ -	\$ 48,418,997	\$ 34,277,992	0%

Actuarial valuations of an ongoing plan involve estimates of the reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedules of funding progress, presented as required supplementary information following the notes to the financial statements, present multiyear trend information about whether the actuarial values of plan assets are increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

The accompanying schedules of employer contributions present trend information about the amounts contributed to the plan by the employer in comparison to the ARC, an amount that is actuarially determined in accordance with the parameters of GASB Statement 43. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost for each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years.

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designated to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 7 – OTHER POSTEMPLOYMENT BENEFITS (continued)

Funded Status and Funding Progress – OPEB Plans (continued)

Additional information as of the latest actuarial valuation follows:

Valuation Date	5/16/2016
Actuarial Cost Method	Entry Age Normal Cost
Amortization Method	Level Percentage of Payroll
Amortization Period	30 Years
Asset Valuation	Market Value Basis
Actuarial Assumptions:	
Inflation rate	2.75%
Discount rate	4.50%
Healthcare cost trend rates:	
Long-term	4.00%

Annual OPEB Cost and Net OPEB Asset

The following table shows the elements of the District's annual OPEB cost for the year, the amount actually paid on behalf of the plan, and changes in the District's net OPEB asset to the plan for the fiscal year ended June 30, 2016:

Annual required contribution (ARC)	\$	4,727,865
Initial UAAL Amortization		-
Residual UAAL Amortization		-
Annual OPEB cost		<u>4,727,865</u>
Contributions made:		-
Pay-as-you-go cost		<u>1,515,355</u>
Total contributions made		<u>1,515,355</u>
Increase in net OPEB obligation		<u>3,212,510</u>
Net OPEB obligation - July 1, 2015		<u>13,124,461</u>
Net OPEB obligation - June 30, 2016	\$	<u>16,336,971</u>

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 8 – RISK MANAGEMENT

Description

The District is exposed to various risk of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The District has one self-insurance fund (Internal Service Fund) to account for and finance its uninsured risks of loss. The General and Internal Service Funds provide dental and vision coverage to employees.

Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years.

Participation in Public Entity Risk Pools and JPAs

The Imperial Community College District participates in two joint powers agreements (JPA's) with the Imperial County School Districts Property and Liability Authority (ICSDPL) and the Self-Insured Program for Imperial County (SIPIC). The relationship between the Imperial Community College District and the JPA's is such that the JPA's are not component units of the Imperial Community College District for financial reporting purposes. The JPA's arrange for and provide workers compensation, health, property and liability insurance for its members. A board consisting of a representative from each member district governs each JPA. The board controls the operations of each JPA including selection of management and approval of operating budgets, independent of any influence by the member districts beyond their representation on the board. Each member district pays a premium commensurate with the level of coverage requested and shares surpluses and deficits proportionate to their participation in each JPA. Financial information for the JPA's at June 30, 2016 was not available at the time this report was issued. The information can be obtained by contacting the JPA directly.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS

Qualified employees are covered under multiple-employer contributory retirement plans maintained by agencies of the State of California. Certificated employees are members of the California State Teachers' Retirement System (CalSTRS), and classified employees are members of the California Public Employees' Retirement System (CalPERS). The District reported its proportionate share of the net pension liabilities, pension expense, deferred outflow of resources, and deferred inflow of resources for each of the above plans as follows:

	<u>Net pension liability</u>	<u>Deferred outflows related to pensions</u>	<u>Deferred inflows related to pensions</u>	<u>Pension expense</u>
STRS Pension	\$ 25,216,202	\$ 3,662,095	\$ 2,476,899	\$ 2,215,389
PERS Pension	10,447,985	1,848,361	999,701	1,051,360
	<u>\$ 35,664,187</u>	<u>\$ 5,510,456</u>	<u>\$ 3,476,600</u>	<u>\$ 3,266,749</u>

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the California State Teachers' Retirement System (CalSTRS); a cost-sharing multiple employer public employee retirement system defined benefit pension plan administered by CalSTRS. The plan provides retirement and disability benefits to plan members and survivor benefits to beneficiaries. Benefit provisions are established by state statutes, as legislatively amended, within the State Teachers' Retirement Law. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS annual financial report may be obtained from CalSTRS, 7919 Folsom Blvd., Sacramento, CA 95826.

Benefits provided

The CalSTRS defined benefit plan has two benefit formulas:

CalSTRS 2% at 60: Members first hired on or before December 31, 2012, to perform service that could be creditable to CalSTRS

CalSTRS 2% at 62: Members first hired on or after January 1, 2013, to perform service that could be creditable to CalSTRS

CalSTRS 2% at 62

CalSTRS 2% at 62 members are eligible for normal retirement at age 62, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. An early retirement option is available at age 55. The age factor for retirement after age 62 increases with each quarter year of age to 2.4 percent at age 65 or older.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California State Teachers' Retirement System (CalSTRS) (continued)

Contributions

Active plan CalSTRS 2% at 60 and 2% at 62 members are required to contribute 9.20% and 8.56% of their salary for fiscal year 2016, respectively, and the District is required to contribute an amount established in State statute. The actuarial methods and assumptions used for determining the rate are those adopted by CalSTRS Teachers' Retirement Board. The required employer contribution rate for fiscal year 2016 was 10.73% of annual payroll. The contribution requirements of the plan members are established by state statute. Contributions to the plan from the District were \$2,086,304 for the year ended June 30, 2016.

On-Behalf Payments

The District was the recipient of on-behalf payments made by the State of California to CalSTRS for K-14 education. These payments consist of state general fund contributions of approximately \$2,683,227 to CalSTRS (7.126% of 2013-14 creditable compensation subject to CalSTRS).

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2016, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the net pension liability	\$	25,216,202
States's proportionate share of the net pension liability associated with the District		13,336,556
Total	\$	<u>38,552,758</u>

The net pension liability was measured as of June 30, 2015, and the total pension liability used to calculate the net pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2014, and rolling forward the total pension liability to June 30, 2015. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, an amount established in State statute. At June 30, 2016, the District's proportion was .129% percent, which was an increase of from its proportion measured as of June 30, 2015.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California State Teachers’ Retirement System (CalSTRS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

For the year ended June 30, 2016, the District recognized pension expense of \$2,086,304. In addition, the District recognized pension expense and revenue of \$1,575,791 for support provided by the State. At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between projected and actual earnings on plan investments	\$ -	\$ 2,055,530
Differences between expected and actual experience	-	421,369
Changes in proportion and differences between District contributions and proportionate share of contributions	1,575,791	-
District contributions subsequent to the measurement date	2,086,304	-
	<u>\$ 3,662,095</u>	<u>\$ 2,476,899</u>

The \$12,751,863 reported as deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2017. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources	Deferred Inflows of Resources
2017	\$ 262,632	\$ 584,111
2018	262,632	584,111
2019	262,632	584,111
2020	262,632	584,111
2021	262,632	70,228
2022	262,632	70,227
	<u>\$ 1,575,791</u>	<u>\$ 2,476,899</u>

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California State Teachers' Retirement System (CalSTRS) (continued)

Actuarial assumptions

The total pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2014, and rolling forward the total pension liability to June 30, 2015 using the following actuarial assumptions, applied to all periods included in the measurement:

Consumer Price Inflation	3.00%
Investment Yield (Net of Expenses)	7.60%
Wage Inflation	3.75%

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience.

The actuarial assumptions used in the June 30, 2014 valuation were based on the results of an actuarial experience study for the period July 1, 2006–June 30, 2010.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance - PCA) as an input to the process. Based on the model from CalSTRS consulting actuary's (Milliman) investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns. The assumed asset allocation by PCA is based on board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term* Expected Real Rate of Return
Global Equity	47%	4.50%
Private Equity	12%	6.20%
Real Estate	15%	4.35%
Inflation Sensitivie	5%	3.20%
Fixed Income	20%	20.00%
Cash/Liquidity	1%	0.00%
	<u>100%</u>	

*10-year geometric average

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California State Teachers’ Retirement System (CalSTRS) (continued)

Discount rate

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB 1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments, and administrative expense occur midyear. Based on those assumptions, the Plan’s fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District’s proportionate share of the net pension liability to changes in the discount rate

The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.60 percent, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.60 percent) or 1-percentage-point higher (8.60 percent) than the current rate:

	1% Decrease (6.60%)	Current Discount Rate (7.60%)	1% Increase (8.60%)
District’s proportionate share of the net pension liability	<u>\$ 14,152,517</u>	<u>\$ 25,216,202</u>	<u>\$ 2,983,148</u>

Detailed information about the pension plan’s fiduciary net position is available in the separately issued CalSTRS financial report.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California Public Employees’ Retirement System (CalPERS)

Plan Description

The District contributes to the School Employer Pool under the California Public Employees' Retirement System (CalPERS); a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by state statutes, as legislatively amended, within the Public Employees' Retirement Laws. CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS annual financial report may be obtained from the CalPERS Executive Office, 400 P Street, Sacramento, CA 95811.

Benefits provided

The benefits for the defined benefit plan are based on members’ years of service, age, final compensation, and benefit formula. Benefits are provided for retirement and disability for eligible members, and death benefits for survivors of eligible members or beneficiaries. Members become fully vested in their retirement benefits earned to date after five years of credited service.

Pension plan fiduciary net position

Detailed information about the pension plan’s fiduciary net position is available in the separately issued CalSTRS financial report.

Contributions

Active plan members who entered into the plan prior to January 1, 2013, are required to contribute 7.0% of their salary. The California Public Employees’ Pension Reform Act (PEPRA) specifies that new members entering into the plan on or after January 1, 2013, shall pay the higher of fifty percent of normal costs or 6.0% of their salary. Additionally, for new members entering the plan on or after January 1, 2013, the employer is prohibited from paying any of the employee contribution to CalPERS unless the employer payment of the member’s contribution is specified in an employment agreement or collective bargaining agreement that expires after January 1, 2013.

The District is required to contribute an actuarially determined rate. The actuarial methods and assumptions used for determining the rate are those adopted by the CalPERS Board of Administration. The required employer contribution rate for fiscal year 2016 was 11.847% of annual payroll. Contributions to the plan from the District were \$11,176,072 for the year ended June 30, 2016.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California Public Employees’ Retirement System (CalPERS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2016, the District reported a liability of \$29,581,605 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2015, and the total pension liability used to calculate the net pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2014, and rolling forward the total pension liability to June 30, 2015. The District’s proportion of the net pension liability was based on a projection of the District’s long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2015, the District’s proportion was .377 percent, which was a decrease of .001% percent from its proportion measured as of June 30, 2014.

For the year ended June 30, 2016, the District recognized pension expense of \$5,424,269. At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between projected and actual earnings on plan investments	\$ -	\$ 357,748
Differences between expected and actual experience	597,117	-
Changes in assumptions	-	641,953
Changes in proportion and differences between District contributions and proportionate share of contributions	245,528	-
District contributions subsequent to the measurement date	1,005,716	-
	<u>\$ 1,848,361</u>	<u>\$ 999,701</u>

The \$5,424,269 reported as deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2017. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2017	\$ 290,567	\$ 310,800
2018	290,567	310,800
2019	261,511	288,664
2020	-	89,437
	<u>\$ 842,645</u>	<u>\$ 999,701</u>

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California Public Employees’ Retirement System (CalPERS) (continued)

Actuarial assumptions

The total pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2014, and rolling forward the total pension liability to June 30, 2015 using the following actuarial assumptions, applied to all periods included in the measurement:

Consumer Price Inflation	2.75%
Investment Yield (Net of Expenses)	7.65%
Wage Inflation	Varies by Entry Age and Service

CalPERS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are derived using CalPERS’ membership data for all funds. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB.

The actuarial assumptions used in the June 30, 2014, valuation were based on the results of an actuarial experience study for the period from 1997 to 2011.

The long-term expected rate of return on pension plan investments was determined using a building block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. In determining the long-term expected rate of return, both short-term and long-term market return expectations as well as the expected pension fund cash flows were taken into account. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds’ asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2016

NOTE 9 – EMPLOYEE PENSION PLANS (continued)

California Public Employees’ Retirement System (CalPERS) (continued)

Actuarial assumptions (continued)

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

Asset Class	Assumed Asset Allocation	Real Return Years 1-10*	Real Return Years 11+**
Global Equity	51%	5.25%	5.71%
Global Fixed Income	19%	0.99%	2.43%
Inflation Sensitive	6%	0.45%	3.36%
Private Equity	10%	6.83%	6.95%
Real Estate	10%	4.50%	5.13%
Infrastructure and Forestland	2%	4.50%	5.09%
Liquidity	2%	-0.55%	-1.05%
	100%		

* An expected inflation of 2.5% used for this period

** An expected inflation of 3.0% used for this period

Discount rate

The discount rate used to measure the total pension liability was 7.65 percent. A projection of the expected benefit payments and contributions was performed to determine if assets would run out. The test revealed the assets would not run out. Therefore the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability for the Schools Pool. The results of the crossover testing for the Schools Pool are presented in a detailed report that can be obtained at CalPERS’ website.

Sensitivity of the District’s proportionate share of the net pension liability to changes in the discount rate

The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.65 percent, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.65 percent) or 1-percentage-point higher (8.65 percent) than the current rate:

	1% Decrease (6.60%)	Current Discount Rate (7.60%)	1% Increase (8.60%)
District’s proportionate share of the net pension liability	\$ 14,152,517	\$ 10,447,985	\$ 2,983,148

Pension plan fiduciary net position

Detailed information about the pension plan’s fiduciary net position is available in the separately issued CalPERS financial report.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Notes to Financial Statements, continued
June 30, 2015

NOTE 10 – COMMITMENTS AND CONTINGENCIES

Grants

The District receives financial assistance from federal and state agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the District. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District as of June 30, 2016.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2016.

Construction Commitments

As of June 30, 2016, the District had no significant commitments with respect to capital projects.

REQUIRED SUPPLEMENTARY INFORMATION

IMPERIAL COMMUNITY COLLEGE DISTRICT
Schedule of Funding Progress
For the Fiscal Year Ended June 30, 2016

Actuarial Valuation Date	Value of Assets	Actuarial Accrued Liability (AAL)	Unfunded AAL (UAAL)	Funded Ratio	Covered Payroll	UAAL as a Percentage of Covered Payroll
5/16/2016	\$ -	\$ 48,418,997	\$ 34,277,992	0%	\$ 30,871,117	111%

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY -
STRS
FOR THE YEAR ENDED JUNE 30, 2016

	<u>June 30, 2016</u>	<u>June 30, 2015</u>
District's proportion of the net pension liability	0.037%	0.035%
District's proportionate share of the net pension liability	\$ 25,216,202	\$ 20,452,944
States's proportionate share of the net pension liability associated with the District	13,336,556	12,023,660
Total	<u>\$ 38,552,758</u>	<u>\$ 32,476,604</u>
District's covered-employee payroll	\$ 19,698,761	\$ 18,330,412
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	128.0%	111.6%
Plan fiduciary net position as a percentage of the total pension liability.	76.5%	76.5%

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY -
PERS
FOR THE YEAR ENDED JUNE 30, 2016

	<u>June 30, 2016</u>	<u>June 30, 2015</u>
District's proportion of the net pension liability	0.071%	0.072%
District's proportionate share of the net pension liability	\$ 10,447,985	\$ 8,151,048
District's covered-employee payroll	\$ 8,489,613	\$ 7,998,284
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	123.1%	101.9%
Plan fiduciary net position as a percentage of the total pension liability.	83.4%	83.4%

See accompanying note to supplementary information.

**IMPERIAL COMMUNITY COLLEGE DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS – STRS
FOR THE YEAR ENDED JUNE 30, 2016**

	<u>June 30, 2016</u>	<u>June 30, 2015</u>
Contractually required contribution	\$ 2,086,304	\$ 1,587,523
Contributions in relation to the contractually required contribution*	(2,086,304)	(1,587,523)
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>
District's covered-employee payroll	\$ 19,698,761	\$ 18,330,412
Contributions as a percentage of covered-employee payroll	10.59%	8.66%

*Amounts do not include on behalf contributions

**IMPERIAL COMMUNITY COLLEGE DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS – PERS
FOR THE YEAR ENDED JUNE 30, 2016**

	<u>June 30, 2016</u>	<u>June 30, 2015</u>
Contractually required contribution	\$ 1,005,716	\$ 1,398,158
Contributions in relation to the contractually required contribution	(1,005,716)	(1,398,158)
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>
District's covered-employee payroll	\$ 8,489,613	\$ 7,998,284
Contributions as a percentage of covered-employee payroll	11.85%	17.48%

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
NOTES TO THE REQUIRED SUPPLEMENTARY INFORMATION
FOR THE YEAR ENDED JUNE 30, 2016

NOTE 1 - PURPOSE OF SCHEDULE

A. **Schedule of Postemployment Healthcare Benefits Funding Progress**

This schedule is prepared to show information for the most recent actuarial valuation and from the three most recent actuarial valuations in accordance with Statement No. 45 of the Governmental Accounting Standards Board, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*. The schedule is intended to show trends about the funding progress of the District's actuarial determined liability for post-employment benefits other than pensions.

B. **Schedule of the District's Proportionate Share of the Net Pension Liability**

This 10-year schedule is required by GASB Statement No. 68 for each cost-sharing pension plan. Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 68 was applicable. The schedule presents the District's proportion (percentage) of the collective net pension liability, the District's proportionate share (amount) of the collective net pension liability, the District's covered-employee payroll, the District's proportionate share (amount) of the collective net pension liability as a percentage of the employer's covered-employee payroll, and the pension plan's fiduciary net position as a percentage of the total pension liability.

C. **Schedule of District Contributions**

This 10-year schedule is required by GASB Statement No. 68 for each cost-sharing pension plan. Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 68 was applicable. The schedule presents the District's statutorily or contractually required employer contribution, the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution, the difference between the statutorily or contractually required employer contribution and the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution, the District's covered-employee payroll, and the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution as a percentage of the District's covered-employee payroll.

SUPPLEMENTARY INFORMATION SECTION

IMPERIAL COMMUNITY COLLEGE DISTRICT
Local Educational Agency Organization Structure
June 30, 2016

The Imperial Community College District (the District) is located in the city of Imperial, California. The District presently operates one primary campus within the County of Imperial. There have been no changes in the District's boundaries during the current year.

The Governing Board for the fiscal year ended June 30, 2016 was composed of the following members:

GOVERNING BOARD

MEMBER	OFFICE	TERM EXPIRES
Jerry D. Hart	President	November 2016
Karla A. Sigmond	Clerk	November 2018
Louis wong	Trustee	November 2016
Rudy Cardenas, Jr.	Trustee	November 2016
Juanita Salas	Trustee	November 2018
Romualdo J. Medina	Trustee	November 2016
Steven M. Taylor	Trustee	November 2018

DISTRICT ADMINISTRATORS

Victor M. Jaime, Ed.D
Superintendent/President

John Lau
Vice President for Administrative Services

Dr. Nicholas Akinkuoye
Vice President for Academic Services

Sergio Lopez
Vice President for Student Services

John Lau
Interim - Chief Human Resources Officer

IMPERIAL COMMUNITY COLLEGE DISTRICT
Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2016

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	CFDA Number	Pass-through Number	Federal Expenditures
U.S. Department of Education:			
Supplemental Educational Opportunity Grant	84.807		\$ 220,160
Federal College Work Study	84.033		481,431
Pell Grant	84.063		18,843,508
Pell Administration	84.063		25,045
Subtotal Student Financial Assistance Cluster			19,570,144
TRIO Cluster			
TRIO-Student Support Services	84.042		373,863
TRIO-Upward Bound	84.038		594,806
TRIO-Talent Search	84.044		363,107
Subtotal TRIO Cluster			1,331,776
Title V Cluster			
Title V – Atlas Grant	84.031S		257,273
Title V – TALCAS Grant	84.031S		98,668
Subtotal Title V Cluster			355,941
<i>Passed Through California Department of Education</i>			
Perkins Title I-C	84.048		269,622
CTE Transitions - Perkins IV	84.048		45,119
Subtotal Passed through the California Department of Education			314,741
Total U.S. Department of Education			21,572,602
U.S. Department of Health and Human Services:			
<i>Passed Through California Department of Education</i>			
Temporary Assistance for Needy Families	93.558		52,971
Total U.S. Department of Health and Human Services			52,971
U.S. Department of Labor			
WIA Office Technology	17.258		44,095
WIA Diesel Technology	17.258		40,400
WIA Welding Technology	17.258		23,214
Department of Rehabilitation	84.126A		59,363
U.S Department of Veterans Affairs: Veterans Education	64.116		1,100
Total U.S. Department of Labor			168,172
National Science Foundation			
National Science Foundation	47.076		2,875
Total National Science Foundation			2,875
U.S. Department of Agriculture			
Nutrition Program	10.555		38,856
Passed Through California Department of Education			
Summer Food Service Program	10.559		22,685
Total U.S. Department of Agriculture			61,541
Total Expenditure of Federal Awards			\$ 21,858,161

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Schedule of Expenditures of State Awards
For the Fiscal Year Ended June 30, 2016

Program Name	Cash Received	Accounts Receivable	Deferred Income	Total	Total Program Expenditures
State Awards:					
Disabled Student Program and Services (15401)	\$ 450,532	\$ -	\$ -	\$ 450,532	\$ 450,532
Disabled Student Program and Services (154018)	1,327	-	-	1,327	1,327
Extended Opportunity Program and Services (15305)	1,235,325	-	-	1,235,325	1,235,325
Behavioral Health (15403)	232,457	33,939	-	266,396	266,396
Staff Diversity (15901)	4,806	-	2,232	2,574	2,574
Staff Diversity c/o (159018)	4,923	-	1,392	3,531	3,531
Nursing Grant (15919)	72,024	6,263	-	78,287	78,287
Cal Grant (74701)	1,971,739	41,193	-	2,012,932	2,012,932
Full-Time Incentive Grant (74702)	699,472	-	88,672	610,800	610,800
ICOE/AEGB (16008)	-	12,046	-	12,046	12,046
CalWorks (15501)	139,802	23,431	-	163,233	163,233
CalWorks (15505)	89,620	-	-	89,620	89,620
CalWorks Assessment (17308)	441,694	90,883	-	532,577	532,577
Care Program (15801)	237,852	-	-	237,852	237,852
Child Development Center (33001)	221,607	105,079	-	326,686	300,651
Child Development Center (33002)	246,706	3,128	-	249,834	274,758
Foster Care (16202)	39,640	39,641	-	79,281	79,281
Foster Care - CSEC Allocation (16214)	-	3,750	-	3,750	3,750
SB 1070 CTE Reg Pathways (15618)	19,538	3,681	-	23,219	23,219
Enrollment Fee Administration (15902)	135,595	-	-	135,595	135,595
Basic Skills (18301) 13-14	991	-	-	991	991
Basic Skills (18305) 14-15	172,940	-	-	172,940	172,940
Basic Skills (18306) 15-16	161,869	-	161,549	320	320
CCPT Ca Career Pathways Grant	2,894,577	-	1,997,347	897,230	897,230
CTE Enhancement Grant 60% (15616)	2,610	15,546	-	18,156	18,156
CTE Enhancement Grant 40% (15617)	68,817	10,634	-	79,451	79,451
Prop 39 Prog Imprmt Funding (15619)	892	-	-	892	892
Prop 39 Grossmont-Cuyamaca (15622)	-	32,991	-	32,991	32,991
State Energy West Valley College (15620)	51,806	-	-	51,806	51,806
State Energy Chancellor's Office (15621)	20,682	-	-	20,682	20,682
Regional Consortion IDRC Grant (15615)	954	-	-	954	954
Prop 39 Energy Funds 14-15 (15611)	93,514	-	17,452	76,062	76,062
Prop 39 Energy Funds 15-16 (15612)	196,648	-	155,385	41,263	41,263
Enrollment Fee Waiver - ACA (15201)	392,253	-	-	392,253	392,253
15-16 Phys Plant & Instr Support Grant (16302)	890,791	-	535,789	355,002	355,002
Student Support and Success Program	-	-	-	-	-
Credit (16004)	1,431,840	-	693,278	738,562	738,562
Credit c/o (160048)	268,250	-	-	268,250	268,250
Non-credit (16213)	12,921	-	865	12,056	12,056
Student Equity (16005)	1,032,848	-	350,810	682,038	682,038
Student Equity (160058)	422,151	-	-	422,151	422,151
AB 86 - Adult Ed Consortium (16215)	19,281	-	-	19,281	19,281
Scheduled Maintenance (16501)	292,041	-	112,579	179,462	179,462
Scheduled Maintenance (165018)	380,323	-	292,040	88,283	88,283
Total State Programs	<u>\$ 15,053,658</u>	<u>\$ 422,205</u>	<u>\$ 4,409,390</u>	<u>\$ 11,066,473</u>	<u>\$ 11,065,362</u>

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT**Schedule of Workload Measures for State General Apportionment – Annual/Actual Attendance
For the Fiscal Year Ended June 30, 2016**

	Reported Data	Audit Adjustment	Revised Data
A. Summer Intersession (Summer 2015 Only)			
1. Noncredit	-	-	-
2. Credit	12.10	-	12.10
B. Summer Intersession (Summer 2016 - Prior to July 1, 2016)			
1. Noncredit	-	-	-
2. Credit	459.19	-	459.19
C. Primary Terms (Exclusive of Summer Intersession)			
1. Census Procedures Courses			
(a) Weekly Census Contact Hours	5,166.25	-	5,166.25
(b) Daily Census Contact Hours	590.09	-	590.09
2. Actual Hours of Attendance Procedure Courses			
(a) Noncredit	41.42	-	41.42
(b) Credit	212.78	-	212.78
3. Alternative Attendance Accounting Procedure			
(a) Weekly Census Procedure Courses	276.04	-	276.04
(b) Daily Census Procedure Courses	54.03	-	54.03
(c) Noncredit Independent Study/Distance Education Courses	-	-	-
D. Total FTES	6,811.90	-	6,811.90
Supplemental Information (subset of information above)			
In-service Training Courses (FTES)	7.28	-	7.28
Basic Skills Courses and Immigrant Education			
1. Noncredit	16.70	-	16.70
2. Credit	1,132.09	-	1,132.09

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT

**Reconciliation of Annual Financial and Budget Report (CCFS-311) with Fund Financial Statements
For the Fiscal Year Ended June 30, 2016**

There were no adjustments to the Annual Financial and Budget Report (CCFS-311) which required reconciliation to the audited financial statements at June 30, 2016.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Reconciliation of Government Funds to Financial Statements
For the Fiscal Year Ended June 30, 2016

General Fund	\$	8,143,293
Bond Interest and Redemption Fund		3,755,445
Child Development Fund		55,030
Capital Outlay Fund		1,168,532
Revenue Bond Construction Fund		260,127
Self Insurance Fund		53,071
Total Audited Fund Balances as reported on the Annual Financial and Budget Report (CCFS-311)	\$	13,435,498

Amounts reported for governmental activities in the statement
of net assets are different because:

Capital assets used for governmental activities are not financial
resources and therefore are not reported as assets in governmental
funds. However, capital assets, net of accumulated depreciation
are added to total net assets.

87,248,183

Accounts Payable (639,673)

Long-term liabilities are not due and
payable in the current period, and therefore are not reported as
liabilities in the governmental funds. Long-termed liabilities
are added to the statement of net assets which reduces the
total net assets reported. Long-term liabilities at year-end
consist of:

General Obligation Bonds Payable	(74,276,929)
Premium on issuance of bonds	(2,693,056)
Current year accreted interest	(13,221,445)
SERP	-
Compensated absences	(110,440)
OPEB Obligation	(16,336,971)
Pension liabilities	(35,664,187)

Net amounts included in net assets related to GASB 68 2,033,856

Total Net Assets \$ (40,225,164)

IMPERIAL COMMUNITY COLLEGE DISTRICT
Reconciliation of the ECS 84362 (50 Percent Law) Calculation
For the Fiscal Year Ended June 30, 2016

		Activity (ESCA) ECS 84362 A Instructional Salary Cost AC 0100-5900 & AC 6100			Activity (ESCB) ECS 84362 B Total CEE AC 0100-6799		
	Object/ TOP Codes	Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
<u>Academic Salaries</u>							
Instructional Salaries							
Contract or Regular	1100	8,325,501	-	8,325,501	8,325,501	-	8,325,501
Other	1300	5,578,259	-	5,578,259	5,578,259	-	5,578,259
Total Instructional Salaries		13,903,760	-	13,903,760	13,903,760	-	13,903,760
Non-Instructional Salaries							
Contract or Regular	1200	-	-	-	3,779,078	-	3,779,078
Other	1400	-	-	-	229,582	-	229,582
Total Non-Instructional Salaries		-	-	-	4,008,660	-	4,008,660
Total Academic Salaries		13,903,760	-	13,903,760	17,912,420	-	17,912,420
<u>Classified Salaries</u>							
Non-Instructional Salaries							
Regular Status	2100	-	-	-	6,321,879	-	6,321,879
Other	2300	-	-	-	149,761	-	149,761
Total Non-Instructional Salaries		-	-	-	6,471,640	-	6,471,640
Instructional Aides							
Regular Status	2200	340,460	-	340,460	340,460	-	340,460
Other	2400	114,349	-	114,349	114,349	-	114,349
Total Instructional Aides		454,809	-	454,809	454,809	-	454,809
Total Classified Salaries		454,809	-	454,809	6,926,449	-	6,926,449
Employee Benefits	3000	5,175,851	-	5,175,851	10,506,641	-	10,506,641
Supplies and Materials	4000	-	-	-	676,017	-	676,017
Other Operating Expenses	5000	-	-	-	2,292,689	-	2,292,689
Equipment Replacement	6420	-	-	-	-	-	-
Total Expenditures Prior to Exclusions		19,534,420	-	19,534,420	38,314,216	-	38,314,216
<u>Exclusions</u>							
Activities to Exclude							
Instructional Staff-Retirees' Benefits and Retirement Incentives	5900	1,024,866	-	1,024,866	1,024,866	-	1,024,866
Student Health Services Above Amount Collected	6441	-	-	-	-	-	-
Student Transportation	6491	-	-	-	-	-	-
Non-instructional Staff-Retirees' Benefits and Retirement Incentives	6740	-	-	-	1,005,159	-	1,005,159
Object to Exclude							
Rents and Leases	5060	-	-	-	47,069	-	47,069
Lottery Expenditures							
Academic Salaries	1000	-	-	-	-	-	-
Classified Salaries	2000	-	-	-	-	-	-
Employee Benefits	3000	-	-	-	-	-	-
Supplies and Materials	4000	-	-	-	-	-	-
Software	4100	-	-	-	-	-	-
Books, Magazines & Periodicals	4200	-	-	-	-	-	-
Instructional Supplies & Materials	4300	-	-	-	29,136	-	29,136
Non-instructional Supplies & Materials	4400	-	-	-	154,798	-	154,798
Total Supplies and Materials		-	-	-	183,934	-	183,934
Other Operating Expenses and Services	5000	-	-	-	834,828	-	834,828
Capital Outlay	6000	-	-	-	-	-	-
Library Books	6300	-	-	-	-	-	-
Equipment	6400	-	-	-	-	-	-
Equipment - Additional	6410	-	-	-	-	-	-
Equipment - Replacement	6420	-	-	-	-	-	-
Total Equipment	6420	-	-	-	-	-	-
Total Capital Outlay		-	-	-	-	-	-
Other Outgo	7000	-	-	-	-	-	-
Total Exclusions		\$ 1,024,866	\$ -	\$ 1,024,866	\$ 3,095,856	\$ -	\$ 3,095,856
Total for ECS 84362, 50% Law		\$ 18,509,554	\$ -	\$ 18,509,554	\$ 35,218,360	\$ -	\$ 35,218,360
Percent of CEE (Instructional Salary Cost/Total CEE)		52.56%	0.00%	52.56%	100.00%	0.00%	100.00%
50% of Current Expense of Education		\$ 17,609,180	\$ -	\$ 17,609,180	\$ 17,609,180	\$ -	\$ 17,609,180

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Details of the Education Protection Account
For the Fiscal Year Ended June 30, 2016

EPA Revenue	\$ 15,546,827
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Activity Classification	Activity Code	Salaries and Benefits	Operating Expenses	Capital Outlay	
		(Obj 1000-3000)	(Obj 4000-5000)	(Obj 6000)	Total
Instructional Activities	0100-5900	\$ 6,022,023	\$ -	\$ -	\$ 6,022,023
Total		\$ 6,022,023	\$ -	\$ -	\$ 6,022,023

See accompanying note to supplementary information.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Note to the Supplementary Information
June 30, 2016

NOTE 1 – PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying schedule of expenditures of Federal Awards includes the federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of the financial statements.

Schedule of Expenditures of State Awards

The accompanying schedule of expenditures of State Awards includes the state grant activity of the District and is presented on the modified accrual basis of accounting. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of the financial statements.

Schedule of Workload Measures for State General Apportionment – Annual/Actual Attendance

Full-Time Equivalent Students (FTES) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of state funds are made to community college districts. This schedule provides information regarding the attendance of students throughout the District.

Reconciliation of Annual Financial and Budget Report with Fund Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Form CCFS-311 to the fund financial statements.

Reconciliation of the Governmental Fund Balance Sheets to the Statement of Net Position

This schedule provides a reconciliation of the adjustments necessary to bring the District's fund financial statements, prepared on a modified accrual basis, to the accrual basis required under GASB Statement No. 35.

Reconciliation of the ECS 84632 (50 Percent Law) Calculation

This schedule reports any audit adjustments made to the reported data to ensure that a minimum of 50 percent of the District's current expense of education is expended for salaries of classroom instructors.

Details of the Education Protection Account

This schedule reports the District revenue and expenditure classification of the Proposition 30 Education Protection Account funds.

OTHER INDEPENDENT AUDITORS' REPORTS

**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON
COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS**

Christy White, CPA

Michael Ash, CPA

Heather Rubio

Independent Auditors' Report

Board of Trustees
Imperial Community College District
Imperial, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Imperial Community College District, as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the Imperial Community College District's basic financial statements, and have issued our report thereon dated December 13, 2016.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Imperial Community College District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Imperial Community College District's internal control. Accordingly, we do not express an opinion on the effectiveness of Imperial Community College District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

SAN DIEGO
LOS ANGELES
SAN FRANCISCO/BAY AREA

Corporate Office:
348 Olive Street
San Diego, CA 92103

toll-free: 877.220.7229
tel: 619.270.8222
fax: 619.260.9085
www.christywhite.com

*Licensed by the California
State Board of Accountancy*

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Imperial Community College District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The image shows a handwritten signature in cursive script that reads "Christy White Associates". The signature is written in dark ink and is positioned above the printed text of the firm's name and location.

San Diego, California
December 13, 2016

**REPORT ON COMPLIANCE WITH REQUIREMENTS THAT COULD HAVE A DIRECT
AND MATERIAL EFFECT ON EACH MAJOR PROGRAM AND ON INTERNAL
CONTROL OVER COMPLIANCE IN ACCORDANCE WITH THE UNIFORM
GUIDANCE**

Christy White, CPA

Michael Ash, CPA

Heather Rubio

Independent Auditors' Report

Board of Trustees
Imperial Community College District
Imperial, California

Compliance

We have audited Imperial Community College District's compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Imperial Community College District's major federal programs for the year ended June 30, 2016. Imperial Community College District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Imperial Community College District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Imperial Community College District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

Corporate Office:
348 Olive Street
San Diego, CA 92103

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We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Imperial Community College District's compliance.

Opinion on Each Major Federal Program

In our opinion, Imperial Community College District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2016.

Report on Internal Control Over Compliance

Management of Imperial Community College District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Imperial Community College District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Imperial Community College District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Christy White Associates

San Diego, California
December 13, 2016

REPORT ON STATE COMPLIANCE

Independent Auditors' Report

Christy White, CPA

Michael Ash, CPA

Heather Rubio

Board of Trustees
Imperial Community College District
Imperial, California

Report on State Compliance

We have audited Imperial Community College District's compliance with the types of compliance requirements described in the *California Community Colleges Contracted District Audit Manual (CDAM) 2015-16*, issued by the California Community Colleges Chancellor's Office for the year ended June 30, 2016.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its state programs.

Auditor's Responsibility

Our responsibility is to express an opinion on Imperial Community College District's compliance with the requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *California Community Colleges Contracted District Audit Manual (CDAM) 2015-16*, issued by the California Community Colleges Chancellor's Office. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on the state programs noted below. An audit includes examining, on a test basis, evidence about Imperial Community College District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

SAN DIEGO
LOS ANGELES
SAN FRANCISCO/BAY AREA

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348 Olive Street
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We believe that our audit provides a reasonable basis for our opinion on compliance with the requirements referred to above. However, our audit does not provide a legal determination of Imperial Community College District's compliance with those requirements.

Opinion on State Compliance

In our opinion, Imperial Community College District complied, in all material respects, with the types of compliance requirements referred to above that are applicable to the state programs noted in the table below for the year ended June 30, 2016.

Procedures Performed

In connection with the audit referred to above, we selected and tested transactions and records to determine Imperial Community College District's compliance with the state laws and regulations applicable to the following items:

Section 421 – Salaries of Classroom Instructors (50 Percent Law)
Section 423 - Apportionment for Instructional Service Agreements/Contracts
Section 424 - State General Apportionment Funding System
Section 425 - Residency Determination for Credit Courses
Section 426 - Students Actively Enrolled
Section 427 - Concurrent Enrollment of K-12 Students in Community College Credit Courses
Section 429 – Student Success Program
Section 430 – Scheduled Maintenance Program
Section 431 - Gann Limit Calculation
Section 435 - Open Enrollment
Section 438 - Student Fees – Health Fees and Use of Health Fee Funds
Section 439 – Proposition 39 Clean Energy
Section 474 - Extended Opportunity Programs and Services (EOPS) and Cooperative Agencies Resources for Education (CARE)
Section 475 - Disabled Student Programs and Services (DSPS)
Section 479 - To Be Arranged Hours (TBA)
Section 490 - Proposition 1D State Bond Funded Projects
Section 491- Proposition 30 Education Protection Account Funds

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing over state laws and regulations based on the requirements described in the *California Community Colleges Contracted District Audit Manual (CDAM) 2015-16*. Accordingly, this report is not suitable for any other purpose.

Christy White Associates

San Diego, California
December 13, 2016

FINDINGS AND QUESTIONED COSTS SECTION

IMPERIAL COMMUNITY COLLEGE DISTRICT
Summary Schedule of Audit Findings and Questioned Costs
For the Fiscal Year Ended June 30, 2016

FINANCIAL STATEMENTS

Internal control over financial reporting:	<u>Unmodified</u>
Material weaknesses identified?	<u>No</u>
Significant deficiencies identified not considered to be material weaknesses?	<u>None Reported</u>
Non-compliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Material weaknesses identified?	<u>No</u>
Significant deficiencies identified not considered to be material weaknesses?	<u>None Reported</u>
Type of auditors' report issued on compliance for major programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Uniform Guidance	<u>No</u>
Identification of major programs:	

<u>CFDA Numbers</u>	<u>Name of Federal Program of Cluster</u>
<u>84.007, 84.033</u>	<u>Student Financial Aid Cluster</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$750,000</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Internal control over State programs:	
Material weaknesses identified?	<u>No</u>
Significant deficiencies identified not considered to be material weaknesses?	<u>None Reported</u>
Type of auditors' report issued on compliance for State programs:	<u>Unmodified</u>

IMPERIAL COMMUNITY COLLEGE DISTRICT
Summary Schedule of Audit Findings and Questioned Costs, continued
For the Fiscal Year Ended June 30, 2016

Section II – Financial Statement Findings

This section identifies the significant deficiencies, material weaknesses, and instances of noncompliance related to the financial statements that are required to be reported in accordance with *Government Auditing Standards*.

There were no financial statement findings or questioned costs noted during 2015-16.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Summary Schedule of Audit Findings and Questioned Costs, continued
For the Fiscal Year Ended June 30, 2016

Section III – Federal Award Findings and Questioned Costs

This section identifies the audit findings required to be reported by Uniform Guidance (e.g., deficiencies, significant deficiencies, material weaknesses, and instances of noncompliance, including questioned costs).

There were no federal award findings or questioned costs noted during 2015-16.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Schedule of Audit Findings and Questioned Costs, continued
For the Fiscal Year Ended June 30, 2016

Section IV – State Award Findings and Questioned Costs

This section identifies the audit findings pertaining to noncompliance with state program rules and regulations.

There were no state award findings or questioned costs noted during 2015-16.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Summary Schedule of Prior Year Audit Findings
For the Fiscal Year Ended June 30, 2016

There were no findings or questioned costs for the District for the 2014-15 fiscal year.

APPENDIX B

GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT

The information in this and other sections concerning the District's operations and operating budget is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Refunding Bonds is payable from the General Fund of the District. The Refunding Bonds are payable from the proceeds of an ad valorem tax required to be levied by the County in an amount sufficient for the payment thereof. See "SECURITY FOR THE REFUNDING BONDS" herein.

GENERAL DISTRICT INFORMATION

General

Established in 1959, the District maintains one main campus in Imperial, California, consisting of 28 buildings totaling approximately 286,840 square feet of facilities located on a 160-acre site. Located in Imperial County (the "**County**"), the District serves the communities of the Imperial Valley and certain unincorporated areas of the County, with the main campus located approximately 200 miles from Los Angeles and 120 miles from San Diego. The College is currently fully accredited by the Accrediting Commission for Junior and Community Colleges (the "**Commission**"). The District provides collegiate level instruction across a wide spectrum of subjects in grades 13 and 14. Seven high school districts are considered feeder districts to the District. The District serves a resident population of approximately 188,000, and in fiscal year 2017-18 the District has a total enrollment of 7,500 students.

In 2014, the District opened the Career Technical Center to train the local workforce in automotive technology, building construction technology and welding technology. The District's Small Business Development Center provides business owners with various training opportunities. Growth industries in the community include renewable energy, construction materials, logistics/international trade, call centers, manufacturing, tourism, biotechnology and agribusiness. In 2017, the District opened a 3-megawatt solar field, using 17 acres of land north of the main campus, which is expected to save the District \$8 million over the next 25 years.

Renewable energy is a growing industry in Imperial County. Major projects include:

- CalEnergy Geothermal Project, consisting of 10 plants in the Salton Sea Known Geothermal Resource Area, uses naturally occurring underground steam to generate power.
- Centinela Solar Energy, joined with other solar developers to develop 30 solar projects (10 are currently in operation). Estimated production is approximately 2,500 total megawatts and over \$8 billion in capital investment.
- Ocotillo Express Wind Project, constructed 112 wind turbines, the region's first wind energy facility, and generating approximately 265 megawatts of energy.
- California Ethanol and Power, proposes to build a biofuel processing plant, which is expected to produce 66 million gallons of ethanol per year from 55,000 acres of locally-

grown sugar cane. The plant will also have the capacity to generate up to 50 megawatts of electricity, produce biogas and provide about 300 full-time jobs once it is fully operational.

Administration

The District is governed by a seven-member Board of Trustees, each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between three and four available positions. Current members of the Board of Trustees, together with their office and the date their term expires, are listed below:

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Karla Sigmond	President	November 2018
Steven M. Taylor	Clerk	November 2018
Rudy Cardenas, Jr.	Member	November 2020
Mark Edney	Member	November 2018
Jerry D. Hart	Member	November 2020
Romualdo J. Medina	Member	November 2020
Louis Wong	Member	November 2020

Brief biographies of certain key administrative staff follows:

Dr. Victor M. Jaime, Superintendent/President. Dr. Jaime has been with the District for over 36 years. On July 1, 2011, he was appointed as the Interim Superintendent/President while the District conducted a search for a permanent Superintendent/President. On July 1, 2012, he was appointed Superintendent/President of the District. Prior to this appointment, Dr. Jaime served the District as Vice President for Student Services. Dr. Jaime holds a bachelor's degree in social science from the University of California, Irvine, a master's degree from Point Loma Nazarene College and a doctorate in education from Northern Arizona University. Dr. Jaime recently announced to the Board of Trustees that he plans to retire in 2018.

John Lau, Vice President for Business Services. Mr. John Lau was appointed Vice President of Business Services on June 11, 2007. Mr. Lau is a certified public accountant, and has approximately 33 years of public and private accounting and managerial experience. His experience includes serving as governmental audit partner for the firm of Calderon, Jaham & Osborne and Director of Finance with the cities of Imperial and El Centro both located in Imperial County. Mr. Lau obtained a Bachelor of Science Degree from California State University of San Diego.

Cecilia Duron, Director of Fiscal Services. Mrs. Cecilia Duron was hired as the Director of Fiscal Services on September 1, 2017. Mrs. Duron holds a bachelor's degree in public administration from San Diego State-Imperial Valley Campus and has more than 22 years of fiscal management experience in the public sector. Her experience includes serving as the Director of Business and Human Services in K-12 education with the Imperial Valley Regional Occupational Program and serving as the Department Fiscal Manager and Assistant Director with the County of Imperial.

Recent Enrollment Trends

The following table shows a history of the number of full-time equivalent students for the District for the last ten fiscal years and the projected figures through fiscal year 2018-19.

IMPERIAL COMMUNITY COLLEGE DISTRICT Full-Time Equivalent Students Fiscal Years 2007-08 through 2016-17 (actual) and 2017-18 through 2018-19 (projected)

Fiscal Year	FTEs	Percent Change
2007-08	7,086	--
2008-09	7,426	4.8%
2009-10	7,132	-4.0%
2010-11	7,290	2.2%
2011-12	6,119	-16.1%
2012-13	6,053	-1.1%
2013-14	6,625	9.4%
2014-15	6,873	3.7%
2015-16	6,812	-0.9%
2016-17	6,854	0.6%
<u>Projected</u>		
2017-18	6,915	0.9%
2018-19	6,915	0.0%

Source: Imperial Community College District.

Employee Relations

The District is governed by regulations published by the Public Employees Relations Board ("**PERB**"). The Superintendent/President directs the collective bargaining negotiations between the District and the collective bargaining units representing employees of the District and ensures implementation of PERB regulations in this process. The below table summarizes the District's bargaining units and existing contracts.

IMPERIAL COMMUNITY COLLEGE DISTRICT Labor Organizations

<u>Labor Organization</u>	<u>Type of Employee Represented</u>	<u># of FTE Employees Represented</u>	<u>Contract Expiration Date</u>
California Teacher's Assn.	Certificated	157	June 30, 2018
California School Employees Association	Classified	130	June 30, 2020
IV Part Time Faculty Association	Certificated	160	June 30, 2017*

* Negotiations are ongoing.

District Retirement Systems

Qualified employees of the District are covered under multiple-employer defined benefit pension plans maintained by agencies of the State. Certificated employees are members of the State Teachers' Retirement System ("**STRS**") and classified employees are members of the Public Employees' Retirement System ("**PERS**"). Both STRS and PERS are operated on a Statewide basis. *The information set forth below regarding the STRS and PERS programs, other*

than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the District or the Underwriter.

Implementation of GASB Nos. 68 and 71. Commencing with fiscal year ended June 30, 2015, the District implemented the provisions of GASB Statement No. 68, as amended by GASB Statement No. 71, which imposes certain new pension accounting and financial reporting requirements in the notes to its audited financial statements commencing with financial statements for fiscal years ending after June 30, 2014. Statement No. 68, as amended, generally requires the District to recognize its proportionate share of the unfunded pension obligation for STRS and PERS by recognizing a net pension liability measured as of a date (the measurement date) no earlier than the end of its prior fiscal year. As a result of the implementation of GASB Statement Nos. 68 and 71, the District was required to restate its beginning net position as of July 1, 2014.

STRS. All full-time certificated employees participate in STRS, a cost-sharing, multiple-employer contributory public employee retirement system. STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended. The program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers and the State. See “Pension Reform Act of 2013 (Assembly Bill 340)” below for further discussion.

The District’s contribution to STRS for recent, current and projected future fiscal years are set forth in the following table.

IMPERIAL COMMUNITY COLLEGE DISTRICT STRS Contributions

Fiscal Year	Contribution
2011-12	\$1,401,185
2012-13	1,346,215
2013-14	1,440,201
2014-15	1,605,151
2015-16	2,086,304
2016-17	2,429,435
2017-18*	3,286,153

*Budgeted.

Source: Imperial Community College District.

Historically, employee, employer and State contribution rates did not vary annually to account for funding shortfalls or surpluses in the STRS plan. In recent years, the combination of investment earnings and statutory contributions were not sufficient to pay actuarially required amounts. As a result, as of June 30, 2016 (the date of the last actuarial valuation) the STRS defined benefit program showed an estimated unfunded actuarial liability of approximately \$96.7 billion (on an actuarial value of assets basis) and \$177.9 billion (on a market value of assets basis). In connection with the State’s adoption of its fiscal year 2014-15 Budget, the Governor signed into law Assembly Bill 1469 (“**AB 1469**”), which seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014, within 32 years, by increasing member, K-14 school district and State

contributions to STRS. AB 1469 addressed the funding gap by increasing contributions by employees, employers and the State. In particular, employer contribution rates are scheduled to increase through at least fiscal year 2020-21, from a contribution rate of 8.25% in fiscal year 2013-14 to 19.1% in fiscal year 2020-21. Thereafter, employer contribution rates will be determined by the STRS board to reflect the contribution required to eliminate unfunded liabilities by June 30, 2046.

On February 1, 2017, the STRS Teacher's Retirement Board adopted a new set of actuarial assumptions that reflect member's increasing life expectancies and current economic trends. These new assumptions were first reflected in most recent actuarial valuation, and include, but are not limited to: (i) adopting a generational mortality methodology to reflect past improvements in life expectancies and provide a more dynamic assessment of future life spans, (ii) decreasing the investment rate of return (net of investment and administrative expenses) to 7.25% for the 2016 valuation and 7.00% for the June 30, 2017 actuarial evaluation, and (iii) decreasing the projected wage growth to 3.50% and the projected inflation rate to 2.75%. Based on these changes, recent investment experience and the insufficiency of the contributions received in fiscal year 2015-16 to cover interest on the unfunded actuarial obligation, the 2016 actuarial valuation reports that the unfunded actuarial obligation increased by \$20.5 billion since the last valuation and the funded ratio decreased by 4.8% to 63.7% over such time period. Had the investment rate of return been lowered to 7.00% for the 2016 actuarial valuation, the unfunded actuarial obligation and the funded ratio would have been \$105.1 billion and 61.8%, respectively. As a result, it is currently projected that there will be a need for higher contributions from the State, employers and members in the future to reach full funding by 2046.

The School District's employer contribution rates for fiscal years 2014-15, 2015-16 and 2016-17 were 8.88%, 10.73% and 12.58%, respectively. Projected employer contribution rates for school districts (including the School District) for fiscal year 2017-18 through fiscal year 2020-21 are set forth in the following table.

PROJECTED EMPLOYER CONTRIBUTION RATES (STRS)
Fiscal Years 2017-18 through 2020-21

Fiscal Year	Projected Employer Contribution Rate⁽¹⁾
2017-18	14.43%
2018-19	16.28
2019-20	18.13
2020-21	19.10

(1) Expressed as a percentage of covered payroll.
Source: AB 1469

PERS. All full-time and some part-time classified employees participate in PERS, an agent multiple-employer contributory public employee retirement system that acts as a common investment and administrative agent for participating public entities within the State. PERS provides retirement, disability, and death benefits to plan members and beneficiaries. The School District is part of a cost-sharing pool within PERS known as the "Schools Pool." Benefit provisions are established by State statutes, as legislatively amended. Contributions to PERS are made by employers and employees. Each fiscal year, the School District is required to contribute an amount based on an actuarially determined employer rate. The School District's employer contributions to PERS for recent, current and projected future fiscal years are set forth in the following table.

**IMPERIAL COMMUNITY COLLEGE DISTRICT
CalPERS Contributions**

Fiscal Year	Contribution
2011-12	\$827,027
2012-13	798,267
2013-14	874,142
2014-15	941,264
2015-16	1,005,716
2016-17	1,287,525
2017-18*	1,534,909

*Budgeted.

Source: Imperial Community College District.

Like the STRS program, the PERS program has experienced an unfunded liability in recent years. The PERS unfunded liability, on a market value of assets basis, was approximately \$21.8 billion as of June 30, 2016 (the date of the last actuarial valuation). To address this issue, the PERS board has taken a number of actions. In April 2013, for example, the PERS board approved changes to the PERS amortization and smoothing policy intended to reduce volatility in employer contribution rates. In addition, in April 2014, PERS set new contribution rates, reflecting new demographic assumptions and other changes in actuarial assumptions. The new rates and underlying assumptions, which are aimed at eliminating the unfunded liability of PERS in approximately 30 years, will be implemented for school districts beginning in fiscal year 2016-17, with the costs spread over 20 years and the increases phased in over the first five years.

The District's employer contribution rates for fiscal years 2014-15, 2015-16 and 2016-17 were 11.771%, 11.847% and 13.888%, respectively. Projected employer contribution rates for school districts (including the School District) for fiscal year 2017-18 through fiscal year 2021-22 are set forth in the following table.

**PROJECTED EMPLOYER CONTRIBUTION RATES (PERS)
Fiscal Years 2017-18 through 2021-22⁽¹⁾**

Fiscal Year	Projected Employer Contribution Rate⁽²⁾
2017-18	15.800%
2018-19	18.700
2019-20	21.600
2020-21	24.900
2021-22	26.400

(1) As of the June 30, 2016 valuation. The PERS board is expected to approve official employer contribution rates for each fiscal year shown during the immediately preceding fiscal year.

(2) Expressed as a percentage of covered payroll.

Source: PERS

California Public Employees' Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees' Pension Reform Act of 2013 ("PEPRA"), which impacted various aspects of public retirement systems in the State, including the STRS and PERS programs. In general, PEPRA (i) increased the retirement age for public employees depending on job function, (ii) capped the annual pension benefit payouts for public employees hired after January 1, 2013, (iii) required public employees hired after January 1, 2013

to pay at least 50% of the costs of their pension benefits (as described in more detail below), (iv) required final compensation for public employees hired after January 1, 2013 to be determined based on the highest average annual pensionable compensation earned over a period of at least 36 consecutive months, and (v) attempted to address other perceived abuses in the public retirement systems in the State. PEPRAs applies to all public employee retirement systems in the State, *except* the retirement systems of the University of California, and charter cities and charter counties whose pension plans are not governed by State law. PEPRAs provisions went into effect on January 1, 2013 with respect to new State, school, and city and local agency employees hired on or after that date; existing employees who are members of employee associations, including employee associations of the School District, have a five-year window to negotiate compliance with PEPRAs through collective bargaining.

PERS has predicted that the impact of PEPRAs on employees and employers, including the School District and other employers in the PERS system, will vary, based on each employer's current level of benefits. As a result of the implementation of PEPRAs, new members must pay at least 50% of the normal costs of the plan, which can fluctuate from year to year. To the extent that the new formulas lower retirement benefits, employer contribution rates could decrease over time as current employees retire and employees subject to the new formulas make up a larger percentage of the workforce. This change would, in some circumstances, result in a lower retirement benefit for employees than they currently earn.

With respect to the STRS pension program, employees hired after January 1, 2013 will pay the greater of either (1) fifty percent of the normal cost of their retirement plan, rounded to the nearest one-quarter percent, or (2) the contribution rate paid by then-current members (i.e., employees in the STRS plan as of January 1, 2013). The member contribution rate could be increased from this level through collective bargaining or may be adjusted based on other factors. Employers will pay at least the normal cost rate, after subtracting the member's contribution.

The School District is unable to predict the amount of future contributions it will have to make to PERS and STRS as a result of the implementation of PEPRAs, and as a result of negotiations with its employee associations, or, notwithstanding the adoption of PEPRAs, resulting from any legislative changes regarding the PERS and STRS employer contributions that may be adopted in the future.

Additional Information. Additional information regarding the School District's retirement programs is available in Note 13 to the School District's audited financial statements attached hereto as APPENDIX A. In addition, both STRS and PERS issue separate comprehensive financial reports that include financial statements and required supplemental information. Copies of such reports may be obtained from STRS and PERS, respectively, as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; and (ii) PERS, 400 Q Street, Sacramento, California 95811. More information regarding STRS and PERS can also be obtained at their websites, www.calstrs.com and www.calpers.ca.gov, respectively. *The references to these Internet websites are shown for reference and convenience only and the information contained on such websites is not incorporated by reference into this Official Statement. The information contained on these websites may not be current and has not been reviewed by the School District or the Underwriter for accuracy or completeness.*

Other Post-Employment Benefits (OPEB)

The District provides post-employment health care benefits, in accordance with District employment contracts to all employees who retire from the District.

For faculty members, the plan provides lifetime retiree health, dental and vision benefits to eligible retirees and their dependents. Eligibility for retiree benefits requires retirement on or after a minimum age of 55 up to age 60 with at least 14 years of service. Retirement on or after age 61 up to age 64 requires age plus service to meet or exceed seventy-four while retirement on or after age 65 requires nine years of service. For faculty hired prior to July 1, 1983, retirement on or after age 55 requires only eight years of service.

For classified employees, the plan provides lifetime retiree health, dental and vision benefit to eligible retirees and their dependents. Eligibility for retiree benefits requires retirement on or after a minimum age of 50 with at least 12 years of service and the retiree age plus years of service must be at least seventy. Expenditures for post-employment benefits are recognized on a pay-as-you-go basis, as premiums are paid. Membership of the plan as of June 30, 2016 consisted of approximately 265 eligible active employees and 195 eligible retirees.

For fiscal year 2015-16 the District contributed \$1,515,355 to the plan, all of which was used for current premiums. The District's annual other post-employment benefit (OPEB) cost is calculated based on the annual required contribution (ARC) of the employer, an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for 2015-16:

IMPERIAL COMMUNITY COLLEGE DISTRICT OPEB Contributions Fiscal Year 2015-16 (Audited)

Annual required contribution	\$4,727,865
Contribution made	<u>(1,515,355)</u>
Increase in net OPEB obligation	3,212,510
 NET OPEB obligation, beginning of year	 <u>13,124,461</u>
 NET OPEB obligation, end of year	 <u>\$16,336,971</u>

Based on the District's most recent actuarial valuation, the District's unfunded liability for OPEB as of May 16, 2016 was \$34,277,992. The District has not funded a dedicated trust for purposes of amortizing its OPEB liability.

DISTRICT FINANCIAL INFORMATION

The information in this and other sections concerning the District's operations and operating budget is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Refunding Bonds is payable from the general fund of the District. The Refunding Bonds are

payable from the proceeds of an ad valorem tax required to be levied by the County in an amount sufficient for the payment thereof.

General Financial Information

The District's annual revenues are determined by a State funding formula, and consist of local property taxes, student fees, and State appropriations that are based upon student attendance. Because approximately 75% of the District's general fund operating revenues are tied to this State funding formula, the District's fiscal position is closely tied to the fiscal health of the State. And because the State Constitution commands that approximately 40% of the State's general fund budget be used to fund local school districts and community college districts, funding for education is at the heart of an often-contentious annual State budget approval process. This portion of Appendix B discusses overall State funding of education through the State's constitutional funding formula known as "Proposition 98", funding of the community college system, and the District's budget process. Specific information is presented regarding the District's current budgeted revenues and expenditures, as well as long-term obligations and capital financing.

The State's community college funding model adopted in 2006 equalized funding among the 72 community college districts and their 111 community colleges. The model provides for a base allocation by size of college, and an allocation for State-approved and grandfathered college "centers". The primary basis of the State apportionment is the calculation of Full-Time Equivalent Students ("FTES"). A history of recent enrollment is shown in the preceding section under the heading "Recent Enrollment Trends" and "State Funding System; FTES" herein.

Accounting Practices

The accounting practices of the District conform to generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board. The budgetary and financial accounts of the District have been recorded and maintained in accordance with the Chancellor's Office of the California Community College's *Budget and Accounting manual*. District expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. The District does not allocate indirect expenses in the statement of activities.

For financial reporting purposes, the District is considered a special-purpose government engaged in business-type activities. Accordingly, the District's basic financial statements are presented using the economic resources measurement focus and the accrual basis of accounting. Under the accrual basis, revenues are recognized when earned, and expenses are recorded when an obligation has been incurred. All significant intra-agency transactions have been eliminated. When the District incurs an expenditure or an expense for which both unrestricted and restricted resources may be used, it is the District's policy to use restricted resources first, and then the unrestricted resource.

Financial Statements

Audited Financial Statements - District-Wide. The District's Audited Financial Statements for the fiscal year ending fiscal year 2015-16 were prepared by Christy White & Associates, San Diego, California. Audited financial statements for the District for the fiscal year ended June 30, 2016 and prior fiscal years are on file with the District and available for public inspection at the Vice-President, Business Services Office. See Appendix A hereto for the 2015-

16 Audited Financial Statements. The following table shows a five-year history of revenues, expenses and changes in net assets for all District Governmental Funds, as presented in the District's audited financial statements.

IMPERIAL COMMUNITY COLLEGE DISTRICT
District Revenues, Expenses and Changes in Net Assets
For Fiscal Years 2011-12 through 2015-16 (Audited)

	Audited 2011-12	Audited 2012-13	Audited 2013-14	Audited 2014-15	Audited 2015-16
<u>Operating Revenues(1)</u>					
Tuition and fees	\$2,146,087	\$2,112,468	\$2,149,470	\$2,353,129	\$24,377,329
Grants and contracts, non-capital:					
Federal	22,817,945	22,430,799	21,477,575	22,723,261	2,808,252
State	7,090,882	7,810,662	5,952,839	8,144,542	7,363,109
Local	781,848	574,313	428,498	404,859	302,553
Sales and Commissions	127,400	134,234	122,595	109,954	-
Total Operating Revenues	32,964,162	33,062,476	30,130,977	33,735,745	34,851,243
<u>Operating Expenses</u>					
Academic Salaries	18,744,446	17,577,995	19,071,914	19,440,711	-
Classified Salaries	8,564,457	8,240,414	8,663,933	9,121,773	-
Salaries					31,174,879
Employee Benefits	10,799,692	11,068,589	11,804,411	14,439,254	13,086,637
Supplies, materials and other operating expenses	7,921,0916	5,305,388	6,125,508	5,737,117	8,063,449
Financial aid	20,559,159	19,976,521	20,184,912	21,956,467	22,526,265
Utilities	772,983	777,704	802,038	933,824	-
Interest and fiscal charges	3,767,140	3,468,115	3,534,131	4,001,649	-
Capital outlay					1,448,955
Depreciation	1,817,135	1,997,068	2,497,144	2,779,936	2,731,153
Total Operating Expenses	72,946,928	68,411,794	72,683,991	78,410,731	79,031,338
Operating Loss	(39,982,766)	(35,349,318)	(42,553,014)	(44,674,986)	(44,180,095)
<u>Non-Operating Revenues</u>					
State apportionments, non-capital	26,994,051	25,152,273	27,708,347	29,011,065	24,232,091
Local property taxes	6,863,817	7,536,010	8,015,710	8,666,350	11,623,457
State taxes and other revenue	1,081,685	1,824,847	1,798,174	2,571,097	14,909,909
Interest and investment income	274,258	169,700	85,830	71,296	82,942
Interest expense					(2,169,132)
Other non-operating revenues					(9,241,450)
Total Non-Operating Revenues	35,213,811	34,682,830	37,608,061	40,499,808	39,437,817
Increase (Decrease) in Net Position	(4,768,955)	(666,488)	(4,944,953)	(4,175,178)	(4,742,278)
Net Position, Beginning of Year	(6,169,825)	(11,938,780)	6,261,515	1,316,562	(35,482,886)
Restatement of Beginning Net Position(2)	-	18,866,783	-	(32,624,270)	-
<u>Net Position, End of Year</u>	<u>(\$11,938,780)</u>	<u>\$6,261,515</u>	<u>\$1,316,562</u>	<u>\$(35,482,886)</u>	<u>\$(40,225,164)</u>

(1) The discrepancy between Tuition and Fees and Federal revenues figures between 2015-16 and prior years is due to a change in the presentation of such figures by the District in the fiscal year 2015-16 audited financials.

(2) 2012-13 adjustment accounts for retroactive application of capitalized interest in fixed asset costs due to GASB 62; 2014-15 adjustment pursuant to GASB 68 and 71.

Source: Imperial Community College District.

General Fund Budget. The District adopted its 2017-18 Budget at a special meeting held on September 13, 2017. The following table shows the District's General Fund Budget Summary for fiscal year 2017-18, as compared to actual figures for fiscal year 2016-17, both as set forth in the District's 2017-18 Adopted Budget.

**IMPERIAL COMMUNITY COLLEGE DISTRICT
Unrestricted General Fund Summary
Fiscal Year 2016-17 (Actual) and 2017-18 (Budgeted)**

	Actual 2016-17	Budgeted 2017-18
<u>Revenues</u>		
Federal Revenues	\$1,160	\$1,200
State Revenues	33,989,210	34,692,185
Local Revenues	8,475,210	8,597,530
Total Revenues	42,465,580	43,290,915
<u>Expenditures</u>		
Certificated Salaries	18,206,962	19,106,048
Classified Salaries	7,554,772	7,728,229
Benefits	11,195,449	12,443,779
Supplies and Materials	513,199	591,983
Other Operating Ex. And Services	2,897,572	3,283,805
Capital Outlay	277,142	351,578
Other Outgo	306,459	303,583
Total Expenditures	40,951,555	43,809,005
Excess/(Deficiency) of Revenues over Expenditures	1,514,025	(599,090)
Beginning Reserves	7,996,113	9,477,068
Ending Reserves	9,510,138	8,877,978
General Fund Reserve as % of Expenditures	23.22%	20.27%

Source: Imperial Community College District Adopted Budget for Fiscal Year 2017-18.

District General Fund Reserve Policy

The District has adopted an ending balance policy of six percent of general fund expenditures, with a goal of eight percent.

District's Budget Process

On or before September 15, the Board of Trustees of the District is required under Section 58305 of the California Code of Regulations, Title V, to adopt a balanced budget. Each September, every State agency, including the Chancellor's Office of the California Community Colleges, submits to the Department of Finance ("DOF") proposals for changes in the State budget. These proposals are submitted in the form of Budget Change Proposals ("BCPs"), involving analyses of needs, proposed solutions and expected outcomes. Thereafter, the DOF makes recommendations to the governor, and by January 10 a proposed State budget is presented by the governor to the legislature. The Governor's Budget is then analyzed and

discussed in committees and hearings begin in the State Assembly and Senate. In May, based on the debate, analysis and changes in the economic forecasts, the governor issues a revised budget with changes he or she can support. The law requires the legislature to submit its approved budget by June 15, and by June 30 the governor should announce his or her line item reductions and sign the State budget. In response to growing concern for accountability and with enabling legislation (AB 2910, Chapter 1486, Statutes of 1986), the statewide governing board of the California community colleges (the **"Board of Governors"**) and the Chancellor's Office have established expectations for sound district fiscal management and a process for monitoring and evaluating the financial condition to ensure the financial health of California's community college districts. In accordance with statutory and regulatory provisions, the Chancellor has been given the responsibility to identify districts at risk and, when necessary, the authority to intervene to bring about improvement in their financial condition. To stabilize a district's financial condition, the Chancellor may, as a last resort, seek an appropriation for an emergency apportionment.

The monitoring and evaluation process is designed to provide early detection and amelioration that will stabilize the financial condition of a district before an emergency apportionment is necessary. This is accomplished by (1) assessing the financial condition of districts through the use of various information sources and (2) taking appropriate and timely follow-up action to bring about improvement in a district's financial condition, as needed. A variety of instruments and sources of information are used to provide a composite of each district's financial condition, including quarterly financial status reports, annual financial and budget reports, attendance reports, annual district audit reports, district input and other financial records. In assessing each district's financial condition, the Chancellor will pay special attention to each district's general fund balance, spending pattern, and full-time equivalent student patterns. Those districts with greater financial difficulty will receive follow-up visits from the Chancellor's Office where financial solutions to the district's problems will be addressed and implemented.

Financial Review by Accrediting Commission

In August, 2013, the District was notified by the Commission that it was identified for additional financial review by the Financial Review Task Force. In a letter dated February 7, 2014, the Commission directed the District to provide a special report to the Commission by April 15, 2014 to provide more current information about the District's compliance with certain accreditation standards. The underlying issue surrounded the District's financial stability and reliance on temporary expense measures in the aftermath of the State budget crisis. In response, the District addressed its planning processes and developed a fiscal strategy to produce a balanced budget. In June 2015, the Commission removed the District from accreditation warning status and granted full accreditation by the District.

State Funding of Community College Districts

California community college districts (other than Basic Aid Districts, as described below) receive operating income from (1) a State portion funded from the State's general fund, (ii) a local portion derived from the community college district's share of the county-wide property tax; (iii) revenues generated from the community college district's operations, consisting mainly of student fees and sales, and (iv) federal government grants and transfers.

State Funding System; FTES

Senate Bill 361, which was signed by the Governor on September 29, 2006 (“**SB 361**”), revised the previously existing community college funding system. The funding system includes allocation of state general apportionment revenues to community college districts based on criteria developed by the Board of Governors of the California Community Colleges (the “**Board of Governors**”) in accordance with prescribed statewide minimum requirements. In establishing these minimum requirements, the Board of Governors is required to acknowledge community college districts’ need to receive an annual allocation based on the number of colleges and comprehensive centers in each respective district, plus funding received based on the number of credit and noncredit FTES in each district. SB 361 also specifies that, commencing with fiscal year 2006-07, the minimum funding per FTES will be:

- (1) not less than \$4,367 per credit FTES (subject to cost of living adjustments funded through the budget act in subsequent fiscal years);
- (2) at a uniform rate of \$2,626 per noncredit FTES (adjusted for the change in cost of living provided in the budget act in subsequent fiscal years); and
- (3) originally set at \$3,092 per FTES (adjusted for the change in cost of living provided in the budget act in subsequent fiscal years) for a new instructional category of “career development and college preparation,” such instructional category is now funded at the same level as credit FTES.

Pursuant to SB 361, the Chancellor of the California Community Colleges (the “**Chancellor**”) developed criteria for one-time grants for districts that would have received more funding under the prior system or a proposed rural college access grant than under the new system and the Budget Act of 2006.

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The following table shows the District's historical funding per FTES and total funding with respect to fiscal years 2009-10 through 2017-18 (estimated). Non-resident students pay full tuition.

IMPERIAL COMMUNITY COLLEGE DISTRICT
Program-Based Funding
Fiscal Years 2009-10 through 2015-16 (actual)
and 2016-17 through 2017-18 (estimated)

Fiscal Year	Base Revenue per Unit of FTES⁽¹⁾	Funded FTES⁽²⁾	Unfunded FTES^{(3) (4)}	Total Funding⁽⁵⁾
2009-10	\$4,564.82	6,928	203.20	\$34,794,327
2010-11	4,564.82	7,101	188.78	35,514,557
2011-12	4,564.82	6,119	0	33,159,654
2012-13	4,564.82	6,053	0	31,152,594
2013-14	4,636.49	6,625	0	33,858,040
2014-15	4,675.90	6,864	0	35,414,399
2015-16	4,723.60	6,812	0	37,893,795
2016-17 ⁽³⁾	5,005.68	6,854	0	38,149,087
2017-18 ⁽³⁾	5,151.23	6,915	0	39,729,160

(1) One FTES is equivalent to 525 student contact hours, which is determined on a State formula of one student multiplied by 15 weekly contact hours multiplied by 35 weeks. Accordingly, the number of FTES in the District may not equal the number of students enrolled in the District. This table reflects resident FTES count only. Non-resident FTES are generally excluded from State funding formula calculations.

(2) FTES differ from FTES presented on page B-3 due to different methodology of calculation. Under State community college regulations, if the reported FTES for a fiscal year is below the State FTES base level, then the community college receives the base level funding for the next fiscal year.

(3) In each fiscal year, the State budget established an enrollment cap on the maximum number of FTES, known as the "funded" FTES, for which a community college district will receive a revenue allocation, as determined by the program-based model. A district's enrollment cap is based on the previous fiscal year's reported FTES, plus the growth allowance provided for by the State budget, if any. All student hours in excess of the enrollment cap are considered "unfunded" FTES.

(4) Total Funding is a function of base revenue per unit of FTES, funded FTES as well as other factors.

(5) Estimate.

Source: Imperial Community College District.

Local revenues are first used to satisfy a community college district's expenditures. The major local revenue source is local property taxes that are collected from within district boundaries. Student enrollment fees from the local community college district generally account for the remainder of local revenues for the district. Property taxes and student enrollment fees are applied towards fulfilling the district's financial need. Once these sources are exhausted, State funds are used. State aid is subject to the appropriation of funds in the State's annual budget. Therefore, decreases in State revenues may affect appropriations made by the legislature to the district. The sum of the property taxes, student enrollment fees, and State aid generally comprise the district's revenue limit.

"Basic Aid" community college districts are those districts whose local property tax and student enrollment fee collections exceed the revenue allocation determined by the program-based model. Basic Aid Districts do not receive any funds from the State. The current law in California allows these districts to keep the excess funds without penalty. The implication for Basic Aid Districts is that the legislatively determined annual cost of living adjustment and other politically determined factors are less significant in determining such districts' primary funding sources. Rather, property tax growth and the local economy become the determinant factors. The District is not a Basic Aid District.

A small part of a community college district's budget is from local sources other than property taxes and student enrollment fees, such as interest income, donations and sales of property. Every community college district receives the same amount of lottery funds per pupil from the State; however, these are not categorical funds as they are not for particular programs or students. The initiative authorizing the lottery does require the funds to be used for instructional purposes, and prohibits their use for capital purposes.

Outstanding Indebtedness

General Obligation Bonds. The District has issued general obligations bonds pursuant to voter authorizations received in 2004 and 2010. In addition, the District has one series of Refunding General Obligation Bonds outstanding. The following table summarizes the District's outstanding debt:

IMPERIAL COMMUNITY COLLEGE DISTRICT Summary of Outstanding General Obligation Bond Indebtedness

Issue	Issue Date	Original Principal Amount	Amount Outstanding August 1, 2017†
<i>Election of 2004</i>			
Series 2006B	December 2006	\$13,285,473.05	\$8,810,473.05
Series 2007C	November 2007	11,915,815.95	8,500,815.95*
Series 2009D	May 2009	3,013,779.30	2,820,857.75
Series 2009E	May 2009	5,866,919.15	5,866,919.15
<i>Election of 2010</i>			
Series 2010A	January 2011	9,405,512.20	8,988,882.40
Series 2014A	March 2014	16,642,939.15	16,168,361.90
2012 Ref. GO Bonds	December 2012	19,420,000.00	17,680,000.00

† Does not include accreted interest relating to capital appreciation bonds.

*A portion of the Series 2007C and Series 2010A Bonds are expected to be refunded with proceeds of the Refunding Bonds.

Debt service on the bonds set forth in the foregoing table is secured by *ad valorem* taxes on all taxable property within the District. See "DEBT SERVICE SCHEDULES" in the body of this Official Statement.

Imperial County Investment Pool

Under the California Education Code, the District is required to pay all monies received from any source into the County of Imperial Treasury to be held on behalf of the District. Pursuant to the County Charter and subject to annual review and renewal by the Board of Supervisors of the County, the County Director of Finance is authorized to invest and reinvest the funds. The County's General Fund, among other funds, is invested in the Imperial County Pooled Investment Fund (the "**County Pool**"), which is managed by the County Director of Finance. The County Pool is governed by the Imperial County Annual Investment Policy for the Pooled Investment Fund (the "**Investment Policy**") as authorized by the Sections 53601 et seq. and 53635 et seq. of the Government Code, which the Treasurer annually renders to the Board of Supervisors. The Board of Supervisors review and approve the Investment Policy at a public meeting. This policy defines investible funds, authorized instruments, credit quality required, maximum maturities and

concentrations, collateral requirements, and provides the approved credit standards, investment objectives and specific constraints of the portfolios managed. The Investment Policy also authorizes the establishment and periodic review of investment guidelines which provide specific guidance to the portfolio managers. These investment guidelines are fully consistent with and subordinate to the Investment Policy.

Authorized investments are required to match the general categories established by Sections 53601 et seq., 53635 et seq., and 16429.1 et seq. of the California Government Code; including the specific categories of financial futures and financial options contracts established by California Government Code Section 53601.1. No investments are authorized having the possibility of returning a zero or negative investment yield.

See "APPENDIX G - IMPERIAL COUNTY INVESTMENT POLICY AND QUARTERLY INVESTMENT REPORT."

State Funding of Education and Recent State Budgets

General. The largest percentage of community college district revenues comes from the State in accordance with the State's formula for funding community college districts and the Proposition 98 minimum funding guarantee with respect to education appropriations. The following description of the State's budget has been obtained from publicly available information which the District believes to be reliable; however, none of the District, its counsel or the Financial Advisor guarantees the accuracy or completeness of this information and have not independently verified such information. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov and www.lao.ca.gov. These websites are not incorporated herein by reference and none of the District, its counsel, or the Financial Advisor make any representation as to the accuracy of the information provided herein.

The State Budget Process. The State's fiscal year begins on July 1 and ends on June 30. According to the State Constitution, the Governor is required to propose a budget for the next fiscal year (the "**Governor's Budget**") to the State Legislature no later than January 10 of each year. State law requires the Governor to update the Governor's Budget projections and budgetary proposals by May 14 of each year (the "**May Revision**"). Proposition 25, which was adopted by voters in the State at an election held on November 2, 2010, amended the State Constitution such that a final budget must be adopted by a simple majority vote of each house of the State Legislature by no later than June 15 and the Governor must sign the adopted budget by no later than June 30. The budget becomes law upon the signature of the Governor (the "**Budget Act**").

Under State law, the annual proposed Governor's Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor's Budget, the State Legislature takes up the proposal. The primary source of the annual expenditure authorizations is the Budget Act, as approved by the State Legislature and signed by the Governor. The Governor may reduce or eliminate specific line items in the Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature. Appropriations also may be included in the legislation other than the Budget Act. Bills containing appropriations (except for K-12 school districts and community college districts (collectively, "**K-14 districts**") must be approved by a two-thirds majority vote in each House of the State Legislature and be signed by the Governor. Bills containing education appropriations for K-14 districts require only a simple majority vote. Continuing appropriations, available without regard for fiscal year, may also be provided by statute or the State Constitution.

Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt. However, delays in the adoption of a final State budget in any fiscal year may affect payments of State funds during such budget impasse.

Recent State Budgets. Certain information about the State budgeting process and the State budget is available through several State of California sources. A convenient source of information is the State's website, where recent official statements for State bonds are posted. *The references to Internet websites shown below are shown for reference and convenience only, the information contained within the websites may not be current and has not been reviewed by the District and is not incorporated in this Official Statement by reference.*

- The California State Treasurer Internet home page at www.treasurer.ca.gov, under the heading "Bond Information," posts various State of California Official Statements, many of which contain a summary of the current State Budget, past State Budgets, and the impact of those budgets on school districts in the State.
- The California State Treasurer's Office Internet home page at www.treasurer.ca.gov, under the heading "Financial Information," posts the State's audited financial statements. In addition, the Financial Information section includes the State's Rule 15c2-12 filings for State bond issues. The Financial Information section also includes the Overview of the State Economy and Government, State Finances, State Indebtedness, Litigation from the State's most current Official Statement, which discusses the State budget and its impact on school districts.
- The California Department of Finance's Internet home page at www.dof.ca.gov, under the heading "California Budget," includes the text of proposed and adopted State Budgets.
- The State Legislative Analyst's Office prepares analyses of the proposed and adopted State budgets. The analyses are accessible on the Legislative Analyst's Internet home page at www.lao.ca.gov under the heading "Subject Area – Budget (State)."

Prior Years' Budgeting Techniques. Declining revenues and fiscal difficulties which arose in the State commencing in fiscal year 2008-09 led the State to undertake a number of budgeting strategies, which had subsequent impacts on local agencies within the State. These techniques included, among others, the issuance of IOUs in lieu of warrants (checks), the enactment of statutes deferring amounts owed to public schools until a later date in the fiscal year or even into the following fiscal year (known as statutory deferrals), trigger reductions, which were budget-cutting measures that were implemented or could have been implemented if certain State budgeting goals were not met, and the dissolution of local redevelopment agencies in part to make available additional funding for local agencies. Although the fiscal year 2017-18 State Budget is balanced and projects a balanced budget for the foreseeable future, largely attributable to the additional revenues generated due to the passage of Proposition 55 at the November 8, 2016 statewide election, there can be no certainty that budget-cutting strategies such as those used in recent years will not be used in the future should the State budget again be stressed and if projections included in such budget do not materialize.

Fiscal Year 2017-18 State Budget. On June 27, 2017, the Governor signed the 2017-18 State budget (the “**2017-18 State Budget**”) into law. The 2017-18 State Budget calls for the spending of \$125.1 billion from the general fund, \$54.9 billion from special funds and \$3.3 billion from bond funds. The 2017-18 State Budget includes a funding increase of \$3.1 billion for K-14 education, an expanded tax credit for low-wage workers and puts an additional \$1.8 billion into the State’s budget stabilization reserve, bringing the rainy-day fund balance to \$8.5 billion, or 66% of the constitutional target. Significant features of the 2017-18 State Budget relating to California community colleges include:

- An increase of \$382 million for increased operating expenses, cost-of-living adjustments, and enrollment changes;
- A one-time increase of \$150 million for grants to community colleges to develop an integrated, institution-wide approach to student success;
- \$618,000 General Fund and \$458,000 in reimbursement authority for six new positions and funding for a second Deputy Chancellor to support the Chancellor’s priorities to provide greater leadership and technical assistance to community colleges and improve student outcomes;
- An increase of \$50 million to provide financial aid to community college students;
- A one-time increase of \$20 million to provide funding for the development and implementation of innovative practices;
- An increase of \$10 million (of which \$5 million is one-time) to develop and enhance veterans’ resource centers;
- An increase of \$10 million to provide system-wide access to the Initiative’s learning management system;
- A one-time increase of \$6 million to facilitate the development of an integrated library system that, once operational, will allow California community college students access to a cloud-based library system;
- A one-time increase of \$76.9 million for deferred maintenance, instructional equipment, and specified water conservation projects; and
- A total of \$16.9 million from Proposition 51 bond funds for initial design activities for 15 community college facilities projects.

Availability of 2017-18 State Budget. The complete 2017-18 State Budget is available from the California Department of Finance website at www.ebudget.ca.gov. The District can take no responsibility for the continued accuracy of this Internet address or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated in this Official Statement by such reference. The information referred to above should not be relied upon in making an investment decision with respect to the Refunding Bonds.

Future State Budgets. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address the State’s current or future budget deficits

and cash management practices. Future State budgets will be affected by national and State economic conditions, including economic downturns and other factors over which the District will have no control. To the extent that the State budget process results in reduced revenues, deferred revenues or increased expenses for the District, the District will be required to make adjustments to its budget and cash management practices. In the event current or future State budgets decrease the District's revenues or increase required expenditures by the District from the levels assumed by the District, the District will be required to generate additional revenues, curtail programs or services, or use its reserve funds to ensure a balanced budget.

The State has not entered into any contractual commitment with the District, the Counties, or the owners of the Refunding Bonds to provide State budget information to the District or the owners of the Refunding Bonds. Although they believe the State sources of information listed above are reliable, neither the District nor the Underwriter assumes any responsibility for the accuracy of the State Budget information set forth or referred to in this Official Statement or incorporated herein.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Principal of and interest on the Refunding Bonds are payable from the proceeds of an *ad valorem* tax levied by the County for the payment thereof. Articles XIII A, XIII B, XIII C, and XIII D of the State Constitution, Propositions 62, 98, 111 and 218, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the District to levy taxes and spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the District to levy taxes for payment of the Refunding Bonds. The tax levied by the County for payment of the Refunding Bonds was approved by the District's voters in compliance with Article XIII A and all applicable laws.

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues, there shall be first set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. College districts receive a significant portion of their funding from State appropriations. As a result, decreases and increases in State revenues can significantly affect appropriations made by the State Legislature to school and college districts.

Article XIII A of the California Constitution

Basic Property Tax Levy. On June 6, 1978, California voters approved Proposition 13 ("**Proposition 13**"), which added Article XIII A to the State Constitution ("**Article XIII A**"). Article XIII A limits the amount of any *ad valorem* tax on real property to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on (i) indebtedness approved by the voters prior to July 1, 1978, (ii) (as a result of an amendment to Article XIII A approved by State voters on June 3, 1986) on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness, and (iii) (as a result of an amendment to Article XIII A approved by State voters on November 7, 2000) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55%

of the voters of the district, but only if certain accountability measures are included in the proposition (which provided the authority for the issuance of the Prior Bonds). Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under full cash value, or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment”. This full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

Inflationary Adjustment of Assessed Valuation. As described above, the assessed value of a property may be increased at a rate not to exceed 2% per year to account for inflation. On December 27, 2001, the Orange County Superior Court, in *County of Orange v. Orange County Assessment Appeals Board No. 3*, held that where a home’s taxable value did not increase for two years, due to a flat real estate market, the Orange County assessor violated the 2% inflation adjustment provision of Article XIII A, when the assessor tried to “recapture” the tax value of the property by increasing its assessed value by 4% in a single year. The assessors in most California counties, including the County, use a similar methodology in raising the taxable values of property beyond 2% in a single year. The State Board of Equalization has approved this methodology for increasing assessed values. On appeal, the Appellate Court held that the trial court erred in ruling that assessments are always limited to no more than 2% of the previous year’s assessment. On May 10, 2004 a petition for review was filed with the California Supreme Court. The petition has been denied by the California Supreme Court. As a result of this litigation, the “recapture” provision described above may continue to be employed in determining the full cash value of property for property tax purposes.

Article XIII B of the California Constitution

Article XIII B (“**Article XIII B**”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit

for the 1986-87 fiscal year adjusted for the changes made from that fiscal year under the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. "Proceeds of taxes" include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years. However, in the event that a school district's revenues exceed its spending limit, the district may in any fiscal year increase its appropriations limit to equal its spending by borrowing appropriations limit from the State.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund under Section 8.5 of Article XVI of the State Constitution.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions ("**unitary property**"). Under the State Constitution, such property is assessed by the State Board of Equalization ("**SBE**") as part of a "going concern" rather than as individual pieces of real or personal property. State-assessed unitary and certain other property is allocated to the counties by SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

Articles XIII C and XIII D

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the "Right to Vote on Taxes Act." Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, "**Article XIII C**" and "**Article XIII D**"), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIII C to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

While the provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District (thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District), the District does not believe that Proposition 218 will directly impact the revenues available to pay debt service on the Refunding Bonds.

Proposition 98

On November 8, 1988, California voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “**Accountability Act**”). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became

effective on July 1, 1990. The Accountability Act changes State funding of public education below the university level and the operation of the State's appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as "K-14 school districts") at a level equal to the greater of (a) the same percentage of general fund revenues as the percentage appropriated to such districts in 1986-87, and (b) the amount actually appropriated to such districts from the general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the Legislature to suspend this formula for a one-year period.

The Accountability Act also changes how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount would, instead of being returned to taxpayers, be transferred to K-14 school districts. Any such transfer to K-14 school districts would be excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K 14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which could be transferred to K 14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Proposition 111

On June 5, 1990, the voters approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limit Act of 1990" ("**Proposition 111**") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in California *per capita* personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.

Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of the schools' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.

Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit. First, there are excluded all appropriations for "qualified capital outlay projects" as defined by the Legislature. Second, there

are excluded any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the Legislature and the Governor, which expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.

School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues (the “**first test**”) or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to *per capita* personal income) and enrollment (the “**second test**”). Under Proposition 111, schools will receive the greater of (1) the first test, (2) the second test, or (3) a third test, which will replace the second test in any year when growth in *per capita* State general fund revenues from the prior year is less than the annual growth in California per capita personal income (the “**third test**”). Under the third test, schools will receive the amount appropriated in the prior year adjusted for change in enrollment and *per capita* State general fund revenues, plus an additional small adjustment factor. If the third test is used in any year, the difference between the third test and the second test will become a “credit” to schools which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, California voters approved an amendment (commonly known as “**Proposition 39**”) to the California Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, community college districts, including the District, and county offices of education. As noted above, the California Constitution previously limited property taxes to 1% of the value of property. Prior to the approval of Proposition 39, property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond

funds have been used only for the projects listed in the measure. Legislation approved in June 2000 places certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate levied as the result of any single election be no more than \$60 (for a unified school district), \$30 (for an elementary school district or high school district), or \$25 (for a community college district), per \$100,000 of taxable property value. These requirements are not part of this proposition and can be changed with a majority vote of both houses of the Legislature and approval by the Governor.

Proposition 30 and Proposition 55

Proposition 30 appeared on the November 6, 2012 statewide ballot as an initiated constitutional amendment ("**Proposition 30**"), and it was approved by State voters. Proposition 30 increased the State sales tax from 7.25% to 7.50%, increased personal income tax rates on higher income brackets for seven years, and temporarily imposed an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposed an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017. This excise tax is levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increased the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,000 for single filers (over \$500,000 but less than \$600,000 for joint filers and over, \$340,000 but less than \$408,000 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,000 for single filers (over \$600,000 but less than \$1,000,000 for joint filers and over \$408,000 but less than \$680,000 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The revenues generated from the temporary tax increases are included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See "Proposition 98" and "Proposition 111" above. From an accounting perspective, the revenues generated from the temporary tax increases will be deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the "**EPA**"). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to school districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that, the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing boards are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

The California Children's Education and Health Care Protection Act of 2016, also known as Proposition 55, was a proposed constitutional amendment initiative that was approved on the November 8, 2016 general election ballot in California. Proposition 55 extends the increases to personal income tax rates for high-income taxpayers that were approved as part of Proposition 30 through 2030, instead of the scheduled expiration date of December 31, 2018. Tax revenue received under Proposition 55 is to be allocated 89% to K-12 schools and 11% to community colleges.

Proposition 1A and Proposition 22

On November 2, 2004, California voters approved Proposition 1A, which amended the State constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-thirds approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Under Proposition 1A, beginning in 2008-09, the State may shift to schools and community colleges a limited amount of local government property tax revenue if certain conditions are met, including: (i) a proclamation by the Governor that the shift is needed due to a severe financial hardship of the State, and (ii) approval of the shift by the State Legislature with a two-thirds vote of both houses. Under such a shift, the State must repay local governments for their property tax losses, with interest, within three years. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amended the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, a constitutional initiative entitled the "Local Taxpayer, Public Safety, and Transportation Protection Act of 2010," approved on November 2, 2010, superseded many of the provisions of Proposition 1A. This initiative amends the State constitution to prohibit the legislature from diverting or shifting revenues that are dedicated to funding services provided by local government or funds dedicated to transportation improvement projects and services. Under this proposition, the State is not allowed to take revenue derived from locally imposed taxes, such as hotel taxes, parcel taxes, utility taxes and sales taxes, and local public transit and transportation funds. Further, in the event that a local governmental agency sues the State alleging a violation of these provisions and wins, then the State must automatically appropriate the funds needed to pay that local government. This Proposition was intended to, among other things, stabilize local government revenue sources by restricting the State's control over local property taxes. Proposition 22 did not prevent the California State Legislature from dissolving State redevelopment agencies pursuant to AB 1X26, as confirmed by the decision of the California Supreme Court in *California Redevelopment Association v. Matosantos* (2011).

Because Proposition 22 reduces the State's authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State will have to take other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State's general fund.

California Senate Bill 222

Senate Bill 222 ("**SB 222**") was signed by the California Governor on July 13, 2015 and became effective on January 1, 2016. SB 222 amended Section 15251 of the California Education Code and added Section 52515 to the California Government Code to provide that voter approved general obligation bonds which are secured by *ad valorem* tax collections such as the Refunding Bonds are secured by a statutory lien on all revenues received pursuant to the

levy and collection of the property tax imposed to service those bonds. Said lien shall attach automatically and is valid and binding from the time the bonds are executed and delivered. The lien is enforceable against the issuer, its successors, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for any further act. The effect of SB 222 is the treatment of general obligation bonds as secured debt in bankruptcy due to the existence of a statutory lien.

Proposition 2

Voters in California approved Proposition 2 on November 4, 2014, which altered the State's existing requirements for the Budget Stabilization Account created in 2004. Proposition 2 created a distinct budget stabilization fund known as the Public School System Stabilization Account (the Proposition 98 reserve), which is to be funded by a transfer of capital gains-related revenues in excess of 8% of general fund revenues.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 98, 22, 26, 30 and 39 were each adopted as measures that qualified for the ballot under the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

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APPENDIX C

IMPERIAL COUNTY DEMOGRAPHIC INFORMATION

The following information concerning Imperial County is included only for the purpose of supplying general information regarding the area of the District. The Refunding Bonds are not a debt of the County, the State or any of its political subdivisions, and none of the County, the State or any of its political subdivisions is liable therefor.

General Information

Imperial County is located in the southeast corner of California. It is bordered on the north by Riverside County, on the west by San Diego County, on the south by Mexico and on the east by the Colorado River, which forms the boundary between California and Arizona. It covers an area of 4,482 square miles. The county has an average annual rainfall of less than three inches, and three fourths of the area is desert sand and rugged mountains. Parts of the county are below sea level.

Imperial County is one of the state's major agricultural producers. Farming is done in the Imperial Valley, an approximately one thousand square mile area. An extensive irrigation system has been developed and adequate water is supplied from the Colorado River through the All-American Canal. There is a year-round growing season with a mean monthly temperature ranging from 55 degrees to 90 degrees. The City of El Centro, the largest of three major cities in the Imperial Valley, is the county seat and the principal trading center of the county.

Population

The following table shows population estimates for the County for the past five years as of January 1.

COUNTY OF IMPERIAL
Population Estimates
Calendar Years 2013 through 2017
As of January 1

<u>Area</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>
Brawley	25,885	26,044	26,367	26,629	26,928
Calexico	39,861	40,115	40,448	40,660	40,921
Calipatria	7,075	7,475	7,399	7,508	7,555
El Centro	44,249	44,509	45,039	45,305	45,628
Holtville	6,035	6,063	6,117	6,174	6,255
Imperial	16,160	16,833	17,529	18,190	18,658
Westmoreland	2,260	2,261	2,276	2,288	2,302
Unincorporated	38,699	38,689	39,449	39,326	40,087
Total County ⁽¹⁾	180,224	181,989	184,624	186,080	188,334

(1) Totals may not add due to rounding.

Source: U.S. Census and State of California, Department of Finance.

Employment and Industry

The District is included in the El Centro Metropolitan Statistical area ("**MSA**"). The unemployment rate in the County was 22.6% in September 2017, down from a revised 24.9% in March 2017, and below the year-ago estimate of 25.6%. This compares with an unadjusted unemployment rate of 4.7% for California and 4.1% for the nation during the same period.

The following table shows the average annual estimated numbers of wage and salary workers by industry. The table does not include proprietors, the self-employed, unpaid volunteers or family workers, domestic workers in households, and persons in labor management disputes.

EL CENTRO METROPOLITAN STATISTICAL AREA (COUNTY OF IMPERIAL) Annual Average Civilian Labor Force, Unemployment and Employment by Industry Calendar Years 2012 through 2016 (March 2016 Benchmark)

	2012	2013	2014	2015	2016
Civilian Labor Force ⁽¹⁾	79,300	78,300	78,400	78,100	76,900
Employment	57,600	58,700	59,600	59,400	58,800
Unemployment	21,700	19,600	18,800	18,700	18,100
Unemployment Rate	27.4%	25.0%	24.0%	24.0%	23.5%
<u>Wage and Salary Employment:</u> ⁽²⁾					
Agriculture	10,700	10,900	12,200	13,100	11,700
Mining, Logging, Construction	1,500	2,000	2,300	2,600	1,800
Manufacturing	2,600	2,500	1,700	1,200	1,300
Wholesale Trade	1,700	1,800	1,800	1,800	1,900
Retail Trade	7,300	7,500	8,100	8,200	8,000
Transportation, Warehousing and Utilities	1,800	2,000	2,100	2,100	2,400
Information	400	300	300	300	300
Finance and Insurance	400	300	300	300	300
Professional and Business Services	1,400	1,500	1,500	1,500	1,400
Educational and Health Services	2,700	2,600	2,600	2,300	2,300
Leisure and Hospitality	3,600	3,900	4,000	4,200	4,400
Other Services	800	800	800	800	900
Federal Government	2,500	2,400	2,300	2,200	2,100
State Government	2,800	2,700	2,600	2,600	2,700
Local Government	12,700	12,700	13,000	13,100	13,500
Total all Industries ⁽³⁾	60,200	61,900	63,900	64,600	63,700

(1) Labor force data is by place of residence; includes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(2) Industry employment is by place of work; excludes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(3) Totals may not add due to rounding.

Source: California Employment Development Department.

Major Employers

The following table lists the major employers within the County as of September 2017.

COUNTY OF IMPERIAL Major Employers (Listed Alphabetically)

<u>Employer Name</u>	<u>Location</u>	<u>Industry</u>
8 A Packing LLC	El Centro	Labor Organizations
Academic Services	Imperial	Schools-Universities & Colleges Academics
Allstar Seed Co	El Centro	Seeds & Bulbs-Wholesale
Calipatria State Prison	Calipatria	Government Offices-State
Centinela Solar Energy LLC	Calexico	Power Plants
Centinela State Prison	Imperial	Government Offices-State
Central Union High School	El Centro	Schools
Clinicas De Salud Del Pueblo	Brawley	Clinics
Eight Star Commodities	El Centro	Hay and Alfalfa (whls)
El Centro Naval Air Facility	El Centro	Federal Government-National Security
El Centro Regional Medical Ctr	El Centro	Hospitals
Imperial County Bhvrl Health	El Centro	Government Offices-County
Imperial County Coroner	El Centro	Government Offices-County
Imperial County Office-Educ	El Centro	Schools
Imperial County Sheriff	El Centro	Government Offices-County
Imperial Date Gardens	Winterhaven	Nurserymen
Imperial Irrigation District	El Centro	Distribution Services
Imperial Irrigation District	Imperial	Distribution Services
JJALL LLC	Calexico	Labor Contractors
Paradise Casino	Winterhaven	Casinos
Pioneers Memorial Healthcare	Brawley	Hospitals
Spreckels Sugar Co Inc	Brawley	Sugar Refiners (mfrs)
United States Gypsum Co	El Centro	Gypsum & Gypsum Products (mfrs)
US Border Patrol	El Centro	Government Offices-Us
Vulcan-Bn Geothermal Power	Calipatria	Power Plants

Source: California Employment Development Department, extracted from the America's Labor Market Information System Employer Database, 2017 1st Edition.

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Effective Buying Income

“Effective Buying Income” is defined as personal income less personal tax and nontax payments, a number often referred to as “disposable” or “after-tax” income. Personal income is the aggregate of wages and salaries, other labor-related income (such as employer contributions to private pension funds), proprietor’s income, rental income (which includes imputed rental income of owner-occupants of non-farm dwellings), dividends paid by corporations, interest income from all sources, and transfer payments (such as pensions and welfare assistance). Deducted from this total are personal taxes (federal, state and local), nontax payments (fines, fees, penalties, etc.) and personal contributions to social insurance. According to U.S. government definitions, the resultant figure is commonly known as “disposable personal income.”

The following table summarizes the median household effective buying income for the County, the State and the United States for the period 2012 through 2016:

IMPERIAL COUNTY, STATE OF CALIFORNIA AND UNITED STATES Effective Buying Income 2012 through 2016

Year	Area	Total Effective Buying Income (000's Omitted)	Median Household Effective Buying Income
2012	Imperial County	\$2,332,398	\$35,471
	California	864,088,828	47,307
	United States	6,737,867,730	41,358
2013	Imperial County	\$2,363,708	\$34,775
	California	858,676,636	48,340
	United States	6,982,757,379	43,715
2014	Imperial County	\$2,374,243	\$36,760
	California	901,189,699	50,072
	United States	7,357,153,421	45,448
2015	Imperial County	\$2,691,905	\$40,946
	California	981,231,666	53,589
	United States	7,757,960,399	46,738
2016	Imperial County	\$2,662,288	\$37,868
	California	1,036,142,723	55,681
	United States	8,132,748,136	48,043

Source: The Nielsen Company (US), Inc.

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Commercial Activity

Summaries of historic taxable sales within the County during the past five years in which data is available are shown in the following table. Figures are not yet available for calendar year 2016.

Total taxable sales during the first three quarters of calendar year 2016 in the County were reported to be \$1.790 billion, a 5.8% decrease from the total taxable sales of \$1.900 billion reported during the first three quarters of calendar year 2015.

IMPERIAL COUNTY
Taxable Retail Sales
Number of Permits and Valuation of Taxable Transactions
(Dollars in Thousands)

	<u>Retail Stores</u>		<u>Total All Outlets</u>	
	<u>Number of Permits</u>	<u>Taxable Transactions</u>	<u>Number of Permits</u>	<u>Taxable Transactions</u>
2011	2,339	\$1,414,803	3,390	\$2,181,800
2012	2,258	1,482,810	3,288	2,356,313
2013	2,222	1,561,647	3,239	3,661,582
2014	2,293	1,615,754	3,266	2,893,261
2015	2,153	1,612,423	3,509	2,652,906

Source: California State Board of Equalization, Taxable Sales in California (Sales & Use Tax).

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Construction Activity

Provided below are the building permits and valuations for the County, for calendar years 2012 through 2016.

IMPERIAL COUNTY Total Building Permit Valuations (Valuations in Thousands)

<u>Permit Valuation</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>
New Single-family	\$40,512.5	\$67,396.6	\$33,809.0	\$26,492.3	\$48,224.3
New Multi-family	8,101.5	0.0	9,582.3	20,797.8	7761.8
Res. Alterations/Additions	<u>6,000.9</u>	<u>4,389.1</u>	<u>4,211.5</u>	<u>6,386.9</u>	<u>10004.3</u>
Total Residential ⁽¹⁾	54,614.9	71,785.7	47,602.8	53,677.0	\$68,006.40
New Commercial	34,032.3	44,242.9	6,833.1	18,009.0	22,447.5
New Industrial	468,597.8	17,735.4	10,009.0	2,000.0	1,239.2
New Other	37,896.0	507,195.9	3,971.0	13,405.1	48,814.3
Com. Alterations/Additions	<u>18,415.5</u>	<u>22,475.6</u>	<u>12,257.6</u>	<u>13,616.3</u>	<u>18,720.0</u>
Total Nonresidential ⁽¹⁾	558,941.6	591,649.8	33,070.7	47,030.4	91,221.0
<u>New Dwelling Units</u>					
Single Family	215	334	179	125	230
Multiple Family	<u>124</u>	<u>0</u>	<u>59</u>	<u>33</u>	<u>41</u>
TOTAL	339	334	238	158	271

⁽¹⁾ Totals may not add due to rounding.

Source: Construction Industry Research Board, Building Permit Summary.

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APPENDIX D

FORM OF OPINION OF BOND COUNSEL

December 13, 2017

Board of Trustees
Imperial Community College District
380 East Aten Road
Imperial, California 92251

OPINION: \$16,200,000 Imperial Community College District
 (Imperial County, California) 2017 General Obligation Refunding Bonds

Members of the Board of Trustees:

We have acted as bond counsel to the Imperial Community College District (the "District") in connection with the issuance by the District of its Imperial Community College District (Imperial County, California) 2017 General Obligation Refunding Bonds in the aggregate principal amount of \$16,200,000 (the "Bonds"), pursuant to Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the "Bond Law"), and a resolution of the Board of Trustees of the District (the "Board") adopted on November 15, 2017 (the "Bond Resolution"). We have examined the law and such certified proceedings and other papers as we have deemed necessary to render this opinion.

As to questions of fact material to our opinion, we have relied upon representations of the Board contained in the Bond Resolution and in the certified proceedings and certifications of public officials and others furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion, under existing law, as follows:

1. The District is duly established and validly existing as a community college district with the power to adopt the Bond Resolution, to issue the Bonds and to perform its obligations under the Bond Resolution.
2. The Bond Resolution has been duly adopted by the Board and constitutes a valid and binding obligation of the District enforceable against the District in accordance with its terms.
3. The Bonds have been duly authorized, executed and delivered by the District and are valid and binding general obligations of the District, and the Board of Supervisors of Imperial County is obligated under the laws of the State of California to cause to be levied a tax without limit as to rate or amount upon the taxable property in the District for the payment when due of the principal of and interest on the Bonds.
4. Interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax

imposed on individuals and corporations; it should be noted, however, that, for the purpose of computing the alternative minimum tax imposed on corporations (as defined for federal income tax purposes), such interest is taken into account in determining certain income and earnings. The opinions set forth in the preceding sentence are subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986, which must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excluded from gross income for federal income tax purposes. The District has covenanted in the Bond Resolution and in other instruments relating to the Bonds to comply with each of such requirements; and the District has full legal authority to make and comply with such covenants. Failure to comply with certain of such requirements may cause the inclusion of interest on the Bonds in gross income for federal income tax purposes to be retroactive to the date of issuance of the Bonds. We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

5. The interest on the Bonds is exempt from personal income taxation imposed by the State of California.

The rights of the owners of the Bonds and the enforceability of the Bonds and the Bond Resolution may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted and may also be subject to the exercise of judicial discretion in appropriate cases.

Respectfully submitted,

Jones Hall,
A Professional Law Corporation

APPENDIX E

FORM OF CONTINUING DISCLOSURE CERTIFICATE

\$16,200,000
IMPERIAL COMMUNITY COLLEGE
DISTRICT
(Imperial County, California)
2017 General Obligation Refunding Bonds

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the Imperial Community College District (the "District") in connection with the issuance of the above-captioned bonds (the "Bonds"). The Bonds are being issued under a resolution adopted by the Board of Trustees of the District on November 15, 2017 (the "Bond Resolution"). The District covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the holders and beneficial owners of the Bonds and in order to assist the Participating Underwriter in complying with S.E.C. Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Bond Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms have the following meanings:

"*Annual Report*" means any Annual Report provided by the District under and as described in Sections 3 and 4.

"*Annual Report Date*" means the date that is nine months after the end of the District's fiscal year (currently March 31 based on the District's fiscal year end of June 30).

"*Dissemination Agent*" means, initially, the District, or any successor Dissemination Agent designated in writing by the District and which has filed with the District and the Paying Agent a written acceptance of such designation.

"*Listed Events*" means any of the events listed in Section 5(a).

"*MSRB*" means the Municipal Securities Rulemaking Board, which has been designated by the Securities and Exchange Commission as the sole repository of disclosure information for purposes of the Rule.

"*Participating Underwriter*" means any of the original Underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

"*Rule*" means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to provide, not later than nine months after the end of the District's fiscal year (which currently would be March 31), commencing no later than March 31, 2018 with the report for the 2016-17 Fiscal Year, provide to the MSRB, in an electronic format as prescribed by the MSRB, an Annual Report that is consistent with the requirements of Section 4 of this Disclosure Certificate. Not later than 15 Business Days prior to the Annual Report Date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If by 15 Business Days prior to the Annual Report Date the Dissemination Agent (if other than the District) has not received a copy of the Annual Report, the Dissemination Agent shall contact the District to determine if the District is in compliance with the previous sentence. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report, and later than the Annual Report Date, if not available by that date. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c). The District shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by the District hereunder.

(b) If the District does not provide (or cause the Dissemination Agent to provide) an Annual Report by the Annual Report Date, the District shall provide (or cause the Dissemination Agent to provide) to the MSRB, in an electronic format as prescribed by the MSRB, a timely notice in substantially the form attached as Exhibit A.

(c) With respect to the Annual Report, the Dissemination Agent shall:

- (i) determine each year prior to the Annual Report Date the then-applicable rules and electronic format prescribed by the MSRB for the filing of annual continuing disclosure reports; and
- (ii) if the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, and stating the date it was provided.

Section 4. Content of Annual Reports. The Annual Report shall contain or incorporate by reference the following:

(a) Audited financial statements prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the Annual Report Date, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) Unless otherwise provided in the audited financial statements filed on or before the Annual Report Date, the following information:

- (i) The District's most recently adopted Budget;

- (ii) Assessed value of taxable property in the jurisdiction of the District as shown on the most recent equalized assessment roll;
- (iii) Changes, if any, in the operation of Imperial County's Teeter Plan affecting the District;
- (iv) Changes, if any, in the operation of Imperial County Investment Pool which would affect the District's access to property taxes used to pay debt service on the Bonds;
- (v) Property tax collection delinquencies for the District, for the most recently completed Fiscal Year, if the District is no longer a participant in Imperial County's Teeter Plan;
- (vi) In addition to any of the information expressly required to be provided under paragraphs (i) through (vi), of this Section, the District shall provide such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

(c) Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which are available to the public on the MSRB's Internet web site or filed with the Securities and Exchange Commission.

Section 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds:

- (1) Principal and interest payment delinquencies.
- (2) Non-payment related defaults, if material.
- (3) Unscheduled draws on debt service reserves reflecting financial difficulties.
- (4) Unscheduled draws on credit enhancements reflecting financial difficulties.
- (5) Substitution of credit or liquidity providers, or their failure to perform.
- (6) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security.
- (7) Modifications to rights of security holders, if material.
- (8) Bond calls, if material, and tender offers.
- (9) Defeasances.

- (10) Release, substitution, or sale of property securing repayment of the securities, if material.
- (11) Rating changes.
- (12) Bankruptcy, insolvency, receivership or similar event of the District.
- (13) The consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material.
- (14) Appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) Whenever the District obtains knowledge of the occurrence of a Listed Event, the District shall, or shall cause the Dissemination Agent (if not the District) to, file a notice of such occurrence with the MSRB, in an electronic format as prescribed by the MSRB, in a timely manner not in excess of 10 business days after the occurrence of the Listed Event. Notwithstanding the foregoing, notice of Listed Events described in subsections (a)(8) and (9) above need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to holders of affected the Bonds under the Resolution.

(c) The District acknowledges that the events described in subparagraphs (a)(2), (a)(7), (a)(8) (if the event is a bond call), (a)(10), (a)(13), and (a)(14) of this Section 5 contain the qualifier "if material" and that subparagraph (a)(6) also contains the qualifier "material" with respect to certain notices, determinations or other events affecting the tax status of the Bonds. The District shall cause a notice to be filed as set forth in paragraph (b) above with respect to any such event only to the extent that it determines the event's occurrence is material for purposes of U.S. federal securities law. Whenever the District obtains knowledge of the occurrence of any of these Listed Events, the District will as soon as possible determine if such event would be material under applicable federal securities law. If such event is determined to be material, the District will cause a notice to be filed as set forth in paragraph (b) above.

(d) For purposes of this Disclosure Certificate, any event described in paragraph (a)(12) above is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

Section 6. Identifying Information for Filings with the MSRB. All documents provided to the MSRB under the Disclosure Certificate shall be accompanied by identifying information as prescribed by the MSRB.

Section 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the

District shall give notice of such termination in the same manner as for a Listed Event under Section 5(c).

Section 8. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent.

Section 9. Amendment; Waiver. Notwithstanding any other provision hereof, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

- (a) if the amendment or waiver relates to the provisions of Sections 3(a), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of an obligated person with respect to the Bonds, or type of business conducted;
- (b) the undertakings herein, as proposed to be amended or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and
- (c) the proposed amendment or waiver either (i) is approved by holders of the Bonds in the manner provided in the Bond Resolution for amendments to the Bond Resolution with the consent of holders, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the holders or beneficial owners of the Bonds.

If the annual financial information or operating data to be provided in the Annual Report is amended under the provisions hereof, the first annual financial information filed pursuant hereto containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

If an amendment is made to the undertaking specifying the accounting principles to be followed in preparing financial statements, the annual financial information for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information, in order to provide information to investors to enable them to evaluate the ability of the District to meet its obligations. To the extent reasonably feasible, the comparison shall be quantitative. A notice of the change in the accounting principles shall be filed in the same manner as for a Listed Event under Section 5(c).

Section 9. Additional Information. Nothing in this Disclosure Certificate prevents the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information

in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 11. Default. If the District fails to comply with any provision of this Disclosure Certificate, any holder or beneficial owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Bond Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

Section 12. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 13. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and holders and beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: December 13, 2017

IMPERIAL COMMUNITY COLLEGE DISTRICT

By: _____
Superintendent

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Obligor: Imperial Community College District

Name of Bond Issue: \$16,200,000 aggregate principal amount of Imperial Community College District (Imperial County, California) 2017 General Obligation Refunding Bonds

Date of Issuance: December 13, 2017

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Refunding Bonds as required by the Continuing Disclosure Certificate, dated December 13, 2017. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

DISSEMINATION AGENT:

By: _____

Its: _____

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APPENDIX F

DTC AND THE BOOK-ENTRY SYSTEM

The following description of the Depository Trust Company (“DTC”), the procedures and record keeping with respect to beneficial ownership interests in the Bonds, payment of principal, interest and other payments on the Bonds to DTC Participants or Beneficial Owners, confirmation and transfer of beneficial ownership interest in the Bonds and other related transactions between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC. Accordingly, no representations can be made concerning these matters and neither the DTC Participants nor the Beneficial Owners should rely on the foregoing information with respect to such matters, but should instead confirm the same with DTC or the DTC Participants, as the case may be.

Neither the District, the Underwriter nor the Paying Agent take any responsibility for the information contained in this Section.

No assurances can be given that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) Bonds representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis, or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Appendix. The current “Rules” applicable to DTC are on file with the Securities and Exchange Commission and the current “Procedures” of DTC to be followed in dealing with DTC Participants are on file with DTC.

1. The Depository Trust Company (“DTC”), New York, NY, will act as securities depository for the securities (the “Securities”). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds \$500 million, one certificate will be issued with respect to each \$500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

2. DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned

subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

6. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting

rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Issuer or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Issuer or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. A Beneficial Owner shall give notice to elect to have its Securities purchased or tendered, through its Participant, to the Paying Agent, and shall effect delivery of such Securities by causing the Direct Participant to transfer the Participant's interest in the Securities, on DTC's records, to the Paying Agent. The requirement for physical delivery of Securities in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Securities are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Securities to the Paying Agent's DTC account.

10. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to Issuer or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

11. Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

12. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that Issuer believes to be reliable, but Issuer takes no responsibility for the accuracy thereof.

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APPENDIX G

IMPERIAL COUNTY INVESTMENT POLICY

The following information concerning the County Pool and the County Investment Policy has been provided by the Treasurer-Tax Collector (the "Treasurer") of the County, and has not been confirmed or verified by the District or the Underwriter. The District and the Underwriter have not made an independent investigation of the investments in the Investment Pool and have made no assessment of the current County investment policy. The value of the various investments in the Investment Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors, may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Investment Pool will not vary significantly from the values described herein. Finally, neither the District nor the Underwriter make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Additional information regarding the Investment Pool may be obtained from the Treasurer's website at www.co.imperial.ca.us/TaxCollectorTreasurer/TCTR/Default.htm, however, the information presented on such website is not incorporated herein by any reference.

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IMPERIAL COUNTY
ANNUAL INVESTMENT POLICY
FOR THE
POOLED INVESTMENT FUND



TREASURER-TAX COLLECTOR

*Approved: Imperial County Board of Supervisors
On August 1, 2017*

Imperial County Investment Policy

Authority

In accordance with the laws and regulations of the State of California and authority granted by the Imperial County Board of Supervisors the County Treasurer-Tax Collector is responsible for investing all the funds in the County Treasury.

Policy Statement

The Treasurer-Tax Collector shall establish investment policy procedures for the operation of the investment program and a system of controls to regulate the activities of the subordinate officials. Each transaction and the entire portfolio must comply with the California Government Code section 53635 et seq., and this policy.

Scope

This investment policy applies to all financial assets of the County of Imperial as accounted for in the comprehensive annual financial report and shall apply to all other funds under the County Treasurer-Tax Collector's span of control unless specifically exempted by resolution.

Outside local agencies, where the County Treasurer-Tax Collector does not serve as the agency's Treasurer-Tax Collector, may invest in the Pooled Investment Fund through California Government Code section 53684 et seq. Deposits are subject to the consent of the County Treasurer-Tax Collector. The local agency legislative body must approve the Imperial County Pooled Investment Fund as an authorized investment and execute a Memorandum of Understanding. This agreement should spell out the exact rules for participating in the pool and provide the County Treasurer-Tax Collector with reasonable predefined discretion to establish the frequency and amount of voluntary funds that can be removed from the pool at a particular time.

The County Treasurer-Tax Collector may honor all requests to withdraw funds for normal cash flow purposes. Any requests to withdraw funds for purposes other than cash flow such as for external investing shall be subject to the consent of the Treasurer-Tax Collector. In accordance with California Government Code section 27136 et seq., and 27133(h) et seq., such requests for withdrawals must first be made in writing to the County Treasurer-Tax Collector. These requests are subject to the County Treasurer-Tax Collector consideration of the stability and predictability of the Pooled Investment Fund, or the adverse affect on the interests of the other depositors in the Pooled Investment Fund. Any withdrawal for such purposes shall be at the market value of the Pooled Investment Fund as of the date of the withdrawal.

Standards

The County Treasurer-Tax Collector is the trustee of the Pooled Investment Fund and therefore, a fiduciary subject to the prudent investor standard. The County Treasurer-Tax Collector and employees involved in the investment process shall refrain from all personal business activity that could conflict with the management of the investment program. All individuals involved will be required to report all gifts and income in accordance with the California State law. When investing, reinvesting, purchasing, acquiring, exchanging, selling and managing public funds, the Treasurer-Tax Collector shall act with the care, skill, prudence and diligence in order to meet the investment objectives.

The standard of prudence to be used by investment officials shall be the “prudent person” standard and shall be applied in the context of managing an overall portfolio. Investment officers acting in accordance with written procedures and the investment policy and exercising due diligence shall be relieved of personal responsibility for an individual security’s credit risk or market price changes, provided deviations from expectations are reported in a timely fashion, and appropriate action is taken to control adverse developments.

Objectives

Investment Objectives: The Pooled Investment Fund shall be prudently invested in order to earn a reasonable return, while awaiting application for governmental purposes. The specific objectives for the Pooled Investment Fund are listed in order of importance.

Safety of Principal: The preservation of principal is the primary objective. Each transaction shall seek to ensure that capital losses are avoided, whether they are from securities default or erosion of market value.

Liquidity: As a second objective, the Pooled Investment Fund should remain sufficiently flexible to enable the County Treasurer-Tax Collector to meet all operating requirements that may be reasonably anticipated in any depositor’s fund.

Public Trust: In managing the Pooled Investment fund, the County Treasurer-Tax Collector and the authorized investment traders should try and avoid any transactions that might impair public confidence in the Imperial County and the participating local agencies. Investments should be made with precision and care, considering the probable safety of the capital as well as the probable income to be derived.

Return on Investments: The Pooled Investment Fund shall be designed with the objective of attaining a rate of return throughout budgetary and economic cycles, commensurate with the County’s investment risk constraints and the cash flow characteristics of the portfolio.

Calculation of Yield and Costs

The costs of managing the investment portfolio, including but not limited to: investment management; accounting for the investment activity; custody of the assets; managing and accounting for the banking; receiving and remitting deposits; oversight controls; indirect and overhead expenses are charged to the investment earnings based upon actual labor hours worked in respective areas. Costs of these respective areas are accumulated by specific cost accounting projects and charged to the Pooled Investment Fund on a quarterly basis throughout the fiscal year.

The Auditor/Controller will allocate the net interest earnings of the Pooled Investment Fund quarterly. The net interest earnings are allocated based upon the average daily cash balance of each Pooled Investment Fund participant.

Internal Controls

The County Treasurer-Tax Collector shall establish internal controls to provide reasonable assurance the investment objectives are met and to ensure that the assets are protected from loss, theft or misuse. To assist in implementation and internal controls, the Treasurer-Tax Collector shall establish written policy procedures for the operation of the investment program consistent with this policy. Such procedures shall include explicit delegation of authority to persons responsible for investment transaction. No person may engage in an investment transaction except as provided under the terms of this policy and the procedures established by the County Treasurer-Tax Collector.

Authorized Personnel: The following is a list of delegated staff responsible for investment transactions, County Treasurer-Tax Collector, Finance Manager and the Accounting Technician's. Authorized personnel may be changed from time to time at the discretion of the County Treasurer-Tax Collector.

The investment portfolio and all related transactions are reviewed and balanced to appropriate general ledger accounts by the Auditor/Controller's office on a monthly basis.

An independent audit shall be conducted annually to review internal control, account activity and compliance with policies, procedures and applicable laws.

The County Treasurer-Tax Collector, or Finance Manager, should, from time to time perform a review of the investment function. This review should consist of:

- Comparison of the investment records to the independent statements and confirmations received from brokers, dealers, banks and other financial institutions.
- Review of the contents of the investment portfolio to assure that it conforms to this policy.
- Review of the financial institution with which investments have been made to assure that the County Treasurer-Tax Collector or authorized staff has approved them.
- Confirmations resulting from securities purchased under a repurchase agreement should clearly state the exact and complete nomenclature of the underlying securities purchased and that said securities have been sold to the County with a promise of resale by the County back to the seller.

The County Treasurer-Tax Collector shall establish and define authorized investments as well as credit, marketability, maturity and diversification criteria for County investments. Where possible, County investments should be placed, confirmed, held and accounted for, and audited by different people.

Ethics and Conflicts of Interest

In accordance with California Government Code section 27133(d) et seq., officers and employees involved in the investment process shall refrain from personal business activity that could cause conflict with the investment program, or which could impair their ability to make impartial investment decisions.

Any individual who receives a aggregate total of gifts, honoraria and gratuities in excess of \$50 in a calendar year from a broker-dealer, bank or service provider to the Pooled Investment Fund must report the gifts, dates and firms to the designated filing official and complete the appropriate State forms. No individual may receive aggregate gifts, honoraria gratuities in excess of \$470 in a calendar year. Any violation must be reported to the State Fair Political Practices Commission.

Investment Parameters

Safekeeping and Custody: All securities purchased, with the exception of time deposits, LAIF and bank short term Investment Funds (bank's overnight investment fund), can be delivered to the independent third-party custodian selected by the County Treasurer-Tax Collector. This includes all collateral for repurchase agreement. All trades, where applicable, will be executed by delivery versus payment by the designated party.

Qualified Broker/Dealers: All financial institutions, whether investment banks and dealers, commercial banks, or savings and loans must be approved by the County Treasurer-Tax Collector or authorized staff before they receive County funds. All firms with whom the County does business should have a strong capital base and be deemed credit-worthy before any

investments or deposits are placed with such firms. In accordance with California Government Code section 27133(c) et seq., the County Treasurer-Tax Collector or authorized staff will prescribe minimum standards.

The County Treasurer shall not select brokers and dealers who individually, or as a firm, have contributed more than \$250 or the current limit established under Municipal Securities Regulatory Board (MSRB) Rule G-37.

The Treasurer-Tax Collector's staff shall annually send a copy of the current investment policy to all broker/dealers approved to do business with the County. Receipt of this policy shall be considered confirmation that the broker/dealer understands the County's investments authorized by this investment policy.

The Treasurer-Tax Collector will maintain a list of financial institutions authorized to provide investment services. An annual review of the financial condition and registrations of qualified bidders will be conducted by the Treasurer-Tax Collector.

Collateral Requirements: Collateral is required for investments in certificates of deposit (over the standard maximum deposit insurance amount "SMDIA" in FDIC regulations), repurchase agreements and reverse repurchase agreements. In order to reduce market risk, the collateral level will be at least 102% of market value or principal and accrued interest.

The only securities acceptable as collateral shall be direct obligations of, or fully guaranteed as to principal and interest by, the United States or any agency of the United States.

Diversification: The County Treasurer-Tax Collector will diversify its investments by security type and institution. With the exception of U.S. Treasury, U.S. Agency securities and authorized pools, no more than 50% of the County's total investment portfolio should be invested in a single security type.

Investable Fund: Total investable funds for purposes of this policy are all Pooled Investment Fund moneys that are available for investment at any one time, including the estimated bank account float. Bond proceeds may be invested in accordance with the Government Code provisions, or they may be invested in alternative vehicles if authorized by Bond documents.

Compliance: The portfolio must be in compliance with statute at the time that the investment is purchased. It is recommended that the portfolio be monitored, as practical, for subsequent changes in percentages resulting from non-purchase activity or changes in credit rating of existing securities.

Rebalancing is not required in the case where subsequent maturities, sales, withdrawals, or similar non-purchase activities result in the remaining portfolio having one or more of the categories of investment rise above the percentage restrictions applicable at the time of purchase.

In the event the portfolio or individual investments are deemed to be out of compliance with either statute or the investment policy, the Treasurer-Tax Collector and staff shall analyze and take appropriate course of action to rebalance the portfolio with the preservation of principal being the primary objective.

Authorized Investments: As stated earlier, authorized investment shall match the general categories established by the California Government Code section 53635 et seq. Authorized investments shall also include, in accordance with California Government Code section 16429.1, investment into LAIF.

The chart on the next page provides a list of the permitted securities and conditions for using them. Only the County Treasurer-Tax Collector or authorized staff will be authorized to invest in the approved investment. (See FIGURE 1 and Table of notes)

FIGURE 1

**ALLOWABLE INVESTMENT INSTRUMENTS PER STATE GOVERNMENT
CODE (AS OF JANUARY 1, 2017)^A APPLICABLE TO ALL LOCAL AGENCIES^B**

See "Table of Notes for Figure 1" on the next page for footnotes related to this figure.

INVESTMENT TYPE	MAXIMUM MATURITY ^C	MAXIMUM SPECIFIED % OF PORTFOLIO ^D	MINIMUM QUALITY REQUIREMENTS
Local Agency Bonds	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
State Obligations— CA And Others	5 years	None	None
CA Local Agency Obligations	5 years	None	None
U.S Agency Obligations	5 years	None	None
Bankers' Acceptances	180 days	40% ^E	None
Commercial Paper— Pooled Funds ^I	270 days	40% of the agency's money ^G	Highest letter and number rating by an NRSRO ^H
Commercial Paper— Non-Pooled Funds ^F	270 days	25% of the agency's money ^G	Highest letter and number rating by an NRSRO ^H
Negotiable Certificates of Deposit	5 years	30% ^J	None
Non-negotiable Certificates of Deposit	5 years	None	None
Placement Service Deposits	5 years	30% ^K	None
Placement Service Certificates of Deposit	5 years	30% ^K	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements and Securities Lending Agreements	92 days ^L	20% of the base value of the portfolio	None ^M
Medium-Term Notes ^N	5 years	30%	"A" rating category or its equivalent or better
Mutual Funds And Money Market Mutual Funds	N/A	20%	Multiple ^{P,Q}
Collateralized Bank Deposits	5 years	None	None
Mortgage Pass-Through Securities	5 years	20%	"AA" rating category or its equivalent or better ^R
County Pooled Investment Funds	N/A	None	None
Joint Powers Authority Pool	N/A	None	Multiple ^S
Local Agency Investment Fund (LAIF)	N/A	None	None
Voluntary Investment Program Fund ^T	N/A	None	None
Supranational Obligations ^U	5 years	30%	"AA" rating category or its equivalent or better

TABLE OF NOTES FOR FIGURE 1

- ^A Sources: Sections 16340, 16429.1, 53601, 53601.8, 53635, 53635.2, 53635.8, and 53638.
- ^B Municipal Utilities Districts have the authority under the Public Utilities Code Section 12871 to invest in certain securities not addressed here.
- ^C Section 53601 provides that the maximum term of any investment authorized under this section, unless otherwise stated, is five years. However, the legislative body may grant express authority to make investments either specifically or as a part of an investment program approved by the legislative body that exceeds this five year maturity limit. Such approval must be issued no less than three months prior to the purchase of any security exceeding the five-year maturity limit.
- ^D Percentages apply to all portfolio investments regardless of source of funds. For instance, cash from a reverse repurchase agreement would be subject to the restrictions.
- ^E No more than 30 percent of the agency's money may be in bankers' acceptances of any one commercial bank.
- ^F "Select Agencies" are defined as a "city, a district, or other local agency that does not pool money in deposits or investment with other local agencies, other than local agencies that have the same governing body."
- ^G Local agencies, other than counties or a city and county, may purchase no more than 10 percent of the outstanding commercial paper of any single issuer.
- ^H Issuing corporation must be organized and operating within the U.S., have assets in excess of \$500 million, and debt other than commercial paper must be in a rating category of "A" or its equivalent or higher by a nationally recognized statistical rating organization, or the issuing corporation must be organized within the U.S. as a special purpose corporation, trust, or LLC, has program wide credit enhancements, and has commercial paper that is rated "A-1" or higher, or the equivalent, by a nationally recognized statistical rating agency.
- ^I "Other Agencies" are counties, a city and county, or other local agency "that pools money in deposits or investments with other local agencies, including local agencies that have the same governing body." Local agencies that pool exclusively with other local agencies that have the same governing body must adhere to the limits set for "Select Agencies," above.
- ^J No more than 30 percent of the agency's money may be in negotiable certificates of deposit that are authorized under Section 53601(i).
- ^K No more than 30 percent of the agency's money may be invested in deposits, including certificates of deposit, through a placement service (excludes negotiable certificates of deposit authorized under Section 53601(ii)).
- ^L Reverse repurchase agreements or securities lending agreements may exceed the 92-day term if the agreement includes a written codicil guaranteeing a minimum earning or spread for the entire period between the sale of a security using a reverse repurchase agreement or securities lending agreement and the final maturity dates of the same security.
- ^M Reverse repurchase agreements must be made with primary dealers of the Federal Reserve Bank of New York or with a nationally or state chartered bank that has a significant relationship with the local agency. The local agency must have held the securities used for the agreements for at least 30 days.
- ^N "Medium-term notes" are defined in Section 53601 as "all corporate and depository institution debt securities with a maximum remaining maturity of five years or less, issued by corporations organized and operating within the United States or by depository institutions licensed by the United States or any state and operating within the United States"
- ^O No more than 10 percent invested in any one mutual fund. This limitation does not apply to money market mutual funds.
- ^P A mutual fund must receive the highest ranking by not less than two nationally recognized rating agencies or the fund must retain an investment advisor who is registered with the SEC (or exempt from registration), has assets under management in excess of \$500 million, and has at least five years experience investing in instruments authorized by Sections 53601 and 53635.
- ^Q A money market mutual fund must receive the highest ranking by not less than two nationally recognized statistical rating organizations or retain an investment advisor registered with the SEC or exempt from registration and who has not less than five years experience investing in money market instruments with assets under management in excess of \$500 million.
- ^R Issuer must be rated in a rating category of "A" or its equivalent or better as provided by a nationally recognized statistical rating organization.
- ^S A joint powers authority pool must retain an investment advisor who is registered with the SEC (or exempt from registration), has assets under management in excess of \$500 million, and has at least five years experience investing in instruments authorized by Section 53601, subdivisions (a) to (o).
- ^T Local entities can deposit between \$200 million and \$10 billion into the Voluntary Investment Program Fund, upon approval by their governing bodies. Deposits in the fund will be invested in the Pooled Money Investment Account.
- ^U Only those obligations issued or unconditionally guaranteed by the International Bank for Reconstruction and Development (IBRD), International Finance Corporation (IFC), and Inter-American Development Bank (IADB).

Prohibited Investments: No investment should be authorized that have the possibility of returning a zero or negative yield if held to maturity. These shall include inverse floaters, range notes, and interest only strips derived from a pool of mortgages.

Implementation

In accordance with California Government Code section 53646, et seq., the Board of Supervisors shall review and approve this Policy at least annually during open session.

Monthly, the Treasurer-Tax Collector shall present and file with the Board of Supervisors during public session the Imperial County Treasurer-Tax Collector's Portfolio Master Summary.

Summary

The County Treasurer-Tax Collector, or Finance Manager, is to have express authority to invest County funds in any investments, securities and other instruments as described herein as the County Treasurer-Tax Collector, or Finance Manager deems appropriate.

The County Treasurer-Tax Collector will develop, interpret, clarify and maintain this Statement of Investment Policy. As the California Government Code and legislation is amended this Policy shall likewise become amended.

IMPERIAL COUNTY TREASURER
Portfolio Management
Portfolio Summary
July 31, 2017

Investments	Par Value	Market Value	Book Value	% of Portfolio	YTM 360 Equiv.	YTM 365 Equiv.	Days to Maturity	Term
LAIF / HIGHMARK CAPITAL / ZBA	84,500,000.00	84,500,000.00	84,500,000.00	17.33	0.739	0.750	1	1
Certificates of Deposit - Bank	9,788,000.00	9,788,000.00	9,788,000.00	2.01	1.183	1.200	397	613
Negotiable CD's	78,350,000.00	78,264,046.34	78,350,000.00	16.07	1.472	1.492	713	1,434
Federal Agency Issues - Coupon	315,207,000.00	314,068,135.91	314,833,957.25	64.59	1.501	1.522	821	1,358
Investments	487,845,000.00	486,620,182.25	487,471,957.25	100.00%	1.358	1.377	653	1,120
Cash								
Passbook/Checking (not included in yield calculations)	117,426,587.69	117,426,587.69	117,426,587.69		0.000	0.000	1	1
Total Cash and Investments	605,271,587.69	604,046,769.94	604,898,544.94		1.358	1.377	653	1,120

Total Earnings	July 31 Month Ending	Fiscal Year To Date
Current Year	494,316.05	494,316.05
Average Daily Balance	629,151,564.06	629,151,564.06
Effective Rate of Return	0.93%	0.93%

In accordance with the provisions of Section 53607 and 53646 of the Government Code, the laws and regulations of the State of California and authority granted by the Imperial County Board of Supervisors the County Treasurer is responsible for investing all the funds in the County Treasury not needed for current commitment. This statement denotes the ability of the local agency to meet its pool's expenditure requirements for the next six months.

3 MONTH HISTORY OF CASH AND INVESTMENTS:

=====

CURRENT \$ 604,898,544.94

LAST MONTH \$ 653,263,577.21

PREVIOUS MONTH \$ 650,485,788.48

Karen Vogel
 Karen Vogel, Treasurer-Tax Collector

8-14-17

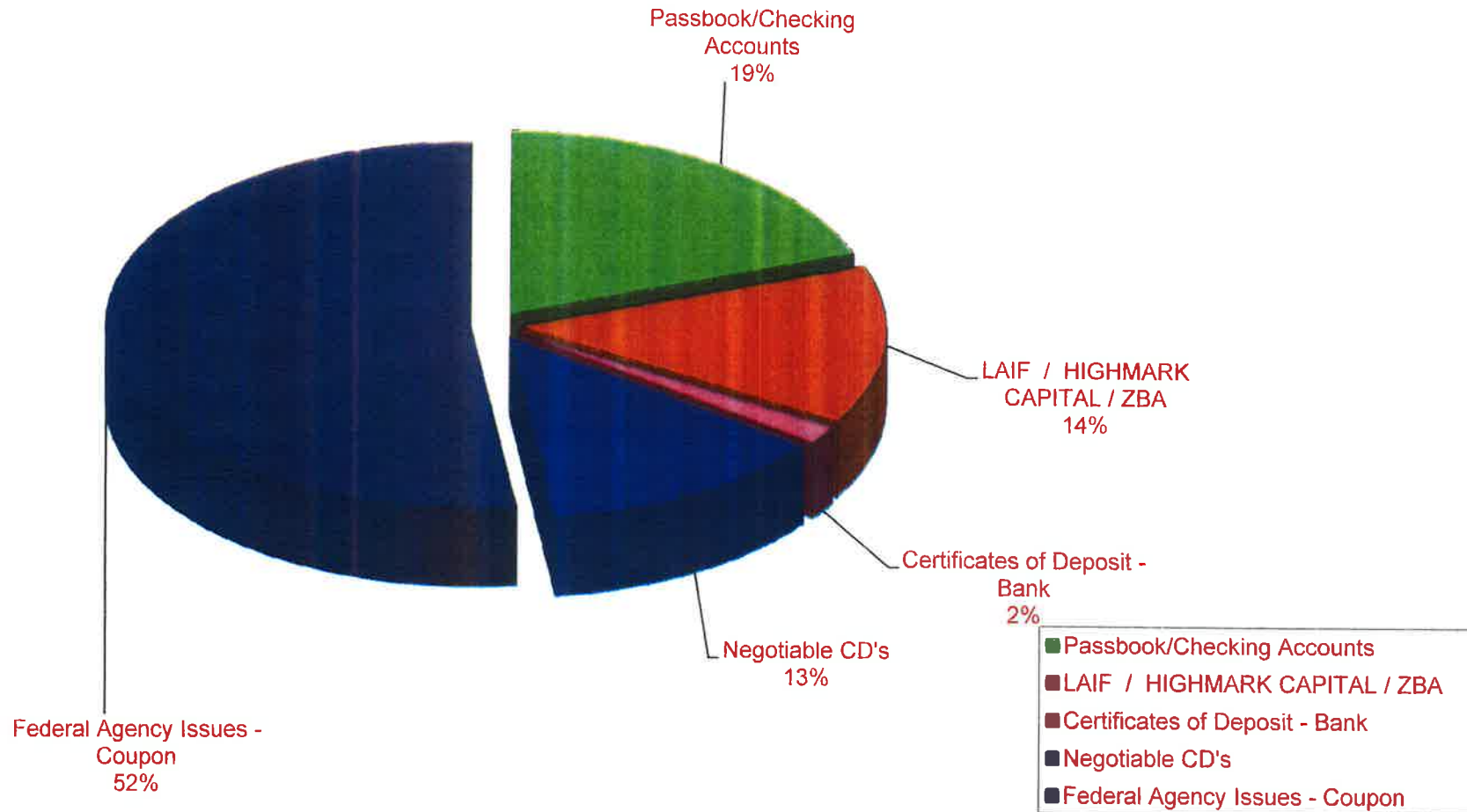
Reporting period 07/01/2017-07/31/2017

Run Date: 08/14/2017 - 08:42

Portfolio PTS
 CP
 PM (PRF_PM1) 7.3.0
 Report Ver. 7.3.3b

IMPERIAL COUNTY TREASURER
Portfolio Management
Portfolio Summary
Book Value by Investment Type

As of July 31, 2017



APPENDIX H

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: \$ _____ in aggregate principal
amount of [NAME OF TRANSACTION]
[and maturing on]

Effective Date: _____

Risk Premium: \$ _____

Member Surplus Contribution: \$ _____

Total Insurance Payment: \$ _____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

Notices (Unless Otherwise Specified by BAM)

Email:

claims@buildamerica.com

Address:

1 World Financial Center, 27th floor
200 Liberty Street
New York, New York 10281

Telecopy:

212-235-5214 (attention: Claims)

SPECIMEN



CALIFORNIA

ENDORSEMENT TO

**MUNICIPAL BOND
INSURANCE POLICY**

NO.

This Policy is not covered by the California Insurance Guaranty Association established pursuant to Article 15.2 of Chapter 1 of Part 2 of Division 1 of the California Law.

Nothing herein shall be construed to waive, alter, reduce or amend coverage in any other section of the Policy. If found contrary to the Policy language, the terms of this Endorsement supersede the Policy language

IN WITNESS WHEREOF, BUILDAMERICA MUTUAL ASSURANCE COMPANY has caused this policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By

Authorized Officer